

[Draft]

February 2024

CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM

[For private circulation only]

GHL India Ventures Trust

‘GHL India Ventures Fund’ is registered with SEBI as a Category II Alternative Investment Fund with effect from _____

Registration No. _____

Trustee: Orbis Trusteeship Services Private Limited

Sponsor: Watermount Ventures LLP

Investment Manager: Watermount Ventures LLP

This Memorandum is being furnished to you on a confidential basis for you to consider investing in the Units of GHL India Ventures Fund, a scheme of **GHL India Ventures Trust**, established as a contributory determinate investment trust under the Indian Trusts Act, 1882. This Memorandum shall not be reproduced or provided to others without the prior written permission of the Investment Manager.

The information contained in this Memorandum may not be provided to others who are not directly concerned with your decision regarding the proposed investment. By accepting delivery of this Memorandum, you agree to the foregoing, and to return this Memorandum if you do not invest in the Units of the Scheme, as the case may be. Investors are requested to note that no returns from the Scheme are assured or guaranteed.

Name of Investor: _____

Copy No. _____

IMPORTANT NOTICE

An investment in ‘GHL India Ventures Fund’ is suitable only for sophisticated and/or private investors including fund of funds, government institutions, corporates, public sector undertakings, and private banks, insurance companies, global development financial institutions, multilateral organizations and high net worth individuals and requires the financial ability and willingness to remain invested for the total tenure of the Scheme, to accept the high risks and lack of liquidity inherent in an investment in a Scheme of this nature.

No assurance can be given that the Scheme’s investment objective or investment strategy will be achieved. There can be no assurance that the Scheme will achieve its target returns or returns comparable to those achieved by the entities with which the Sponsor or the Investment Manager or their affiliates have been associated.

“GHL India Ventures Fund” is close ended with a tenure of 6 (Six) years from the date of First Closing which is further extendable by 2 (two) years with the prior consent of Two-Third Majority of Contributors and in the normal course, no exit option shall be available to the Investors until the end of the Term.

.....

(Signature of the Investor)

Name of the Investor: _____

Name of the Distributor (if applicable): _____

Date: _____

Place: _____

DISCLAIMER

This confidential Memorandum is issued in connection with and relates to an investment in the Units of the Scheme. The Trust is registered with SEBI as a Category II AIF under the Regulations. This Memorandum does not constitute an offer or a solicitation of an offer to subscribe to the Units described herein from any Person other than the Person whose name appears on the cover page of this Memorandum. No Person, other than such Person, receiving a copy of this Memorandum, may treat the same as constituting an offer or a solicitation of an offer to subscribe to the Units of the Scheme described herein.

By accepting delivery, the Person receiving this Memorandum agrees: (a) to keep the contents hereof strictly confidential and to not disclose the same to any third party, other than professional advisors of such Person, or otherwise use the same for any purpose other than evaluation by such Person of a potential investment in the Units; (b) not to reproduce this Memorandum in whole or in part; and (c) to return this Memorandum to the Scheme if (i) such Person decides not to invest in the Units; or (ii) such Person's proposed investment is not accepted; if this Memorandum is received by an unauthorized Person, such recipient shall not be entitled to request for other related documents or other information. However, such Person shall be bound by the confidentiality terms of this Memorandum.

The information in this Memorandum for the Scheme is not exhaustive and may be changed. This Memorandum is not an offer to subscribe to the Units and does not solicit an offer to subscribe to Units in any jurisdiction where the offer or sale is not permitted. An offer or solicitation in respect of the Units in the Scheme will be made only through the final form of the Memorandum.

The information in this Memorandum is current as on the date of this Memorandum, and may be supplemented, amended or modified from time to time by any further information in a supplemental information memorandum in which event the information in this Memorandum shall be read as supplemented, amended or modified by such additional information, as the case may be. The supplemental information memorandum shall be provided to the Investors within the timelines as prescribed under the Regulations regarding which this Memorandum is supplemented, amended or modified. Neither the delivery of this Memorandum at any time, nor any sale hereafter, shall under any circumstances be construed that the information contained herein is correct as of any time subsequent to the date of this Memorandum or as otherwise specifically provided in this Memorandum.

Investment in the Units will involve significant risks due to, among other things, the nature of the Scheme's investments. See '**SECTION X: RISK FACTORS**' for a discussion of certain risk factors that should be considered by prospective investors. Investors should have the financial ability and willingness to accept the risks arising out of investment in the Scheme. Due to the risks involved, investment in the Scheme is only suitable for the Investors who are able to bear the loss of a substantial portion or even all of the money they invest in the Scheme. The Investors understand the high degree of risk involved, believe that the investment is suitable based upon their investment objectives and financial needs and have no need for liquidity of investments. There will generally be no public market for the Units and they will not, subject to certain conditions as stated in this Memorandum, be freely transferable. The Scheme has discretion to list the Units on a stock exchange in India as permissible under the Applicable Law. Even where the Scheme lists its Units on a stock exchange, there can be no guarantee that there will be a public market for the Units or the Units will fetch fair value. An investment in the Scheme involves significant investment risks, including loss of a prospective investor's entire investment. Please refer to '**SECTION X: RISK FACTORS**' for a discussion of certain risk factors that should be considered by prospective Investors.

Notwithstanding anything contained in the Trust Documents, the Investment Manager shall continue to be responsible for compliance with the Regulations and other Applicable Laws in relation to the operation and reporting by AIFs. The Investment Manager has taken reasonable care to ensure that the information in this Memorandum is true and accurate in all material respects and that there are no material facts, the omission of which would make any statement in this Memorandum, whether of fact or opinion, misleading. No other representation, warranty or undertaking is given in respect of the information in this Memorandum by the Investment Manager or by any other Person duly authorized by the Investment Manager and neither the Investment Manager nor any other Person duly authorized by the Investment Manager takes responsibility for the consequences of reliance upon any statement or information contained in, or any omissions from, this Memorandum.

The Investment Manager reserves the right to withdraw or modify this offering at any time prior to the acceptance of subscriptions from Investors. The Investment Manager also reserves the right to close the subscription before the indicated period or amount of capital has been subscribed.

The information on taxation contained in this Memorandum is a summary of certain tax considerations but is not intended to be a complete discussion of all tax considerations. The contents of this Memorandum are not to be construed as investment, legal, or tax advice. Investors should consult their own counsel, accountant or investment advisor as to legal, tax, and related matters concerning their investment. This Memorandum contains a fair summary of the material terms of the aforesaid documents. However, prospective investors should not assume that such summaries are complete. Such summaries are qualified in their entirety by reference to the texts of the aforesaid documents which will be made available by the Scheme to prospective investors upon request.

Prospective Investors should review the Trust Documents carefully. Nothing in this Memorandum, the information contained in it or any other information supplied in connection with the Scheme/Trust (other than the Trust Documents, the terms set out in '**SECTION VII: PRINCIPAL TERMS OF THE SCHEME**' of this Memorandum to the extent incorporated in the Trust Documents by reference, and the confidentiality understanding contained herein) shall form the basis of any contract.

No Person has been authorized in connection with this offering to give any information or make any representations other than as contained in this Memorandum. If given or made, such additional information or representations must not be relied upon as having been authorized. The Units of the Scheme are not being offered for sale or subscription to the public but are being privately placed with a limited number of eligible investors as per the Regulations. Information provided herein has not been approved by SEBI or any other legal or regulatory authority in India, nor has any such regulatory authority passed upon or endorsed the accuracy or adequacy of this Memorandum.

Certain information contained in this Memorandum constitute "forward-looking statements" which can be identified by the use of forward-looking terminology such as "may," "will," "should," "expect," "anticipate," "target," "project," "estimate," "intend," "continue" or "believe," or the negatives thereof or other variations thereon or comparable terminology. Due to various risks and uncertainties, actual events or results or the actual performance of the Scheme may differ materially from those reflected or contemplated in such forward-looking statements.

The defined terms used in this Memorandum shall have the meaning as ascribed to them under ‘**SECTION XV: GLOSSARY**’ to this Memorandum and terms not defined herein but used in this Memorandum shall have the meaning assigned to them under the Contribution Agreement and the Indenture.

Investors may request additional information in relation to the Scheme by writing to the Investment Manager:

Name of the Investment Manager: **Watermount Ventures LLP**

Name of contact person: Mr. N. Padmanabhan

Registered office: Plot No.1, 2nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073, India.

Branch office: Nil

Telephone No.: +91 7222055252

E-mail: compliance@watermountventures.com

PART A

DIRECTORY

Sponsor	WATERMOUNT VENTURES LLP Registered Address: Plot No.1, 2nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073, India. Communication Address: Plot No.1, 2nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073, India. Tel: (+91) 7200255252 Email: compliance@watermountventures.com
Investment Manager	WATERMOUNT VENTURES LLP Registered Address: Plot No.1, 2nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073, India. Communication Address: Plot No.1, 2nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073, India. Tel: (+91) 7200255252 Email: compliance@watermountventures.com
Trustee	Orbis Trusteeship Services Private Limited Registered and Communication Address: 4A, Ocus Technopolis, Sector 54, Golf Club Road, Gurugram, Haryana - 122002 Tel: 0124 454 6565 Email: trusteeship@orbisfinancial.in
Advisor	Mukesh M. Gangar & Co. (MGC Group) Registered Address: F-15/16, Dadar Manish Market, Senapati Bapat Marg, Dadar (W), Mumbai – 400028. Communication Address: F-15/16, Dadar Manish Market, Senapati Bapat Marg, Dadar (W), Mumbai – 400028. Tel: +91 8591357633 Email: info@mgcgroup.in

Auditor	Mukesh M. Gangar & Co. (MGC Group) Registered Address: F-15/16, Dadar Manish Market, Senapati Bapat Marg, Dadar (W), Mumbai – 400028. Communication Address: F-15/16, Dadar Manish Market, Senapati Bapat Marg, Dadar (W), Mumbai – 400028. Tel: +91 8591357633 Email: info@mgcgroup.in
Registrar and Share Transfer Agent	To be appointed before the first closing of the Fund

TABLE OF CONTENTS

SECTION I: EXECUTIVE SUMMARY	9
SECTION II: MARKET OPPORTUNITY / INDIAN ECONOMY / INDUSTRY OUTLOOK.....	16
SECTION III: INVESTMENT OBJECTIVE, STRATEGY AND PROCESS.....	18
SECTION IV: SCHEME STRUCTURE	22
SECTION V: GOVERNANCE STRUCTURE	25
SECTION VI: TRACK RECORD OF INVESTMENT MANAGER.....	38
SECTION VII: PRINCIPAL TERMS OF THE SCHEME.....	39
SECTION VIII: PRINCIPLES OF PORTFOLIO VALUATION	78
SECTION IX: CONFLICTS OF INTEREST	87
SECTION X: RISK FACTORS.....	91
SECTION XI: LEGAL, REGULATORY AND TAX CONSIDERATIONS.....	117
SECTION XII: ILLUSTRATION OF FEES, EXPENSES AND OTHER CHARGES.....	184
SECTION XIII: DISTRIBUTION WATERFALL	188
SECTION XIV: DISCIPLINARY HISTORY.....	194
SECTION XV: GLOSSARY.....	196
SECTION XVI: SUPPLEMENTARY INFORMATION.....	204
SECTION XVII: INVESTOR CHARTER AND COMPLAINTS DATA.....	205
ANNEXURE A	210
ANNEXURE B	Error! Bookmark not defined.
ANNEXURE C	Error! Bookmark not defined.

SECTION I: EXECUTIVE SUMMARY

The principal terms of the offering are summarized below. The information in this section is subject to detailed information provided elsewhere in this Memorandum. Investors should read the entire Memorandum carefully before making a decision to invest in the units of the Scheme.

AIF	‘GHL India Ventures Trust’ (“Trust”) is organised as a contributory determinate investment trust, settled in India by the Settlor under the provisions of the Indian Trusts Act, 1882, pursuant to an Indenture entered into between the Settlor and the Trustee and registered under the provisions of Registration Act, 1908. The Trust is registered with SEBI as a Category II AIF under the Regulations with registration number _____.
SCHEME	GHL India Ventures Fund
SPONSOR	Watermount Ventures LLP, an LLP registered under Limited Liability Partnership Act and having its registered office at Plot No.1, 2 nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073, will act as the sponsor to the Trust and all its schemes, including the Scheme.
INVESTMENT MANAGER	Watermount Ventures LLP, an LLP registered under Limited Liability Partnership Act and having its registered office at Plot No.1, 2 nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073, will act as the Investment Manager to the Trust and all its schemes, including the Scheme.
AFFILIATE	Not applicable
INVESTMENT OBJECTIVE AND STRATEGY	The objective and purpose of the Scheme is to carry on activities of a Category II AIF as permissible under the Regulations and Applicable Laws and shall not engage in any business or trade. Details are given under “SECTION III: INVESTMENT OBJECTIVE, STRATEGY AND PROCESS”.
INVESTMENT ALLOCATION	The Scheme shall be sector agnostic with investments diversified across sectors as permitted under the Regulations. Details are given under “SECTION III: INVESTMENT OBJECTIVE, STRATEGY AND PROCESS”

TARGET CORPUS	The target Corpus of the Scheme is up to Rs.50,00,00,000 (Indian Rupees Fifty Crores) with a green shoe option of up to Rs. 50,00,00,000 (Indian Rupees Fifty Crores). The Investment Manager may, in its discretion, increase or decrease the size of the Scheme in compliance with the Regulations.										
CLASSES OF UNITS	The Scheme shall issue the following Classes of Units: <table border="1"> <thead> <tr> <th><i>Class</i></th><th><i>Description</i></th></tr> </thead> <tbody> <tr> <td>Class A Units</td><td>To Contributors, who are investing in the Fund through a Placement Agent, in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class A Units shall be issued in various Subclasses, for instance Class A1 Units, Class A2 Units, etc. to signify an interest in each Investment Scheme.</td></tr> <tr> <td>Class B Units</td><td>To the Sponsors and/or such Eligible Person/s who are strategically important/valuable to the Trust, as the Investment Manager may designate, in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class B Units shall be issued in various Subclasses, for instance Class B1 Units, Class B2 Units, etc. to signify an interest in each Investment Scheme.</td></tr> <tr> <td>Class C Units</td><td>To the partners/employees of the Investment Manager and/or employee welfare trust and/or to any such Eligible Persons who are strategically important/valuable to the Trust, as the Investment Manager may designate, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class C Units shall be issued in various Subclasses, for instance Class C1 Units, Class C2 Units, etc. to signify an interest in each Investment Scheme.</td></tr> <tr> <td>Class D Units</td><td>To Contributors, who are investing in the Fund (i) directly, or (ii) through a SEBI registered intermediary which is separately charging such Contributor any fee (such as advisory fee or portfolio management fee), in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class D Units shall be issued in</td></tr> </tbody> </table>	<i>Class</i>	<i>Description</i>	Class A Units	To Contributors, who are investing in the Fund through a Placement Agent, in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class A Units shall be issued in various Subclasses, for instance Class A1 Units, Class A2 Units, etc. to signify an interest in each Investment Scheme.	Class B Units	To the Sponsors and/or such Eligible Person/s who are strategically important/valuable to the Trust, as the Investment Manager may designate, in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class B Units shall be issued in various Subclasses, for instance Class B1 Units, Class B2 Units, etc. to signify an interest in each Investment Scheme.	Class C Units	To the partners/employees of the Investment Manager and/or employee welfare trust and/or to any such Eligible Persons who are strategically important/valuable to the Trust, as the Investment Manager may designate, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class C Units shall be issued in various Subclasses, for instance Class C1 Units, Class C2 Units, etc. to signify an interest in each Investment Scheme.	Class D Units	To Contributors, who are investing in the Fund (i) directly, or (ii) through a SEBI registered intermediary which is separately charging such Contributor any fee (such as advisory fee or portfolio management fee), in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class D Units shall be issued in
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	various Subclasses, for instance Class D1 Units, Class D2 Units, etc. to signify an interest in each Investment Scheme. Details are given under paragraph 3 titled '<i>Classes of Units</i>' under “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”.										
TERM OF THE SCHEME	The term of the Scheme shall be 10 (Ten) years from the First Closing. The Investment Manager may extend the Term of the Trust by up to 2 (Two) years with the prior consent of Two-Third Majority of Contributors of the Trust obtained in accordance with the terms contained in the Contribution Agreement and Applicable Laws.										
MINIMUM CAPITAL COMMITMENT	Subject to the Regulations, the minimum Capital Commitment as applicable to each Class of Units shall be as under: <table border="1"> <thead> <tr> <th><i>Class of Units</i></th><th><i>Minimum Capital Commitment</i></th></tr> </thead> <tbody> <tr> <td>Class A Units</td><td>INR 1,00,00,000 (Indian Rupees One Crore)</td></tr> <tr> <td>Class B Units</td><td>2.5% (two and a half percent) of the Corpus or INR 5,00,00,000 (Indian Rupees Five Crore), whichever is lower.</td></tr> <tr> <td>Class C Units</td><td>INR 25,00,000 (Indian Rupees Twenty five lacs)</td></tr> <tr> <td>Class D Units</td><td>INR 1,00,00,000 (Indian Rupees One Crore)</td></tr> </tbody> </table> Details are given under paragraph 5 titled '<i>Minimum Capital Commitment</i>' under “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”.	<i>Class of Units</i>	<i>Minimum Capital Commitment</i>	Class A Units	INR 1,00,00,000 (Indian Rupees One Crore)	Class B Units	2.5% (two and a half percent) of the Corpus or INR 5,00,00,000 (Indian Rupees Five Crore), whichever is lower.	Class C Units	INR 25,00,000 (Indian Rupees Twenty five lacs)	Class D Units	INR 1,00,00,000 (Indian Rupees One Crore)
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Class D Units	INR 1,00,00,000 (Indian Rupees One Crore)										
SPONSOR'S / INVESTMENT MANAGER'S CAPITAL COMMITMENT	The Sponsor / Investment Manager will commit an aggregate amount equivalent to 2.5% (two and a half percent) of the Corpus or INR 5,00,00,000 (Indian Rupees Five Crore), whichever is lower to maintain a continuing interest in the Scheme in accordance with the Regulations. Notwithstanding anything to the contrary, the Sponsor / Investment Manager shall always maintain a continuing interest in accordance with the Regulations and take requisite steps/measures to comply with the same, and such continuing interest shall not be through the waiver of Management Fees. The Sponsor / Investment Manager shall be issued Class B Units, towards its contribution to maintain a continuing interest in the Scheme. In addition to the continuing interest, the Sponsor / Investment Manager may in their sole discretion directly or through their group companies/entities/affiliates/strategic partners, make an Additional										

	Commitment. It is hereby clarified that such Additional Commitment will not be subject to any obligations prescribed for the Sponsor/ Investment Manager under the Regulations. Class B Units and/or a separate Class of Units at the discretion of the Investment Manager may be issued against such Additional Commitment.
COMMITMENT PERIOD	The Commitment Period for each Contributor shall commence from the date of execution of the Contribution Agreement and end on completion of 3 years from the date thereof, during which the Capital Commitments can be drawn down upon issuance of Drawdown Notice/s to the Contributors in accordance with this Master Memorandum and the Contribution Agreements. Details are given under paragraph 10 titled '<i>Commitment Period</i>' in "SECTION VII: PRINCIPAL TERMS OF THE SCHEME".
DRAWDOWNS	Subject to the provisions of paragraph 15 titled '<i>Excuse and Exclusion</i>' and paragraph 17 titled '<i>Defaulting Contributors</i>' in "SECTION VII: PRINCIPAL TERMS OF THE SCHEME", the Investment Manager shall issue Drawdown Notice/s to the Contributors towards payment of Capital Contribution to be utilised to make Scheme Investments, pay Scheme Expenses, maintain reserves or for such other purpose as mentioned in the Drawdown Notice. Contributors will have to make the contributions on an "<i>as needed</i>" basis during the Commitment Period depending on the availability of investment opportunities as determined by the Investment Manager The Contributors shall be required to make their Capital Contribution against their Capital Commitment within 14 (fourteen) Business Days from the date of the Drawdown Notice. The Drawdown Notice may be sent by the Investment Manager through facsimile, electronic mail, registered post/courier at the address as may be specified by the Contributor in the Contribution Agreement and such Drawdown Notice shall be deemed to have been received by the Contributor within 4 (four) days from the date of dispatch of the registered post/courier; within 24 (twenty four) hours from the electronic mail being sent or upon receiving the confirmation of transmission of the facsimile.
CLOSINGS	First Closing: The First Closing shall be held at any date declared by the Investment Manager, subject to the Scheme receiving a minimum Capital Commitment of INR 20,00,00,000 (Indian Rupees Twenty Crore) or such other higher amount as decided by the Investment Manager subject to Applicable Laws, provided that the First Closing shall be held within a period of 12 (twelve) months from the date on which this Memorandum is first taken on record by SEBI. Please refer to paragraph 12 titled '<i>Closings</i>' under "SECTION VII: PRINCIPAL TERMS OF THE SCHEME".

	Subsequent Closing: The Investment Manager has the discretion to hold one or more other closing(s) subsequent to the First Closing but not later than the final closing, i.e. Subsequent Closing(s) and there are no specific timelines for the same. Further, details with respect to additional charges that may be levied or waived in respect of the Contributors coming in the Scheme after First Closing are given under paragraph 13 titled '<i>Unitholders participating in Subsequent Closings</i>' in "SECTION VII: PRINCIPAL TERMS OF THE SCHEME". Final Closing: The Final Closing of Scheme shall be held within 12 (twelve) months from the First Closing. The Investment Manager may extend the Final Closing by a period of up to 6 (six) months. Please refer to paragraph 12 titled '<i>Closings</i>' under "SECTION VII: PRINCIPAL TERMS OF THE SCHEME".
MANAGEMENT FEE	The Management Fee shall accrue to the Investment Manager on a monthly basis and be payable by the holders of Class A Units, Class B Units, Class C Units, Class D Units at the rate of up to 2% (two percent) p.a. on such portion of Capital Contribution received on the Drawdown Date by the respective Contributor. The Investment Manager will have the discretion to reduce or waive the Management Fee applicable to an Investor/Class of Units. The Management Fees payable to the Investment Manager shall be exclusive of all applicable Taxes (including GST and any surcharge/ additional surcharge, as may be applicable) and levies, if any, leviable on such Management Fees, and the same shall be borne by the Scheme and allocated to the holders of Class A Units, Class B Units and such other Classes/ Subclasses of Units as the Investment Manager may designate, as applicable. Please refer to paragraph 19 titled '<i>Management Fee</i>' under "SECTION VII: PRINCIPAL TERMS OF THE SCHEME".
HURDLE RATE OF RETURN	The Hurdle Rate of Return on Class A Units and Class D Units shall be calculated as an XIRR based return on an INR basis at the rate of 12% (twelve percent) p.a., in the manner provided under the paragraph 27 titled '<i>Distributions</i>' under "SECTION VII: PRINCIPAL TERMS OF THE SCHEME".

	The Hurdle Rate of Return shall be calculated from the later of, (i) date of First Closing, or (ii) date of actual Drawdown, till the date of distributions in accordance with the Trust Documents.
ADDITIONAL RETURN	The Additional Return allocated to holders of Class B Units and such other Classes/Subclasses of Units as may be designated by the Investment Manager, shall be apportioned amongst the holders of Class B Units and such other Classes/Subclasses of Units as may be designated by the Investment Manager as per their respective Contribution Agreements or as may be decided by the Investment Manager. Please refer to the paragraph 27 titled '<i>Distributions</i>' under "SECTION VII: PRINCIPAL TERMS OF THE SCHEME".
EXPENSES OF THE SCHEME	Set-up Expenses: The Investment Manager shall be reimbursed and/or can reimburse any third party with respect to one-time Set-up Expenses charged, as part of Operating Expenses, being attributable to costs incurred towards the organization of the Scheme, setting up, legal fees and professional expenses incurred in relation to the preparation of the Trust Documents or any other documents applicable to the Scheme in relation to the offering of all the Classes of Units pursuant to this Memorandum, establishment, registration, etc. and such other costs directly attributable to the establishment of the Scheme and obtaining various licenses, approvals and registrations. Operating Expenses: The Operating Expenses will be borne by the Scheme on actuals and allocated to the holders of all Classes/Subclasses of Units subject to a limit of up to 0.5% p.a. (zero point five percent per annum) of the aggregate Capital Contributions of the Contributors, calculated on a daily basis and chargeable on a quarterly basis, in respect of all Classes of Units (excluding Management Fee and Other Expenses, which shall be charged to the Scheme on an actuals basis, and upon such occurrence). Any such costs and expenses incurred by the Investment Manager shall be reimbursable by the Scheme to the Investment Manager subject to the limit as mentioned hereinabove. The Investment Manager will have the discretion to reduce or waive the Operating Expenses applicable to an Investor/Class of Units. Operating Expenses incurred by the Scheme over and above the aforementioned limit shall be borne by the Investment Manager. The Operating Expenses shall be inclusive of all applicable Taxes (including goods and services tax) and levies, if any (together with surcharge and

	additional surcharge, as may be applicable), leviable on such Operating Expenses and the same shall be borne by the Scheme on behalf of the Contributors and allocated to the holders of all the Classes of Units, as applicable. Please refer to paragraph 23 titled “<i>Expenses (including Operating Expenses and Set-up Expenses) charged to the Scheme</i>” under “SECTION VII: PRINCIPAL TERMS OF THE SCHEME” and “SECTION XII: ILLUSTRATION OF FEES, EXPENSES AND OTHER CHARGES” of this Memorandum for further details.
DISTRIBUTION	Distribution Proceeds will be allocated/distributed to the holders of Class A Units, Class B Units and any further Classes/ Subclasses (if any) in the manner prescribed under paragraph 27 titled ‘<i>Distributions</i>’ under “SECTION VII: PRINCIPAL TERMS OF THE SCHEME” of this Memorandum for further details.

SECTION II: MARKET OPPORTUNITY / INDIAN ECONOMY / INDUSTRY OUTLOOK

The information in this section, unless otherwise stated, (1) represents the research results, market views or opinions of the Investment Manager based on available information and current market conditions and (2) is provided as on the date hereof. Information obtained from third parties and other sources have not been independently verified by the Investment Manager. Growth and other numerical data shown does not represent investment returns and should not be used to predict the Scheme's return.

Indian Economy

India is expected to be one of the fastest growing economies in 2023. After rapid economic growth of 7.2% in the FY2023, economic momentum has remained strong in the first quarter of FY2024, with GDP growth of 7.8% year-on-year (YoY). The strong growth rate was despite high base year effect of Q1FY2023. In the view of the Investment Manager, all recent economic indicators for India signal towards expansionary economic conditions in the near future, reinforced by strong revival in domestic demand.

The stress on India's public finance has gradually reduced since the opening of the economy as GST monthly collections remains on target, moderation of crude oil prices, stable FII inflows and control on expenditure growth. Barring another external shock in the form of the impending global recession across Europe and USA, the government's fiscal consolidation path looks achievable.

India's current account deficit (CAD) had been declining in the past few years due to global trade restrictions during the pandemic. With the opening of the economy, imports surged due to higher commodity prices (oil, gold). This led to widening of trade deficit and hence increased CAD. Net invisible receipts were higher in 2022-23 due to an increase in net exports of services and net private transfer receipts. The sustained large FDI inflows over the past decade have helped to reduce India's external account vulnerability and have contributed to boost India's foreign exchange reserves.

India's external debt as a percentage of GDP is getting lower than 20% and is better positioned than most of the low and middle-income countries (LMICs) as measured by select vulnerability indicators, such as share of short-term debt in total external debt, external debt to GNI (Gross National Income), forex reserves to external debt and external debt to exports. The Investment Manager believes that the less than proportionate rise in external debt given the widening trade deficit is an encouraging sign of manageable risks in India's external sector.

The maturity profile of India's external debt is dominated by long tenure borrowings. Short term debts are approximately 20 per cent of the total external debt and it continuous to remain within manageable levels. India's foreign exchange reserves are at a comfortable level and more than 70 per cent of the total external debt is covered through build up in foreign exchange reserves.

Recent development in India startup eco-system

Indian start-up ecosystem is at an inflection point currently. Despite the Covid-19 impact, the India startup ecosystem has demonstrated robust growth and great resilience. Indian startup ecosystem has registered more than 600 transactions with investors from across the globe exhibiting their confidence with USD 11 billion investments in the first half of 2021. During this period, 16 Indian start-ups entered the coveted unicorn club including Digit Insurance, InnovAccer, Cred, Meesho, Gupshup, Pharomeasy, Groww, Urban

Company, Mohalla Tech (ShareChat and Moj), Chargebee, Moglix, Infra.Market, Zeta, Five Star Business Finance, BrowserStack and logistics firm BlackBuck, the latest entrants.

What is even more heartening is the maturity of the public market. Within the first half of July 2021, three large Indian technology players submitted their prospectus to go public – Zomato, Paytm and Mobikwik. We shall see a number of businesses to tap the public markets going forward after the stellar entry of Zomato and expected great IPOs of Paytm and Mobikwik. It is the most opportune time to invest in the market.

SECTION III: INVESTMENT OBJECTIVE, STRATEGY AND PROCESS

Investments in Alternative Investment Funds are fraught with the risks associated with such investments. The Investment Manager has considered the general risk factors and believes that the Trust's/Investment Schemes' investment strategy, objective/purpose, investment process/methodology, investment model and policies as outlined in this Section II and at other relevant places in this Master Memorandum will assist in addressing and managing some of the risks involved. For further details on the risk factors, see "SECTION VII: RISK FACTORS AND POTENTIAL CONFLICTS OF INTEREST" in this Master Memorandum.

Investment Objective

The Fund is set up with the objective and purpose to carry on the activity of a Category II AIF. The investments from the Contribution Fund shall be arranged, made, managed and disposed of with the view to providing long-term returns to the Contributors in accordance with Applicable Laws and the Trust Documents.

PARAMETERS (IF APPLICABLE)	CATEGORIES (IF ANY)	ALLOCATION AS PERCENTAGE OF INVESTABLE FUNDS (AT THE TIME OF INVESTMENT)
Investment in type of securities	Listed	Up to 0-49% of the Investable Funds.
	Unlisted	Up to 100% of the Investable Funds.
Maximum investment proposed per portfolio company	-	Up to 25% (twenty-five percent) of Investable Funds
Allocation for investment in overseas portfolio companies (if any)	-	--
Sector Allocation (if any)	Sector agnostic	Not applicable
Geographic Allocation (if any)	India	Up to 100% of the Investible Funds may be invested in Indian entities
Any variation to any of the above stated parameters / strategy / allocation	In the event of any change in the aforesaid investment parameters / allocation, the Investment Manager shall provide prior intimation to the Contributors. In the event of any change in the investment strategy, the Fund shall obtain the consent of Two-Third Majority of the Contributors.	

Investment Strategy, Process and Methodology

Investment Strategy

As Investment Managers, our task is to identify the right companies/founders and support them in whatever way possible while being acutely aware of how some of the large megatrends are impacting business on a daily basis. Thus, while we will seek to continuously evolve with the markets, some basic characteristics that all of our portfolio investments will reflect include:

1. Founders who understand consumer behavior, can evolve with the times, and think ahead
2. A fundamental understanding of the end market and its needs
3. Large, organic markets with large enough profit pools
4. Efficient, logical execution
5. Presence of differentiators in terms of product/brand/service, process, execution or technology

The intent through our first fund is investing in equity/equity linked instruments of Companies at the pre-series A, Series A, pre-series Series B, or Series B stages and doubling down on investments at a later stage where appropriate. It will also be our endeavor to try and get minority allocations in slightly more mature companies with a clear path to profitability. If considered prudent and expedient to take advantage of certain investment opportunities, the Investment Manager may also choose to invest in listed equity securities (at any time, not exceeding beyond 49% of the overall fund for publicly listed securities).

Investment Process and methodology

The Investment Manager follows a very disciplined and conscious approach to investing. All investments will go through a detailed round of financial, commercial and legal due diligence; in-depth background and reference checks of founders, and a clear understanding on where the investment team can add value. The process is outlined below:

Deal sourcing: This will be done through the Investment Manager's extensive network, organic sources, portfolio companies' network, partnership with angel networks who want their portfolio companies to get to the next level, soliciting applications on website, and active scanning by the team of the Investment Manager for any identified sectors, referrals from portfolio companies, boutique investment banks etc.

Screening: Here the companies are evaluated based on multiple quantitative and qualitative criteria to generate a score/view that will help decide whether the Investment Manager wishes to spend more time on the opportunity.

Detailed Evaluation: For those that make it through the screening stage, the Investment Manager would evaluate the full financial model to understand revenue and profit trajectory. This would be combined with an analysis of industry trends and key competitor data. The Investment Manager shall hold multiple meetings with the founders and their team, and also verify and do a reference check on background through various sources. The Investment Manager shall evaluate whether their growth and profitability estimates align with their strategy and the potential of the market they operate in. Relevant operational experts will likely be brought in as well to provide a third-party expert view.

Term sheet: At this stage the Investment Manager would make an offer and negotiate a term sheet for the investment.

Due diligence: Financial, commercial and legal due diligence through external auditors, lawyers and consultant may follow.

Documentation and closing: Detailed transaction documents will be drawn up to reflect the terms agreed upon and after the fulfilment of conditions precedent the deal closing would take place.

Strategic Support: While the Fund shall be invested in the company, the Investment Manager shall provide the company access to its network and act as its advisors and sounding board. The Investment Manager shall leverage its resources and relationships to provide all the necessary inputs that it has access to for the success of the Portfolio Companies.

Exit: At an appropriate time as the investment matures, the Fund will generate returns through exits from its Portfolio Companies which would include (partial or full) strategic sale, IPO, sale to a financial investor, redemption, etc.

Supplementary Section

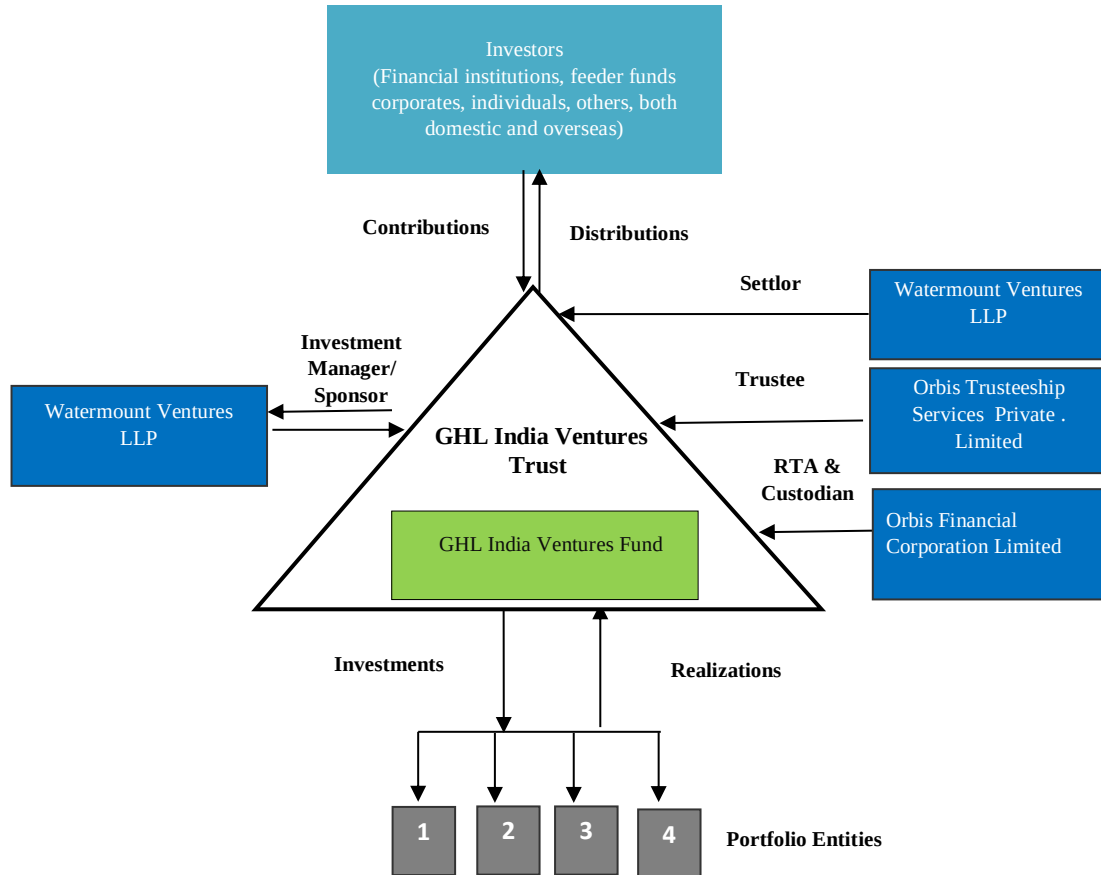
Investment Restrictions

The Fund shall make investments subject to the following restrictions, as well as others as required by SEBI:

- (i) The Fund shall invest '*primarily*' in the unlisted securities of Portfolio Entities.
- (ii) The Fund shall not invest more than 25% (twenty-five percent) of its Investable Funds in one Portfolio Entity.
- (iii) The Fund shall not borrow funds directly or indirectly or engage in leverage except for meeting temporary funding requirements for not more than 30 (thirty) days, not more than 4 (four) occasions in a year and not more than 10% (ten percent) of the Investable Funds.
- (iv) The Fund shall not invest in Associates, except with the approval of Super-Majority of Contributors.
- (v) The Fund does not propose to engage in lending activity or extending guarantee to Portfolio Entities.
- (vi) The Fund does not intend to invest in units of other AIFs.

SECTION IV: SCHEME STRUCTURE

The investment structure may graphically be depicted as under:



Important Notice: This organizational diagram is a simplified illustration of the Scheme's proposed legal structure as of the date hereof and describes in general the manner in which the Scheme intends to hold its investments. This organizational diagram is only a generalisation and does not show all of the entities that may comprise the Scheme.

The Trust

'GHL India Ventures Trust' is formed in India as a contributory determinate investment trust set up by the Settlor under the Indian Trusts Act, 1882 and registered in India under the provisions of Registration Act, 1908. The Trust has been registered with SEBI as a Category II AIF as per the Regulations. The Trust will be required to comply with the Applicable Laws.

The Scheme

‘GHL India Ventures Fund’ is the first scheme of the Trust. Subject to Applicable Laws, the Scheme expects to primarily invest as per the investment philosophy of the Scheme as indicated in this Memorandum.

The Scheme will seek contributions from Investors, in the manner and on the terms laid down under the Contribution Agreements and this Memorandum.

The Trustee

‘**Orbis Trusteeship Services Private Limited**’, a Company incorporated under the Companies Act, 2013, and having its registered office at 4A, Ocus Technopolis, Sector 54, Golf Club Road, Gurugram, Haryana - 122002, will act as the trustee of the Trust and all its schemes, including this Scheme.

For further details about the Trustee, please see “**SECTION V: GOVERNANCE STRUCTURE**”.

Investment Manager

‘**Watermount Ventures LLP**’, a limited liability partnership under the provisions of limited liability partnership Act 2008, having its registered office at Plot No.1, 2nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073 will act as the investment manager to the Trust and all its schemes, including this Scheme.

The Investment Manager has entered into an Investment Management Agreement with the Trustee in terms of which it will manage and administer the investment activity of the Trust and all the schemes (including the Scheme) in accordance with the powers delegated by the Trustee and in accordance with the Applicable Laws and Trust Documents. The Investment Manager will be responsible for the investment program of the Scheme.

Sponsor

‘**Watermount Ventures LLP**’, a limited liability partnership under the provisions of limited liability partnership Act 2008 having its registered office at Plot No.1, 2nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073, India, will act as the sponsor to the Trust and its schemes.

The Sponsor will commit an aggregate amount equivalent to 2.5% (two and a half percent) of the Corpus or Rs. 5,00,00,000 (Indian Rupees Five Crore), whichever is lower, to maintain a continuing interest in the Scheme in accordance with the Regulations.

Registrar to an Issue and Share Transfer Agent (“RTA”)

Orbis Financial Corporation Limited shall act as the registrar to an issue and share transfer agent of the Scheme.

Targeted Investors

Target Investors of the Scheme are institutional investors, high net worth individuals, feeder funds, corporates, financial institutions, banks, insurance companies, foreign investors, and other permissible investors.

SECTION V: GOVERNANCE STRUCTURE

A. Sponsor

a. Name:

'Watermount Ventures LLP', a limited liability partnership incorporated under the provisions of the Limited Liability Partnership Act 2008 having its registered office at Plot No.1, 2nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073, India , will act as the sponsor to the Scheme.

b. Role:

The Sponsor will commit an amount equivalent to 2.5% (two and half percent) of the Corpus or Rs. 5,00,00,000 (Indian Rupees Five Crore), whichever is lower, as continuing interest in the Scheme in accordance with the Regulations. Notwithstanding anything to the contrary, the Sponsor shall always maintain the above-mentioned continuing interest and take requisite steps/measures to comply with the same. Further, the Sponsor shall be responsible for all the activities and obligations as detailed under Regulations.

c. Name of Partners

The names of partners of the Sponsor are as follows:

S.No	Name of the Partner	Designation	Identification Number
1	Mr. Prakash Harishkumar	Designated Partner	07864461
2	Mr. Padmanabhan Narayanan	Designated Partner	10404082

d. Brief profile of partners:

1. Mr. P. Harishkumar

Sr No	Name of organisation	Designation	Period		Work Profile
			From	To	
1	Origin IT & facility Solutions Pvt limited, Chennai	Technical Assistance	Aug 2007	- Feb – 2010	• Accounts Receivables • Stock movement tracking • Stock Audit • MIS • Procurement & Logistic management of Desktop, Laptop and Server requirement

					for Software Technology Park of India, Chennai (STPI)
2	Eastern Express Exports Pvt Ltd, Chennai	Assistance Manager – Account & Finance	Mar 2010	- Jan – 2011	• Export & domestic Accounts Receivables and payable • VAT filing • Stock maintenance & Audit • Production planning • MIS • Obtained refund for Customs rebate
3	Kannan Associates, Practising Chartered Accountant, Erode, Tamilnadu	Assistant Associate	Feb 2011	- Apr -2013	• Auditing • Income tax filing • Company & Trust registration • Project report preparation
4	HR Associates, Erode, Tamilnadu	Founder	May 2013	- Present	• Book Keeping • Audit and Tax compliances • Company, Firm & Trust registration • Charitable trust Income tax exemption and fund raising activities. • Loan syndication • Insurance (health, Life & Vehicle) • Worked Financial model (Fund management & Distribution) for Cinema production Company • Project Report preparation & pitching to investor (achieved from 10 crore to 300 crore) - Sport city project at Bangalore - Chain Coffee shop Chennai - Logistic project, Mumbai - RFID School Management software, Mumbai - Rice mill production and Franchise model, Erode
5.	SHR Professional Services Pvt Ltd, Bangalore	Managing Director	Jan 2021	- Present	• Book Keeping • Project Report • Audit and Tax compliances • Company, Firm & Trust registration • Project Report preparation & pitching to investor (achieved from 10 crore to 300 crore) - Logistic project, Mumbai - Agriculture farming and Trading (300 crore)

2. Mr. N. Padmanabhan

Sr No	Name of organisation	Designation	Period		Work Profile along with Educational details
			From	To	
1.	AURIGA Solutions (Associate of DUN & BRAD STREET Information Services Private Limited)	Media Research Executive	2001	2006	- Maintaining the client data base of D&B - Collecting the data base of Newly incorporated Companies through news periodical and dailies - Preparing report on Strategic decisions of the database Companies. - Updating financial reports of the database Companies through financials published in News papers. - Quality checking of the client database.
3	Blacklagoon Technologies Private Limited (Business partner of NIIT Limited)	Accountant	October 2007	August 2010	- Maintaining accounting transactions from entries to accounts finalization as per GAAP - Statutory Audit co-ordination with Statutory auditor of the Company. - Internal Audit of the Company and Implementation of Audit finding
4	Career Tree HR Solutions Private Limited	Assistant Manager – Finance and Accounts	September 2010	May 2015	- Maintaining accounting transactions from entries to accounts finalization as per GAAP - MIS reporting - Budgeting - Developed Business document process and Accounting Policies
5	Independent Tax Consultant	Proprietor	June 2015	Till date	- Providing tax consulting services for various clients in manufacturing, service and trading sectors - Tax planning for Companies and Individuals - GST return filing - Appear before Income Tax and GST authorities - Central Excise, Service Tax and VAT return filing - Export and Import documentation for Custom clearing - Project report preparation for banking facilities - Loans syndication upto Rs.3 Cr., for Small and Medium Enterprises

S. No.	Name of the member	Qualification
1)	Mr. P. Harishkumar	Master of Commerce (Accounting & Finance), DDE, Annamalai University - 2014
2)	Mr. N. Padmanabhan	B.A (Corporate Secretaryship) - Guru Nanak College, Madras University

B. Trustee

- a) **Name:** Orbis Trusteeship Services Private Limited (“**OTSPL**”), a limited company incorporated under the provisions of Companies Act, 2013 and having its registered office at the 4A, Ocus Technopolis, Sector 54, Golf Club Road, Gurgaon 122002, India, will act as a trustee of the Trust.
- b) **Role:** The Trustee is appointed to manage the Trust Fund / property of the Trust in accordance with the Indenture. The Trustee has appointed the Investment Manager and delegated its functions of managing and administering the Trust Fund in accordance with the Investment Management Agreement. The Trustee shall review activities of the Trust and schemes from time to time, to ensure compliance with the AIF Regulations and submit reports to SEBI on the developments. The Trustee shall be responsible for such other duties as specified under the Indenture.
- c) **Names and brief profiles of the directors:**

1. Mr. Vineet Parekh

Vineet has an MBA in finance with over 20 years of multi-faceted experience in capital markets handling Indian and international operations for AIFs and FPIs, managing custody operations and business relations in the financial services industry.

2. Mr. Upendra Dutt Tripathi

Upendra brings a multi-faceted professional experience with exceptional inter-departmental skills, backed by over 14 plus years of strategic sales delivery in the banking and capital markets industry. With an educational background in engineering and MBA in finance, Upendra has been a pioneer in attracting and managing global investors and enterprises, especially FDIs, FPIs, AIFs and PMSs. He has led multiple development initiatives through a thorough industry understanding efficiently translating his knowledge to business for organisations across his career.

3. Mr. Tejash Gangar

Tejash is a qualified Chartered Accountant and Company Secretary. He is also a commerce graduate from University of Mumbai. He has over 14 plus years of rich experience with the big four accounting firms in the various areas including but not limited to fund raising, structuring of capital, compliance, tax etc. He has expertise in developing investment strategies, products, drafting business commercials in line of various regulations applicable in India.

4. Mr. Mayank Narang

Mayank has over 13 years of experience in capital market, Banking, Trusteeship, custody and RTA. He has valuable exposure in relationship management, team handling and client servicing. Before joining Orbis Mayank has worked with ICICI Bank and Vistra. He has done MBA from IBS Hyderabad and B.Com (hons) from Delhi University.

5. Mr. Rishav Bagrecha

Rishav, with an experience of more than 14 years in the capital markets joined Orbis from SBI Funds Management Pvt. Ltd. Before SBI Funds he had worked as team lead with ICICI Bank in Capital Markets & Custody business. He started his professional career with JP Morgan. Rishav completed his Masters in Business Administration from NMIMS and, also holds CFA from ICFAI University.

d) **Brief profile of directors:**

(as mentioned above)

e) **List of responsibilities retained by the Trustee under the Indenture:**

Please note that the responsibilities that have been assigned to the Trustee, in relation to the Fund, shall be as per the provisions to such effect, as contained in the Indenture of Trust. However, the broad responsibilities that will be assigned to the Trustee, in relation to the Fund, will include the following:

- (i) The Trustee may, upon receipt of the written instructions of the Investment Manager, at any time prior to the Term, terminate any of the Schemes floated under Trust Deed, if any Scheme of the Trust has not received the minimum Capital Commitments as may be required under the AIF Regulations or upon the occurrence of any of the events as contemplated under the Indenture.
- (ii) The Trustee shall, at all times, through the Investment Manager, exercise due diligence in carrying out its duties of protecting the interests of the Contributors of each of the Schemes of the Trust.
- (iii) The Trustee shall ensure that the Trust Fund is kept segregated from all other assets of the Trustee and that of other trusts which may vest in the Trustee. The Trustee shall ensure that the Investment Manager keeps the Trust Fund segregated from all other assets of the Investment Manager and that of the Trust and/or other trusts which may be managed by the Investment Manager. Further, the Trustee shall ensure that the Investment Manager keeps all assets of each Scheme segregated from all the assets of the other Schemes.

f) **List of responsibilities of the Trustee, delegated to Investment Manager as per the Indenture:**

The list of responsibilities of the Trustee that have been assigned to the Investment Manager, in relation to the Fund, shall be as per the provisions to such effect, as contained

in the Investment Management Agreement. However, the broad responsibilities of the Trustee, delegated to Investment Manager, in relation to the Fund, will include the following:

- (i) The Investment Manager shall be delegated and be made responsible by the Trustee, to undertake all the operational and management decisions and actions for the Trust and its Schemes including but not limited to investment of funds, divestments, realisation of return on investment, legal proceedings, write-off, abandonment of legal proceedings, addressing any issues or show cause notice issued by SEBI or any other regulator, make necessary filings with SEBI, comply with the duties and obligations provided in the Contribution Agreements with the Beneficiaries and such other matters as may be mutually agreed between the Trustee and the Investment Manager.
- (ii) The Trustee will unconditionally delegate the powers of management of the Trust (including the Schemes) and such other powers as contained in the Deed to the Investment Manager as more specifically provided in the Investment Management Agreement.
- (iii) Each Scheme will be organised, administered and managed by the Trustee in accordance with the Deed, the respective Memorandum and the Contribution Agreement, and any other ancillary documents/agreements as may be considered necessary by the Trustee.

Please note that the above-listed responsibilities of the Investment Manager in relation to the Fund shall be in addition to the responsibilities of the Investment Manager contained under sections A and C of this “**SECTION V: GOVERNANCE STRUCTURE**”.

C. Investment Manager

a. Name:

‘**Watermount Ventures LLP**’, a limited liability partnership incorporated under the provisions of the Limited Liability Partnership Act, 2008 having its registered office at Plot No.1, 2nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073, India, will act as the investment manager to the Scheme.

b. Role:

The Investment Manager has entered into an Investment Management Agreement with the Trustee in terms of which it will manage the affairs of the Trust and the Scheme in accordance with the powers delegated by the Trustee and in accordance with the Applicable Laws. The Investment Manager will also be responsible for the investment program of the Scheme. The Investment Manager and the Trustee shall ensure compliance by the Scheme with the code of conduct as specified under the Regulations. The Investment Manager shall be responsible for every decision of the Scheme, including ensuring that the decisions are in compliance with the provisions of the Regulations, terms of Trust Documents (including any internal policies and procedures laid down for the Scheme) and Applicable Laws.

c. *Names of Partners:*

Refer Point c of Part A of this section.

d. *Brief profile of partners:*

Refer Point d of Part A of this section

e. *List of responsibilities assigned to the Investment Manager under the Investment Management Agreement*

The functions and duties of the Investment Manager will *inter alia* include the following:

- carrying out appraisal and due diligence of any Portfolio Companies and investment proposals;
- taking decisions as to investment, divestment and distribution of the monies of the Trust Fund in accordance with the Trust Documents;
- issuing Drawdown Notices to the Investors for Drawdown of the Capital Commitments;
- issuing Statement of Accounts or unit certificates (as the case may be) to the Contributors;
- issuing different Classes/Subclasses of Units under each Scheme;
- assisting in conducting meetings of the Investment Committee;
- recording any transfers of Units of the Contributors;
- issuance, making distributions or redemption of any Units;
- exercising all due diligence and vigilance in carrying out its duties and in protecting the rights and interest of each Contributor;
- opening and operating bank account/s or any other account for the operation of Scheme with any bank/intermediary; and
- to do all such acts, deeds as may be required to perform with respect to the Scheme.

List of responsibilities of the Investment Manager delegated to another person under any arrangement, along with details of the said person

The Investment Manager may outsource or delegate its non-core business activities to other person subject to compliance with SEBI circular CIR/MIRSD/24/2011 dated December 15, 2011, on 'Guidelines on Outsourcing of Activities by Intermediaries'.

D. Key investment team

a) *Description of the role of the management team in the operations of the Scheme:*

The key investments team of the Investment Manager will comprise of employees/partners of the Investment Manager. The key investment team of the Scheme shall be responsible for managing the investment and divestment of the Contribution Fund and carry out all the other activities incidental thereto including appraisal of investment opportunities and monitoring the Portfolio Entities of the Scheme in accordance with the Trust Documents.

b) *Names and profiles of investment team members:*

(i) **Mr. Naman Dhamija**

Sr No	Name of organisation	Designation	Period		Work Profile
			From	To	
1	Axis Bank, Neemuch, Madhya Pradesh	Operations Executive	June 2007	July 2009	• Handling all aspects of Branch Operations; handling Savings Bank, Current Accounts, Cash Credit accounts, Term Deposits, Cash Management, Remittances, Bills collections, Clearings, Demat, CMS and processing of warrants and disbursement, RTGS and NEFT. • Responsible for all third-party products.
2	ALCHEMY CAPITAL MANAGEMENT PRIVATE LIMITED (Portfolio Manager Reg.: INP000000365)	Sr. Manager- Products And Investment	August 2009	August 2017	• Managing Over all Assets were 7500 crs. i.e. managing wealth of clients through investment PMS, AIF and other structure products. • Has delivered decent returns on equities after providing exits from investments • Analysing investment processes, conducting / trend analysis and using various business tools to assist the critical decision-making process. • In depth analysis of Equity, Fixed Income, Hybrid, ETFs, Index and Sectoral Mutual Funds and preparation of Product Notes, Product Presentations and Product Updates. • Financial Planning and wealth management, Analysis of clients' portfolios and restructuring which includes asset allocation, risk mapping, Portfolio

					analytics, Monitoring of portfolio risk parameters, liquidity analysis. • Providing advisory services regarding the processes, procedures and strategies for securities investment as well as positional trading ideas in stocks, ensuring high ROI. • Responsible for overall Risk management by tracking deviations in all portfolios with respect to Asset allocation, Risk diversification and un recommended product allocation
3	ASIAN MARKETS SECURITIES PRIVATE LIMITED (Portfolio Manager Reg.: INP000004680)	AVP - Products & Investment Advisory	Aug 2017	Aug 2018	• Managing overall assets under PMS is Rs.55 Crs • Designing systems/ procedures entailing mapping investment processes and studying workflow to design solutions, ensuring high productivity/ profitability and enhance competitive advantage. • Research and analysis of Mutual funds, AMSEC Portfolio Management services and other structured financial products, Portfolio Attribution Analysis. • Financial Planning and wealth management, Analysis of clients' portfolios and restructuring which includes asset allocation, risk mapping, Portfolio analytics, Monitoring of portfolio risk parameters, liquidity analysis.
4.	NPNG Wealth Advisers LLP	Founder	Aug 2018	Jan 2021	• Managing overall assets under Advisory on offshore - Rs.750 Crs • Managing overall Rs.20 Cr., in Distribution of MF and PMS. • Ensure to onboard Private Equity Deals HNI and UHNI and FO client. • Closed 3 Private Equity Deals :- One in Gaming Industry Worth Rs.20 crs Tranche 1, Tranche 2 in April 2021 worth Rs.30 Crs ,Healthcare and Mens Grooming Range Rs.3 Crs and Sports IOT Rs.10 Crs .

5.	Cogniphy – AIF Category – I (Angel Fund)	Fund Manager	March 2023	January 2024	- Raising funds from investors and managing a decent fund size of all angel investors and investing in start-ups - Liaising with clients and their representatives to explore their investment preferences and appetite for risk - Providing necessary information to investors as per the Statutory requirements
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(ii) **Mr. Prabhu Kumar**

Name of the Organisation	Designation	Period	Work Profile
Anna University	Professor	October 1987 – till present	• Joined and served the College of Engineering, Guindy and teaching various UG/PG courses in Civil, Structural, Construction Materials, Methods, Quantitative methods, Project Management, Computer Applications, guided for UG/PG thesis in Teaching / Research / Consulting career spanning for 35 years • Contributed by assisting to the university/ college administration in admissions, student counselling, Welfare Activities, NSS, Hostel, Examinations, Valuations and Results, Class and course committees, Affiliations, Inspections, Entrance examinations, university/college functions, exhibitions, symposiums / seminars, Society activities etc as directed by the administration.

- Qualification of each investment team member

S. No.	Name of the member	Qualification
1	Mr. Naman Dhamija	Bachelor of Commerce: Accounting And Computer Science - GovindRam Sakseria College – Jabalpur - March 2005 Master of Business Administration Finance (Banking and Investment Banking) - ICFAI University – Hyderabad- March 2007 PhD in Finance (Investment Modeling) - Stanford University -2016 Chartered Financial Analyst (CFA) - CFA Institute- 2014

		Financial Risk Management - Global Association of Risk Professional
2	Mr. P K Prabhu Kumar	Master of Business Administration Finance (Banking and Investment Banking)

- Any additional members of the management team of the Scheme.

Key Management Personnel of the Investment Manager/ Scheme

In accordance with paragraph 13.1.3 of SEBI Master Circular dated July 31, 2023', the details of the key management personnel are as follows:

Sr. No.	Name of the members	Designation	Role performed
1.	Mr. Prakash Harishkumar	Designated Partner	- Compliance - Taxation
2.	Mr. Padmanabhan Narayanan	Designated Partner	- Fund Accounting - Banking
3.	Mr. Naman Dhamija	Fund Manager	- Fund Management
4.	Mr. P K Prabhu Kumar	Vice President	- Due Diligence

c) *Involvement of the key investment team members in advising and/or managing any other funds: NIL*

The team of the Investment Manager will only devote so much of their time to the Scheme's affairs as is, in their judgment, reasonably required. The team members in addition to their responsibilities for the Scheme will have responsibilities for other funds, projects and clients.

Change of the Investment Manager

The Investment Manager may be changed for a "Cause" (as described below) if 90% (Ninety Percent) of Contributors by value in the Trust vote to change the Investment Manager after giving a 6 (Six) months written notice ("**Cure Period**") to the Investment Manager of such "Cause" and the Investment Manager fails to cure such "Cause" within the Cure Period.

Change for "Cause"

For the purposes of change of the Investment Manager, "Cause" shall be established where of the following circumstances is proven before the highest court of appeal, and causes the Trust/Investment Schemes to suffer a material financial disadvantage:

- (i) the Investment Manager is in material breach of its material obligations under the terms of

the Material Documents for which a written notice has been served upon the Investment Manager (through the Trustee) specifying the nature of breach and the Investment Manager has failed to cure such default within a period of 30 (Thirty) days from the date of receipt of such notice by the Investment Manager;

- (ii) proceeding of bankruptcy, insolvency, administration, involuntary reorganization or similar proceedings have been admitted against the Investment Manager; or
- (iii) the Investment Manager has engaged in Malfeasance in connection with its role as the Investment Manager.

In such an event (if the “Cause” has not been cured), the Super-Majority of Contributors of the Trust may appoint another investment manager.

Notwithstanding anything stated under this Master Memorandum, upon the removal of the Investment Manager, the Management Fee till the date such removal of Investment Manager is effected, shall be due and payable to the Investment Manager. No conditions are envisaged where the Investment Manager shall be ineligible to receive the Management Fee.

For more details, kindly refer to “**SECTION X: RISK FACTORS**” of this Memorandum.

E) Key persons of the Scheme (other than at point D above), and details of the same (such as industry experts, research analyst, entities involved in deal sourcing, etc.).

Not Applicable

F) Investment Committee

Not Applicable.

- Compliance Officer

In accordance with paragraph 13.1.1 of SEBI Master Circular, the details of the Compliance Officer of the Scheme are as follows:

<i>Sr. No.</i>	<i>Name of the Compliance Officer</i>	<i>Designation</i>
1.	Mr. Prakash Harishkumar	Designated Partner & Compliance Officer

The Compliance Officer shall satisfy the eligibility criteria prescribed under the Regulations and comply with the Regulations including Regulation 20(19) and/or other conditions prescribed by SEBI from time to time.

G) Advisory Board

The Investment Manager does not contemplate constitution of an Advisory Board in relation to the Scheme.

H) Deal Advisory Committee

The Investment Manager does not contemplate constitution of a Deal Advisory Committee in relation to the Scheme.

I) Operating partners, portfolio company advisor or such other bodies

Not Applicable.

J) Note:

- **Notwithstanding any information/ statements given above, the ultimate responsibility with regard to the continuous compliance of the Scheme with all applicable SEBI Regulations and Circulars, etc. shall be vested with the Investment Manager.**
- **The adherence to this Memorandum shall be audited on an annual basis by an independent auditor and the findings of the same shall be placed before the Investment Manager, Trustee and also submitted with SEBI. In case of any adverse findings, the corrective steps taken shall also be submitted.**

SECTION VI: TRACK RECORD OF INVESTMENT MANAGER

I. Type of Investment Manager:

‘Watermount Ventures LLP’, a limited liability partnership incorporated under the provisions of the Limited Liability Partnership Act 2008 having its registered office at Plot No.1, 2nd Street Extn, Ricky Garden, Selaiyur, Rajakilpakkam, Kanchipuram, Tambaram, Tamil Nadu – 600073, India , will act as the investment manager to the Trust and all its Schemes, including the Fund. The Investment Manager is a first-time manager.

II. Track Record of the Investment Manager:

As the Investment Manager is a first-time manager, it does not have prior experience in fund management. The Partners and members of the key investment team of the Investment Manager has adequate experience in fund management activities.

Please refer to Paragraph D under “SECTION V: GOVERNANCE STRUCTURE”, for a brief profile of the key investment team of the Investment Manager including performance of funds managed earlier by the key investment team.

Disclaimer:

The disclosures in relation to the performance track record of the individual members of the team indicated under “SECTION V: GOVERNANCE STRUCTURE” above, may not necessarily be a representation of the expected performance of the Fund/Scheme. Investors are requested to use their own independent assessment and judgement while attributing the credit of the past track record to the Manager.

Risk factors

The Investment Manager shall manage the assets of the Fund/Trust and will consider its investments and divestments exclusively. The Investment Manager has no operating track record. Therefore, judgments of the Investment Manager’s expected performance cannot be extrapolated from the past performance of the Investment Manager and/or the key investment team. Please refer to detailed risk factors under “SECTION X: RISK FACTORS” of this Memorandum.

SECTION VII: PRINCIPAL TERMS OF THE SCHEME

*This is a description of the principal terms (“**Principal Terms of the Scheme**”) pertaining to Water Mount Fund. This section provides the Principal Terms of the Scheme, which may be provided in detail elsewhere in this Memorandum. The terms hereof are subject to modification or withdrawal prior to First Closing and/or Subsequent Closings.*

1.	SIZE OF THE SCHEME	The target Corpus of the Scheme is up to Rs.50,00,00,000 (Indian Rupees Fifty Crores) with a green shoe option of up to Rs. 50,00,00,000 (Indian Rupees Fifty Crores). The Investment Manager may, in its discretion, increase or decrease the size of the Scheme in compliance with the Regulations.						
2.	TARGET INVESTORS	Target Investors of the Scheme are institutional investors, high net worth individuals, feeder funds, corporates, financial institutions, banks, insurance companies, foreign investors, and other permissible investors. <i>Eligibility Criteria:</i> For the purposes of subscribing to the Units of the Scheme, a Person must fulfil the Eligible Person criteria. Further, please refer to paragraph 3 on ‘Classes of Units’ and paragraph 5 on ‘Minimum Capital Commitment’ under this “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”.						
3.	CLASSES OF UNITS	The Scheme shall issue the following Classes of Units: <table><tr><th>Class</th><th>Description</th></tr><tr><td>Class A Units</td><td>To Contributors, who are investing in the Fund through a Placement Agent, in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class A Units shall be issued in various Subclasses, for instance Class A1 Units, Class A2 Units, etc. to signify an interest in each Investment Scheme.</td></tr><tr><td>Class B Units</td><td>To the Sponsors and/or such Eligible Person/s who are strategically important/valuable to the Trust, as the Investment Manager may designate, in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class B Units shall be issued in various Subclasses,</td></tr></table>	Class	Description	Class A Units	To Contributors, who are investing in the Fund through a Placement Agent, in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class A Units shall be issued in various Subclasses, for instance Class A1 Units, Class A2 Units, etc. to signify an interest in each Investment Scheme.	Class B Units	To the Sponsors and/or such Eligible Person/s who are strategically important/valuable to the Trust, as the Investment Manager may designate, in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class B Units shall be issued in various Subclasses,
Class	Description							
Class A Units	To Contributors, who are investing in the Fund through a Placement Agent, in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class A Units shall be issued in various Subclasses, for instance Class A1 Units, Class A2 Units, etc. to signify an interest in each Investment Scheme.							
Class B Units	To the Sponsors and/or such Eligible Person/s who are strategically important/valuable to the Trust, as the Investment Manager may designate, in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class B Units shall be issued in various Subclasses,							

			for instance Class B1 Units, Class B2 Units, etc. to signify an interest in each Investment Scheme.
		Class C Units	To the partners/employees of the Investment Manager and/or employee welfare trust and/or to any such Eligible Persons who are strategically important/valuable to the Trust, as the Investment Manager may designate, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class C Units shall be issued in various Subclasses, for instance Class C1 Units, Class C2 Units, etc. to signify an interest in each Investment Scheme.
		Class D Units	To Contributors, who are investing in the Fund (i) directly, or (ii) through a SEBI registered intermediary which is separately charging such Contributor any fee (such as advisory fee or portfolio management fee), in accordance with the terms of their respective Contribution Agreements, the face value of which shall be INR 1,000 (Indian Rupees One Thousand). Class D Units shall be issued in various Subclasses, for instance Class D1 Units, Class D2 Units, etc. to signify an interest in each Investment Scheme.
		The Scheme shall issue Units in accordance with the Trust Documents. It is clarified that Units may include a fraction of a Unit evidencing Beneficial Interest in the Scheme of a value less than the face value of the respective class of Units. It is clarified that currently no investors are expected to invest through Placement Agent/s or SEBI-registered intermediaries which is separately charging such Contributor any fee (such as advisory fee or portfolio management fee). In case such investors are onboarded, then new Classes of Units shall be issued to such investors. Subject to the Regulations, the Investment Manager may at its sole discretion issue additional Class/es or Subclass/es/series of Units from time to time, which may <i>inter alia</i> have differential rights, variable fee/charge structure, face value, currency denomination etc. The Investment Manager shall have the right to designate/re-designate any Class/Subclass to another Class/Subclass. All existing and future Class/es and/or Subclass/es of Units shall participate in the common investment portfolio of the Scheme except in case of a Defaulting Contributor.	

		The Investment Manager’s decision to classify / reclassify the Investors under any of the Class/Subclass shall be final and binding on all the Investors. The economic and special rights attached to the Class/es of the Scheme are as provided for under this Memorandum. Further, please refer to paragraph 39 under the term ‘<i>Side Letters</i>’ under this “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”. Any special rights attached to any Classes of Units issued by the Scheme shall not have any adverse impact on the economic rights or any other rights of other Investors. The Fund shall issue Units in dematerialised form subject to the conditions specified by SEBI from time to time.				
4.	LIST OF INDICATIVE TIMELINES FOR THE SCHEME	List of indicative timelines for the Scheme are as follows: a) <u>First Closing</u>: Please refer to paragraph 10 titled ‘<i>Closings</i>’ under this “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”. b) <u>Subsequent Closing</u>: Please refer to paragraph 10 titled ‘<i>Closings</i>’ under this “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”. c) <u>Final Closing</u>: Please refer to paragraph 10 titled ‘<i>Closings</i>’ under this “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”. d) <u>Commitment Period</u>: Please refer to paragraph 8 titled ‘<i>Commitment Period</i>’ under this “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”. e) <u>Term of the Scheme</u>: Please refer to paragraph 7 titled ‘<i>Term of the Scheme and Termination</i>’ under this “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”.				
5.	MINIMUM CAPITAL COMMITMENT	Subject to the Regulations, the minimum Capital Commitment as applicable to each Class of Units shall be as under: <table><tr><th>Class of Units</th><th>Minimum Capital Commitment</th></tr><tr><td>Class A Units</td><td>INR 1,00,00,000 (Indian Rupees One Crore)</td></tr></table>	Class of Units	Minimum Capital Commitment	Class A Units	INR 1,00,00,000 (Indian Rupees One Crore)
Class of Units	Minimum Capital Commitment					
Class A Units	INR 1,00,00,000 (Indian Rupees One Crore)					

		<table><tr><td>Class B Units</td><td>2.5% (two and a half percent) of the Corpus or INR 5,00,00,000 (Indian Rupees Five Crore), whichever is lower.</td></tr><tr><td>Class C Units</td><td>INR 25,00,000 (Indian Rupees twenty Five Lacs)</td></tr><tr><td>Class D Units</td><td>INR 1,00,00,000 (Indian Rupees One Crore)</td></tr></table> However, the Investment Manager may at its discretion prescribe any amount as minimum Capital Commitment from each Contributor, subject to the Regulations. The following can act as joint Investors (maximum up to 2 (two)) wherein each such Investor contributes and the aggregate sum invested by joint Investors collectively is at least INR 1,00,00,000 (Indian Rupees One Crore): i. a Contributor and his/her spouse who is also an Eligible Person, ii. a Contributor and his/her parent who is also an Eligible Person, iii. a Contributor and his/her daughter/son who is also an Eligible Person. Without prejudice to the above, in case of any other Investors acting as joint Investors, for every Investor, the minimum investment of INR 1,00,00,000 (Indian Rupees One Crore) or any other minimum amount as provided in the Regulations, shall apply. Notwithstanding anything stated in this Memorandum and subject to Applicable Laws, no such minimum Capital Commitment requirement shall be applicable to Accredited Investors.	Class B Units	2.5% (two and a half percent) of the Corpus or INR 5,00,00,000 (Indian Rupees Five Crore), whichever is lower.	Class C Units	INR 25,00,000 (Indian Rupees twenty Five Lacs)	Class D Units	INR 1,00,00,000 (Indian Rupees One Crore)
Class B Units	2.5% (two and a half percent) of the Corpus or INR 5,00,00,000 (Indian Rupees Five Crore), whichever is lower.							
Class C Units	INR 25,00,000 (Indian Rupees twenty Five Lacs)							
Class D Units	INR 1,00,00,000 (Indian Rupees One Crore)							
6.	SPONSOR / INVESTMENT MANAGER CAPITAL COMMITMENT	The Sponsor / Investment Manager will commit an aggregate amount equivalent to 2.5% (two and a half percent) of the Corpus or INR 5,00,00,000 (Indian Rupees Five Crore), whichever is lower to maintain a continuing interest in the Scheme in accordance with the Regulations. Notwithstanding anything to the contrary, the Sponsor / Investment Manager shall always maintain a continuing interest in accordance with the Regulations and take requisite steps/measures to comply with the same, and such continuing interest shall not be through the waiver of Management Fees. The Sponsor of the Scheme shall be issued Class B Units, towards its contribution to maintain a continuing interest in the Scheme. In addition to the continuing interest, the Sponsor / Investment Manager may in their sole discretion directly or through their group						

		companies/entities/affiliates/strategic partners, make an additional Capital Commitment to the Scheme (“Additional Commitment”). It is hereby clarified that such Additional Commitment will not be subject to any obligations prescribed for the Sponsor under the Regulations. Class B Units and/or a separate Class of Units at the discretion of the Investment Manager may be issued against such Additional Commitment.
7.	CO INVESTMENT OPPORTUNITIES	Subject to and in compliance with the Regulations and Applicable Laws (including applying for any additional license/s as may be required under the SEBI (Portfolio Managers) Regulations, 2020), the Investment Manager may, at its discretion, offer Co-investment opportunities to certain eligible Contributors (in accordance with certain qualification criteria which, inter alia, may be a minimum threshold of Capital Commitment by the Contributors or the strategic value that a Co-Investor may add to the Portfolio Entity and/or the Trust) (each a “Co-Investor”), at such times and on such terms as it may determine. The terms on which Co-Investors participate in investments alongside the Trust may be similar to the terms on which the Trust participates in those investments, or they may be on different terms in accordance with Applicable Laws. Co-investment in a Portfolio Entity by the Investment Manager and/or Sponsors and/or a Co-Investor shall never be on terms more favourable than those offered to the Trust. Further, the terms of exit from the Co-Investment in a Portfolio Entity including timing of exit shall be identical to the terms applicable to that of exit of Trust. The Investment Manager may receive any compensation from the Co-Investors in relation to their Co-investment which could be different from the fees or compensation charged to the Trust and shall not be obliged to remit these amounts to the Trust. Similarly, any transactional expenses in respect of a Co-investment opportunity incurred by the Trust shall be shared proportionately between the Trust and such Co-Investors in the ratio of their amount of investments. Subject to the foregoing, (i) each of the Trust and the Co-Investor will act independently and not as an agent of the other; (ii) each of the Trust and the Co-Investor will make its own decisions on investments and bear its own expenses as well as be entitled to the profits and losses arising from its investments; and (iii) the Trust and the Co-Investor are not expected to act jointly or make any joint decisions or association of persons and do not intend to form any joint venture or partnership for the purpose of making investment.

8.	CONTINUING INTEREST	The Sponsors will commit an amount equivalent to 2.5% (two and a half percent) of the Corpus or Rs. 50,00,000 (Indian Rupees Fifty Lakhs), whichever is lower, in aggregate across all the Investment Schemes of the Trust, to maintain a continuing interest in accordance with the Regulations.
9.	TERM OF THE SCHEME AND TERMINATION	<u>Term:</u> The term of the Scheme shall be a period of 10 (Ten) years from the First Closing which may be extended by the Investment Manager by up to 2 (two) years with the prior consent of Two-Third Majority of Contributors obtained in accordance with the terms contained in the Contribution Agreements and Applicable Laws (“Term”). <u>Termination:</u> The Trust shall terminate in accordance with the terms of the Indenture and Applicable Laws. Without prejudice to the above, the Scheme shall terminate on expiry of the Term of the Scheme/ Trust (as applicable). Without prejudice to the above, the Investment Manager, may subject to the restrictions contained in the Applicable Laws, at any time before the expiry of the Term, terminate the Scheme: • upon a determination by the Investment Manager that: (a) all assets held, acquired or agreed to be acquired by the Scheme have been sold or disposed of or distributed in specie in accordance with the Applicable Law and Trust Documents; or (b) assets agreed to be acquired in accordance with the Trust Documents are not capable of being acquired, as the case may be, and related Distribution Proceeds or Capital Contributions, in case of unconsummated transactions, have been distributed in accordance with the Trust Documents and no further drawdowns for new investments can be made from Contributors; • if the Trustee (in consultation with the Investment Manager) determines that the Scheme be wound up in the interest of the Contributors; or • if Super-Majority of the Contributors in the Scheme pass a resolution at a meeting of Contributors that the Scheme be wound up; or • if SEBI so directs in the interest of the Contributors.

		The Trustee, through the Investment Manager, shall intimate SEBI and the Contributors of the circumstances leading to the winding up of the Scheme. Notwithstanding the termination of the Scheme, the Contributors shall continue to remain liable to the following extent: • The Scheme will continue for such period of time as may be necessary to liquidate existing Scheme Investments in an orderly manner (subject to a maximum period of 1 (one) year from the aforesaid date of intimation to the Contributors) (“Liquidation Period”); • Capital Commitments will not be extinguished to the extent necessary to pay the Scheme Expenses including any Taxes payable under Applicable Laws; and • The Management Fee, Trusteeship Fees and other fees/costs will continue to be payable as per provisions of the Trust Documents until the Scheme terminates and is dissolved. Once the Scheme liquidates, the proceeds accruing to the Contributors shall be distributed to them after satisfying all liabilities of the Scheme in accordance with paragraph 25 titled ‘Distributions’ under this “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”. To achieve effective winding up of the Trust/Scheme, the Investment Manager shall: • take all practical steps to sell all the non-cash assets of the Scheme/Trust; • commence arrangements to pay all the liabilities of the Trust/Scheme including but not limited to the Scheme Expenses; • return to the extent of the available cash in the Contribution Fund, all outstanding interests in the Scheme/Trust in accordance with the terms contained in the Trust Documents; and • take any other action as may be provided under the Indenture. If there are any unliquidated investments of the Scheme, the Investment Manager may, (i) subject to obtaining approval from Super-Majority of Contributors, transfer any unliquidated investments to a “Liquidation Scheme” in accordance with the Regulations, or (ii) subject to obtaining approval from Super-Majority of Contributors, make distributions in specie of the Scheme Investments which may not have been liquidated
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		at the end of the Term to the Contributors, in accordance with the terms set out under paragraph 26 on ' <i>Distribution in-kind</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME ", or (iii) failing to liquidate any unliquidated investments, and failing to receive the requisite Contributor consent to carry out the options under sub-clauses (i) or (ii) above prior to the expiry of the Liquidation Period, carry out mandatory in specie distributions of the unliquidated investments in accordance with the Regulations without requiring a Super-Majority of Contributors (or write off such unliquidated investments in case of any Contributor not willing to take the in specie distribution of unliquidated investments).
10.	COMMITMENT PERIOD	The Commitment Period for each Contributor shall commence from the date of execution of the Contribution Agreement and end on the completion of 3 years from the date thereof. At the end of the Commitment Period, the Contributor shall be released from the obligation of making any further Capital Contribution against his undrawn Capital Commitment (not consisting of amount, towards which Drawdown Notice has been issued but payment not received from the Contributor and therefore the Contributor shall continue to be liable to pay the same even post the Commitment Period) except: (i) to the extent necessary to complete Investments, in which a Contributor participates, in progress as of the end of the Commitment Period; (ii) to the extent necessary to cover the ongoing expenses and liabilities of the Trust/Investment Schemes, including, but not limited to any expenses/fees, Tax liabilities and any indemnification obligations; and (iii) to create reserves for the above items as deemed appropriate by the Investment Manager.
11.	WAREHOUSED INVESTMENTS	In the event the Investment Manager identifies any investment opportunities with respect to potential Portfolio Entities and decides to make an investment in such Portfolio Entities ("Warehoused Investments"), the Investment Manager may either itself and/or through such Persons identified by the Investment Manager or through the Sponsor ("Warehousing Entity/Individual"), make investments in such Portfolio Entities. Warehoused Investments may be made at any point prior to Final Closing. The transfer of the Warehoused Investments from the Warehousing Entity/ Individual to the Scheme shall be made within 6 (Six) months from the date of relevant Closing prior to which such Warehoused Investment is made. In the event a Warehoused Investment is

		transferred to the Scheme after a period of 6 (Six) months from the date of warehousing, the transfer of Warehoused Investment shall be made at the fair market value, as reasonably determined by the Investment Manager. Further, the Scheme shall reimburse the Warehousing Entity/Individual for reasonable costs/expenses, but not more than the actual costs/expenses, incurred by the Warehousing Entity/Individual. Prior to the signing of the Contribution Agreement, the Contributor will be made aware of the size and sector/ business of the Warehoused Investment and the name of the investee entity will be disclosed post signing of the Contribution Agreement. In case a Warehoused Investment is made post signing of the Contribution Agreement, then the information regarding such Warehoused Investment shall be disclosed to the Contributor within 15 (fifteen) days from the date of such Warehoused Investment. Refer to risk factor ‘Associate Party Transactions’ under paragraph C (1) titled “Risks associated with the nature of the portfolio investments” in “SECTION X: RISK FACTORS”.
12.	CLOSINGS	The first closing shall be held on or before the expiry of 12 (twelve) months from the date on which SEBI takes this Master Memorandum on record (“First Closing”), provided that, the Trust has a Corpus of at least Rs. 20,00,00,000 (Indian Rupees Twenty Crores only). Investments in Portfolio Entities will be made only after the First Closing. The Investment Manager has the discretion to hold Subsequent Closing(s). The final closing means the last of the Closings permitted by the Investment Manager for accepting Capital Commitments in accordance with the terms of the Material Documents (“Final Closing”). The Final Closing shall be held not later than 12 (Twelve) months from the First Closing. It is clarified that any soft Capital Commitment letter/s or such other document (as may be agreed between Contributor and Investment Manager) executed by the Contributor prior to the date of Final Closing shall form part of the Final Closing.
13.	UNITHOLDERS PARTICIPATING IN SUBSEQUENT CLOSINGS	Contributors admitted to the Scheme (or increasing their Capital Commitments to the Scheme) after the First Closing will, upon admission (or increase), be required to contribute to the Scheme, as applicable: (i) the aggregate amount (other than towards the Management Fees) each would have had to contribute to the Scheme through the Subsequent Closing had such Contributor been admitted to the Scheme at the First Closing (the “Catch-up Contribution”), plus (ii) an additional amount, as may be determined by the Investment

		Manager (the “Compensatory Contribution”) (compounded annually, calculated from the date of First Closing till the date of the admission (or increase), on such Catch-up Contribution), (iii) Management Fees payable retrospectively from the First Closing in respect of their Capital Commitments to the Scheme; (iv) an additional contribution as determined by the Investment Manager (“Management Fees Additional Contribution”) in respect of the Management Fees payable retrospectively from the First Closing in respect of their Capital Commitments to the Scheme, less; (v) their proportionate share of all distributions (if any) made to Contributors admitted in prior Closings. The Investment Manager shall however have the power to waive or increase or reduce, on a case-to-case basis, the Compensatory Contribution and the Management Fees Additional Contribution. Any amount paid as Management Fees Additional Contribution will be paid to the Investment Manager. Catch-up Contributions pursuant to the Capital Commitment received by the Scheme in such Subsequent Closing or Final Closing may be retained as part of the Contribution Fund to be utilized towards Scheme Investments or satisfaction of Scheme Expenses (including towards any reserves in that regard), provided any amount not so retained shall be immediately distributed (subject to withholding Taxes, as applicable) amongst all the Contributors in proportion to their respective Capital Contribution and such amounts distributed to the Contributors shall be subject to recall by the Scheme. The Compensatory Contribution applicable to such incoming Contributor (i) will not be applied to the subscription of Units in respect of such Contributor; (ii) will not be treated as a Capital Contribution to the Scheme in respect of such Contributor; and (iii) will not reduce such Contributor’s Capital Commitment. The Compensatory Contribution collected in connection with a Subsequent Closing or Final Closing shall be distributed (subject to withholding Taxes, as may be applicable) amongst the Contributors of the Scheme admitted prior to such Subsequent Closing or Final Closing (as applicable) requiring the payment of such Compensatory Contribution, which distribution may be effected either by a pro rata refund or set off against their respective undrawn Capital Commitments. It is clarified that any Tax liability on the payment of Compensatory Contribution shall be borne solely by the relevant Contributors.
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		It is clarified that any Tax liability on the payment of Compensatory Contribution shall be borne solely by the relevant Contributors.
14.	DRAWDOWNS	Contributors will have to make the contributions on an “<i>as needed</i>” basis during the Commitment Period depending on the availability of investment opportunities as determined by the Investment Manager. All investments in Portfolio Entities will be made only after the First Closing. Notwithstanding the above, the Investment Manager may call for such portion of the Capital Commitment or the entire Capital Commitment at the time of signing of the Contribution Agreement (“Upfront Drawdown”) as may be specified under the Contribution Agreement. Prior to the utilization of such Upfront Drawdown(s) in accordance with the Material Documents, such Upfront Drawdown(s) may be invested in Temporary Investments, and the proceeds thereon shall be distributed to the Contributors pro-rata to the amount of Capital Contributions utilized towards such Temporary Investments or utilized and/or distributed in accordance with the paragraph on “Temporary Deployment of Surplus Funds” under this “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”. The Drawdown Notice may be sent through facsimile, electronic mail, registered post/courier at the address as may be specified by the Contributor in the Contribution Agreement and such Drawdown Notice shall be deemed to have been received by the Contributor within 4 (four) days from the date of dispatch of the registered post/courier; within 24 (twenty-four) hours from the electronic mail being sent or upon receiving the confirmation of transmission of the facsimile. The Contributors shall be required to make their Capital Contribution against their Capital Commitment within 14 (fourteen) calendar days from the date of the Drawdown Notice. Amounts received from the Contributors towards their Capital Commitment will be treated by the Trust/Investment Schemes as consideration for the issuance of Units to the Contributors. All Drawdowns will be made in Indian Rupees pursuant to Drawdown Notices.
15.	EXCUSE AND EXCLUSION	The Investment Manager may excuse any Contributor from making (or utilizing such Excused Contributor’s) Capital Contribution towards any proposed Fund Investment by the Fund if (i) the Contributor, based on the opinion of a legal professional/legal advisor, confirms that its

		participation in a Fund Investment would violate any Applicable Law; and/or (ii) the participation of the Contributor in the Fund Investment would be in contravention of the internal policy of the Contributor and such Contributor has informed the Investment Manager in writing of its inability or limitation to participate in certain types of investments by the Fund at the time of execution of the Contribution Agreement; and/or (iii) the Investment Manager is satisfied that the participation of any Contributor in the Fund Investment would lead to the Fund being in violation of any Applicable Law or regulation or would result in material adverse effect on the Fund; and/or (iv) the Contributor is an alternative investment fund or an investment vehicle, such Contributor may be partially excused or excluded from participation in the Fund Investment, to the extent of the Capital Contribution of the said alternative investment fund's underlying investors who are to be excused or excluded from such Fund Investment ("Excused Contributor"). Any changes to the disclosed internal policy of the Contributor as mentioned in point (ii) above shall be intimated to the Investment Manager within 15 (fifteen) calendar days of such change. For excusal of any Contributor pursuant to points (iii) and (iv) above, the Investment Manager shall record the rationale for such exclusion along with the relevant supporting documents. In the event that one or more Contributors are excused from participation in an investment, the Investment Manager may, either elect to have the Fund not make the investment or elect to have the Fund make the investment without the participation of such Excused Contributor. In the event the Excused Contributor exercises to not participate with respect to any Portfolio Investment in accordance with its Contribution Agreement, such Contributor shall have zero allocation in such Portfolio Investment (or the portion of the Portfolio Investment in which it does not participate) and will not be entitled to receive any distribution of proceeds in respect of such Portfolio Investment (or the relevant portion of the Portfolio Investment). Accordingly, the allocation of such Excused Contributor in other Portfolio Investments will correspondingly increase. It is clarified that the Excused Contributor's unpaid Capital Commitment will not reduce due to such excusal. However, in the event the Fund does not make any further Fund Investments after such excusal, the Investment Manager may, subject to the Regulations, cancel the unpaid Capital Commitment of the Excused Contributor to the extent of the quantum of excused investment of such Contributor.
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		The Investment Manager may issue to the non-excused Contributors, new calls for further Capital Contributions to the extent of their respective unpaid Capital Commitment to cover excused or excluded amounts. A separate Class of Units of the Fund may be issued to Excused Contributors for ease of tracking of their interest in the Fund. The Fund may make necessary adjustments at the time of making distribution as may be necessary or desirable to reflect the terms set out in this Memorandum and the Contribution Agreement with respect to such Excused Contributor who has been excused from participating in certain Fund Investment(s) because of abovementioned reasons.
16.	INDEMNIFICATION	The Scheme will indemnify the (i) Investment Manager/ Sponsor/ Settlor and the Trustee and any of its respective officers, directors, employees and agents, (ii) members of the Investment Committee, and any other board or committee of the Investment Manager contemplated in the Trust Documents or any other party as may be decided by the Investment Manager in consultation with the members of such board or committee (“Indemnified Persons”) against any and all claims, losses, liabilities including Tax liabilities, costs, damages, expenses including legal fees, and amounts paid as settlement claim incurred by them by reason of their association with the Scheme (“Losses”) except to the extent such Losses resulted from the Indemnified Person’s Malfeasance. The indemnification obligations arising under this paragraph shall be met out of the Contribution Fund and/or out of the distributions in accordance with paragraph 31. The Investment Manager may have the Scheme purchase, at the Scheme’s expense (as part of Operating Expenses), insurance to cover the Investment Manager/ Sponsor and/or any other Indemnified Persons. Refer to paragraph D (9) titled ‘<i>Risk associated with indemnity and tax obligation of the Investors towards Scheme parties</i>’ under “SECTION X: RISK FACTORS”.
17.	DEFAULTING CONTRIBUTORS	Payment of Capital Contributions when due is of essence, and any default by a Contributor in the payment thereof would cause injury to the Scheme and to the other non-defaulting Contributors. The default by a Defaulting Contributor (as defined below) may result in the loss of

		rights and privileges linked to the Units held by such Contributor in the Scheme. Any penalty levied on the Defaulting Contributor (as envisaged below) shall be the amount of liquidated damages payable to the Scheme by the Defaulting Contributor as a consequence of default of his contractual obligations. Any Contributor failing to contribute any portion of its Capital Commitment pursuant to a Drawdown Notice, within 21 (twenty-one) Business Days from the date of Drawdown Notice, may be declared as a defaulting Contributor (“Defaulting Contributor”) by the Investment Manager. The Investment Manager shall, at its absolute discretion, be entitled to enforce against the Defaulting Contributor <i>inter alia</i> singly, or in combination, any of the action/s as stated below: • reduce the Capital Commitments of the Defaulting Contributor to the amount of Capital Contributions made by such Defaulting Contributor; and/or • enforce the Defaulting Contributor’s obligations through pursuing any rights and remedies the Scheme may have against the Defaulting Contributor, including by taking legal or other action against the Defaulting Contributor as more fully set out in the Contribution Agreement and the Indenture; and/or • suspend the right of the Defaulting Contributor to participate in any subsequent Portfolio Investment, subject to Applicable Laws, till the time the default is cured to the satisfaction of the Investment Manager; and/or • suspend or terminate the Defaulting Contributor’s right to receive any distributions. However, the Defaulting Contributor shall remain fully liable to the creditors and liabilities of the Scheme (including tax liabilities), to the extent permitted by Applicable Law, for the amount payable by the Contributor as if such default had not occurred; and/or • suspend or terminate the Defaulting Contributor’s obligation and right to make future payments towards its Capital Commitment; and/or • following the date of default, not allocate any amounts to the Defaulting Contributor; and/or
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		• cease to share any information or reports relating to the Scheme with the Defaulting Contributor till the default is cured; and/or • require additional contribution (over and above the Capital Commitment) calculated by applying a penal interest rate of up to 18% (eighteen percent) per annum, on the Capital Contribution mentioned in the Drawdown Notice, from the date of the Drawdown Notice to the date of actual remittance of the amount (such defaulted Capital Contribution plus additional contribution in accordance with this Clause being the “Default Amount”); and/or • forfeit, without compensation, some or all Units subscribed by the Defaulting Contributor. Upon such forfeiture being effected, the Defaulting Contributor shall cease to be entitled to any rights including the right to demand refund of its forfeited portion of the Capital Contribution to the Contribution Fund; and/or • prohibit the Defaulting Contributor from participating in any subsequent Contributor vote, meeting, consent or decision to be made by the Scheme or Investment Committee or any other committee of Investment Manager (as applicable); and/or • sell the Defaulting Contributor’s Units to other non-defaulting Investors and / or to third parties at a price as solely decided by the Investment Manager; and/or • offset amounts otherwise distributable to such Defaulting Contributor against the Default Amount and Scheme Expenses; and/or • recover the following from the Defaulting Contributor, which if not paid, will give rise to a new default, or set off the same against sums otherwise distributable to the Defaulting Contributors: (a) all due Operating Expenses; (b) due Management Fee; (c) any cost incurred by the Scheme as a result of taking actions against the Defaulting Contributor; and (d) any other amount for which it is liable to pay to the Scheme as per Applicable Laws and under the Contribution Agreement; and (e) indemnification or any other obligations under the Contribution Agreement. Any or all of the above actions subject to the Applicable Laws may be waived by the Investment Manager. Any Taxes arising as a
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		consequence of such actions shall be separately recoverable from the Defaulting Contributor. Defaulting Contributor shall not be allowed to participate in subsequent Scheme Investment(s), until the default is cured by such Contributor. Notwithstanding the above, a Defaulting Contributor shall not be allowed by the Scheme/Investment Manager to participate in any subsequent Scheme Investment till the time the Defaulting Contributor makes payment of Default Amount to the Scheme and cures the default to the satisfaction of the Investment Manager. In the event the Units of a Defaulting Contributor are forfeited, such forfeiture shall include all dividends, interest, gains and distributions declared but unpaid and all payments made by the Contributor in respect of such Units. Any Units so forfeited may be disposed-off by the Investment Manager, and the proceeds of disposal (if any) shall accrue to the Scheme. Upon such forfeiture being effected, the Defaulting Contributor shall cease to be entitled to any rights (including the right to demand refund) in respect of its contribution to the Scheme. The Units not so forfeited may be redeemed at such price as may be determined by the Investment Manager and shall be calculated after taking into account any expenses (including Management Fees that may accrue), deductions, losses allocated to such Defaulting Contributor. Notwithstanding the above, the Investment Manager may, at its sole discretion and based on the needs of the Scheme, allow Capital Contributions already made by the Defaulting Contributor to remain invested and to be returned to the Defaulting Contributor at the time of disposal of the Scheme's investments in Portfolio Companies, together with distributions to other Contributors. In the event of any forfeiture of Units of a Defaulting Contributor, the <i>pro rata</i> share of the other non-defaulting Contributors shall get automatically realigned based on such reduction in the Corpus of the Scheme. Any additional amounts collected from the Defaulting Contributor and/or in respect of sale/transfer of Units of such Defaulting Contributor, shall be retained by the Investment Manager as part of the Contribution Fund to be utilized towards satisfaction of Scheme Expenses and the balance, if any, shall be distributed upon termination of the Scheme or in the alternative shall be immediately distributed amongst the existing non-defaulting Contributors in proportion to their
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		respective Capital Contributions and shall be subject to recall by the Investment Manager. Notwithstanding the above actions taken by the Investment Manager, the Defaulting Contributor will remain liable to pay to the Scheme (as applicable): (a) Default Amount; (b) any amounts for which it is liable to pay to the Scheme under the Indenture and/or the Contribution Agreement; and (c) any Tax liabilities – any Taxes in relation to the aforesaid actions shall be borne by the Defaulting Contributor The Investment Manager may take different action/s against different Defaulting Contributors and shall not in any way be liable to any Contributor or other person for any such actions taken or for any inconsistency in the application of any actions following a default by a Defaulting Contributor. In the event there is any change in Applicable Law, due to which the Contributor is restricted from making any further Capital Contributions to the Scheme, then, subject to the Regulations, the Contributor shall not be obliged to make any further Capital Contributions to the Scheme and have the right to review its Capital Commitment, without being termed as a Defaulting Contributor or incurring any penalty for such action under the Trust Documents. Provided that nothing in this paragraph 15 shall apply in the event the Contributor does not make any Capital Contributions as a result of (i) the Investment Manager being in material breach of its material obligations under the Trust Documents for which a notice in writing (including by electronic form. The same shall apply hereinafter this paragraph) has been served to the Investment Manager, (through the Trustee) specifying the nature of breach ; (ii) the Investment Manager being in the process of being removed pursuant to paragraph 33 below; or (iii) the Cause has occurred and is continuing. For the avoidance of doubt, the Contributor shall make Capital Contributions pursuant to the Drawdown Notice as long as such Notice has been provided to the Contributor after the Investment Manager has provided written confirmation to the Contributor that the event described in (i) above has been cured and the same has been determined by the Contributor to its satisfaction.
18.	TRANSFER, WITHDRAWAL AND	Subject to the provisions of this Memorandum and Contribution Agreement, including but not limited to termination, the Contributors are not permitted to withdraw from the Scheme. Subject to Applicable

	TRANSMISSION OF UNITS	Laws, Contributors are not permitted to solicit or transfer/pledge any of their Units, Capital Commitment, interests, rights or obligation with regard to the Scheme, without taking prior written consent of the Investment Manager which may be denied by the Investment Manager, and shall be subject to the following requirements: a) The proposed transferee/pledgee is an Eligible Person; b) The proposed transfer/pledge shall be subject to execution of necessary documentation by transferee/pledgee and transferor/pledger as may be stipulated/prescribed/required by the Investment Manager; and c) The proposed transfer/pledge will not contravene any Applicable Law or policy of the Government or otherwise is not prejudicial to the interests of the Trust/Scheme. In the event of transfer of Units by a Contributor, the new contributor shall execute a deed of adherence acknowledging to be bound by the terms and conditions of the Trust Documents, in accordance with the form specified in the Contribution Agreement. Subject to Applicable Laws, costs and duties with respect to such deed of adherence shall be borne by the new contributor. Any Tax liability or obligation arising from such transfer shall be the responsibility of the transferor/transferee. Notwithstanding the above, in the event of (i) the Investment Manager being in the process of being removed pursuant to paragraph 33 below or (ii) the Cause has occurred and is continuing, the Contributors shall be entitled to transfer their Units to any Eligible Person without the prior consent of the Investment Manager and subject to signing of the relevant documents as prescribed by the Investment Manager and Applicable Laws. The Investment Manager shall take all necessary actions required under Applicable Laws to ensure the completion of such transfer. <u>Redemption of Units</u> The Investment Manager will endeavor to exit/liquidate all the Scheme Investments before the expiry of Term (except in cases of <i>in-specie</i> distribution or as otherwise provided under the Regulations), and the liquidation proceeds along with other distributable income or assets of the Scheme will be distributed, subject to applicable withholding Taxes, as detailed under paragraph 25 under the term ‘Distributions’ in this
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		“SECTION VII: PRINCIPAL TERMS OF THE SCHEME”. The Investment Manager may redeem such part of the Units as the Investment Manager decides for the purpose of effecting a distribution or otherwise. Any Tax liability or obligation arising from such redemption shall be sole responsibility of the Contributor. Post the redemption of Unit/s and payment of consideration, the Contributor shall cease to be entitled to any rights in respect thereof and accordingly its name shall be removed . Units not redeemed by the Scheme shall be redeemed as per the Applicable Laws after the expiry of the Term. <u>Deceased Investor</u> In the event of the death of an Investor (“Deceased Investor”), the Investment Manager, may in its discretion, take any action in respect of the Capital Commitment and/or Units of such Deceased Investor on equitable grounds subject to compliance with the procedural requirements of the Investment Manager including execution of such necessary documentation as may be prescribed by the Investment Manager. The legal heir of the Deceased Investor, or in case a nominee has been notified by the Deceased Investor to the Investment Manager before his/her death then such nominee, shall be deemed to be the successor of the Deceased Investor, subject to compliance under the Applicable Laws and completion of procedural requirements of the Investment Manager including execution of such necessary documentation as may be prescribed by the Investment Manager. The actions that the Investment Manager may take shall include but not be limited to permitting the legal heir / successor of the Deceased Investor to substitute the Deceased Investor in the Scheme by transmission of the Units to the legal heir / successor and/or such legal heir / successor agreeing to honour Capital Commitment of such Deceased Contributor; providing an exit in respect of the Units of such Deceased Investor; exempting the Capital Commitment of the Deceased Investor from any penal actions due to default on such Capital Commitment, etc. It is hereby clarified that in the case of joint Investors, the surviving Investor shall be deemed to be the sole Investor on the demise of another Investor. Further, it is hereby clarified that any actions by the Investment Manager as stated above on death of a Contributor, shall constitute full and valid discharge of the Trustee and/or the Investment Manager and/or the Scheme of any liability towards the legal heirs of the Deceased Investor.
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19.	MANAGEMENT FEE	As a consideration for the services to be rendered by the Investment Manager, the Scheme shall pay management fee to the Investment Manager (“Management Fees”). The said Management Fee shall accrue to the Investment Manager on a monthly basis and be payable by the holders of Class A Units, Class B Units, Class C Units, Class D Units at the rate of up to 2% (two percent) p.a. on such portion of Capital Contribution received on the Drawdown Date by the respective Contributor. The Investment Manager, in its sole discretion, may waive or reduce the Management Fees for a particular Contributor. The Management Fee payable to the Investment Manager shall be exclusive of all applicable Taxes (including GST) and levies, if any (together with surcharge and additional surcharge, as may be applicable) leviable on such Management Fee, the same to be borne by the Trust and allocated solely to the holders of Class A Units, Class B Units, Class C Units and Class D Units, as applicable.
20.	TRUSTEESHIP FEES	The trusteeship fees shall be paid in accordance with the terms agreed with the Trustee in the offer letter (“Trusteeship Fees”), as may be amended from time to time, which is presently: (a) <i>One time on-boarding fees</i>: INR 75,000 (Indian Rupees Seventy Five Thousand); and (b) <i>Annual fee</i>: INR 75,000 (Indian Rupees Seventy Five Thousand). The Trusteeship Fee shall be payable by the Scheme and allocated to holders of all the Classes of Units as part of Operating Expenses. The Trusteeship Fees shall be exclusive of all applicable Taxes (other than income-tax, leviable on such Trusteeship Fees under Applicable Laws) and levies, if any, leviable on such Trusteeship Fees, from time to time, and any out-of-pocket expenses as may be incurred by the Trustee.
21.	OTHER FEES	The Scheme may use the services of arrangers, distributors or placement agents, as may be necessary from time to time (“Placement Agent/s”). It is clarified that currently no investors are expected to invest through Placement Agent/s. In case investors are onboarded via Placement Agent/s, then a new Class of Units shall be issued to such investors and

		any applicable placement fees/ costs will be charged only to such investors. It is clarified that any reference to the Placement Agent in this Memorandum shall not include SEBI-registered intermediaries which charge fees separately to investors approaching the Scheme through such intermediaries.
22.	DIRECT PLAN FOR INVESTORS	The Scheme shall be offering benefits to the Units which are issued to Investors who come in the Scheme directly and/or through a SEBI registered intermediary which charge fees separately to such investors, i.e., a direct plan Investor. Class A Units shall be issued to investors approaching the Scheme directly. Currently, no investors are anticipated to be onboarded via SEBI-registered intermediaries which charge fees separately to such investors. A separate class shall be issued for such investors, if onboarded, and no placement fees/ costs shall be charged to such investors.
23.	EXPENSES (INCLUDING OPERATING EXPENSES AND SET-UP EXPENSES) CHARGED TO THE SCHEME	<u>OPERATING EXPENSES</u> The annual operational expenses of the Scheme (“Operating Expenses”), will be borne by the Scheme on actuals and allocated to the holders of all Classes/Subclasses of Units subject to a limit of up to 0.50% p.a. (zero point five zero percent per annum) of the aggregate Capital Contributions of the Contributors, calculated on a daily basis and chargeable on a quarterly basis, in respect of all Classes of Units (excluding Management Fee and Other Expenses, which shall be charged to the Scheme on an actuals basis, and upon such occurrence). The Operating Expenses shall <i>inter alia</i> consist of the following: • Expenses incurred in the operation of the Scheme; • Statutory, legal, accounting audit, annual private placement memorandum audit, custody, consulting, valuation, any other third-party fees and operating expenses related to the Scheme and other professional fees, including any fee payable to registrar to an issue and share transfer agent; • Expense incurred by the Scheme for collection of Capital Commitments; • Operating legal and statutory expenses; • Banking, registration, qualification, depository and similar fees or commissions;

		• Interest on borrowings and guarantees where Scheme is a beneficiary; • Trusteeship Fees; • Set-up Expenses; • Due diligence expenses; • Expenses incurred in relation to benchmarking analysis as conducted by the Investment Manager; • Transfer, capital and other taxes, duties and costs incurred in acquiring, holding, selling or otherwise disposing of the Scheme's assets and other statutory expenses; • Fees payable to the external members of the Investment Committee (who are not on the payroll of the Investment Manager); • Costs of financial statements and other reports (including reports to Contributors) and meetings of the Investment Manager; • Expenses in connection with meetings of the Investment Committee; • Communications, travel and other expenses; • Expenses in connection with meetings of the Contributors (travel, accommodation and out-of-pocket expenses of Contributors will be borne by themselves); • Expenses incurred in relation to listing of Units of the Scheme on stock exchange(s); • Expenses associated with maintenance of books of accounts and other records of the Scheme; • Expenses reimbursable to the Trustee; • Administration, communication, advertising, promotional, operating, and transactional expenses (including bank charges) incurred by the Scheme; • Other expenses including commissions associated with the acquisition of, holding and disposition of the Scheme Investments (as applicable); • Fees payable to banks, merchant bankers, and any consultants for providing services to the Scheme; • Reasonable premiums for insurance for protecting the directors, officers, shareholders, employees and agents of the Trustee and Investment Manager of the Scheme; • Proportionate liquidation expenses of the Trust and the Scheme'; and • All other costs, expenses, charges, levies, duties, administrative, statutory, revenue levies and other incidental costs, fees, expenses not specifically covered above arising out of or in the course of managing or operating the Scheme.
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		Any such costs and expenses incurred by the Investment Manager shall be reimbursable by the Scheme to the Investment Manager subject to the limit as mentioned hereinabove. The Investment Manager will have the discretion to reduce or waive the Operating Expenses applicable to an Investor/Class of Units. Operating Expenses incurred by the Scheme over and above the aforementioned limit shall be borne by the Investment Manager. The Operating Expenses shall be inclusive of all applicable Taxes (including goods and services tax) and levies, if any (together with surcharge and additional surcharge, as may be applicable), leviable on such Operating Expenses and the same shall be borne by the Scheme on behalf of the Contributors and allocated to the holders of all the Classes of Units, as applicable. <u>SET-UP EXPENSES</u> The Investment Manager shall be reimbursed and/or can reimburse any third party with respect to one-time set-up costs charged, as part of Operating Expenses, being attributable to costs incurred towards the organization of the Scheme, setting up costs, legal fees and professional expenses incurred in relation to the preparation of the Trust Documents or any other documents applicable to the Scheme in relation to the offering of all the Classes of Units pursuant to this Memorandum, establishment, registration, etc. and such other costs directly attributable to the establishment of the Scheme and obtaining various licenses, approvals and registrations (the “Set-up Expenses”). <u>OTHER EXPENSES</u> In addition to the Operating Expenses (including Set-up Expenses) and Management Fees, the Scheme will be responsible for all costs and expenses at actuals related to its own operations whether incurred directly by the Scheme or by the Trustee or the Investment Manager for and on behalf of the Scheme, including, without limitation (“Other Expenses”): (i) Taxes and other governmental charges levied against the Scheme; (ii) Expenses incurred in connection with any indemnification obligations;
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		(iii) Expenses incurred in relation to listing of the Scheme and managing the listing; (iv) Any success fees/expenses directly attributable to buy and sell of the Scheme Investments (such as investment banker's expenses, brokerage, etc.); and (v) Any litigation and any other extraordinary and non-recurring expenses. To clarify, any expenses incurred on behalf of a specific Contributor shall be borne by that Contributor. Scheme Expenses, if any payable by the Scheme/ Contributors, as the case may be, shall be paid after appropriate withholding of Taxes, as applicable.
24.	EXPENSES OF THE INVESTMENT MANAGER	The Investment Manager shall bear all its operational and administrative expenses post the setting up of the Scheme and make its own provision for the following, including but not limited to: a) Office space, salary and personnel cost; b) Office equipment; c) Regulatory compliance and reporting services of the Investment Manager; d) Preparation of tax returns of the Investment Manager; and e) Any amount payable to the Placement Agents (if any).
25.	BORROWINGS	The Scheme may not borrow funds directly or indirectly and shall not engage in leverage except for meeting temporary funding requirements for not more than 30 (thirty) days, not more than 4 (four) occasions in a year and not more than 10% (ten percent) of the Investable Funds.
26.	HURDLE RATE OF RETURN	The hurdle rate of return on Class A Units shall be an XIRR based return calculated on an Indian Rupees basis at the rate of 12% (twelve percent) p.a., in the manner provided under the paragraph 27 on "Distributions" under this "SECTION VII: PRINCIPAL TERMS OF THE SCHEME" ("Hurdle Rate of Return"). The Hurdle Rate of Return shall be calculated from the later of, (i) date of First Closing, or (ii) date of actual Drawdown, till the date of distributions in accordance with the Trust Documents.
27.	DISTRIBUTIONS	The Fund will receive proceeds by way of dividends, returns, yield, interest or other forms of receivable or any other capital receipt or receivable as may be permitted by Applicable Law from the Fund Investments and/or Temporary Investments, returns / yield on Fund

		Investments, cash proceeds realized from the disposition of the Fund Investments and any other forms of receivables as may be permitted by Applicable Law from Fund Investments after taking into account any sale expenses from disposal of the Fund Investments and any other cash available in the Fund (“Investment Proceeds”). The Fund is entitled to withhold from any Investment Proceeds, amounts necessary to pay Taxes and to create, at the discretion of the Investment Manager and/or Trustee (in consultation with the Investment Manager), appropriate reserves for expenses and liabilities of the Fund, as well as for any required Tax withholdings or provisions for Taxes. The Investment Proceeds as reduced by Fund Expenses, Taxes (including provisions/withholdings), costs, reserves and Reinvestment Amount as provided herein (“Distribution Proceeds”) shall be distributed among the Contributors in proportion to the Units held by such Contributors multiplied by NAV per Unit on the prevailing Valuation Day. Notwithstanding anything stated herein, the Investment Manager may reinvest the Investment Proceeds. All Taxes, duties, and other charges/levies, if any, paid /payable in connection with the income/gains from investments qua each Contributor will be paid / payable / provided for by the Trustee and/or Investment Manager. Any such Taxes/ duties/ charges/ levies suffered as withholding Tax or paid by the Fund directly or set aside as provision or reserves by the Trustee and/or Investment Manager qua each Contributor as per provisions of Applicable law or as per the Fund Documents will be deemed to form part of Investment Proceeds payable to any Beneficiary as on date when such Taxes/ duties/ charges/ levies are deducted or paid or set aside, as the case may be. The Investment Manager will determine the level of distributions based on financial results and cash flows and after taking into consideration all necessary provisions and subject to any restrictions imposed by Applicable Laws. The Investment Manager will make the distributions within a reasonable period from the receipt of the divested funds. Payment of distributions shall be made to the bank account of each Contributor as designated by the Contributor. <u>I. Class A Distribution Waterfall</u> The Distribution Proceeds so allocated to the holders of Class A Units, (“Class A Distribution Proceeds”) shall be distributed as follows:
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		(i) <u>Return of Capital:</u> 100% (One Hundred Percent) of the Class A Distribution Proceeds will be distributed to the holders of Class A Units in proportion to their respective Beneficial Interest, until the cumulative distributions are equal to 100% (One Hundred Percent) of their respective aggregate Capital Contributions; (ii) <u>Hurdle Rate of Return:</u> Thereafter, 100% (One Hundred Percent) of the Class A Distribution Proceeds will be distributed to the holders of Class A Units in proportion to their respective Beneficial Interest, until a cumulative amount equal to the Hurdle Rate of Return on the amounts described in Clause (i) above has been distributed in respect of the Class A Units; (iii) <u>Remaining Distribution:</u> Thereafter, 80% of any remaining Distribution Proceeds will be allocated and/or distributed to the relevant Class A Unitholder and 20% will be allocated and/or distributed pro-rata to the Class B Unitholder (hereinafter referred to as the “Additional Return”). The Distribution Proceeds so allocated to the holders of Class A Units (“Class A Distribution Proceeds”) will be distributed to the holders of Class A Units pro rata to the number of outstanding units held by each one of them. <u>II. Class B Distribution Waterfall</u> The Distribution Proceeds so allocated to the holders of Class B Units (“Class B Distribution Proceeds”) will be distributed to the holders of Class B Units pro rata to the number of outstanding units held by each one of them. <u>III. Class C Distribution Waterfall</u> The Distribution Proceeds so allocated to the holders of Class C Units (“Class C Distribution Proceeds”) will be distributed to the holders of Class C Units pro rata to the number of outstanding units held by each one of them. <u>IV. Class D Distribution Waterfall</u> The Distribution Proceeds so allocated to the holders of Class D Units, (“Class D Distribution Proceeds”) shall be distributed as follows: (i) <u>Return of Capital:</u> 100% (One Hundred Percent) of the Class D Distribution Proceeds will be distributed to the holders of Class D Units in proportion to their respective Beneficial Interest, until the cumulative distributions are equal to 100% (One Hundred Percent) of their respective aggregate Capital Contributions;
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		(ii) <u>Hurdle Rate of Return:</u> Thereafter, 100% (One Hundred Percent) of the Class D Distribution Proceeds will be distributed to the holders of Class D Units in proportion to their respective Beneficial Interest, until a cumulative amount equal to the Hurdle Rate of Return on the amounts described in Clause (i) above has been distributed in respect of the Class D Units; (iii) <u>Remaining Distribution:</u> Thereafter, 80% of any remaining Distribution Proceeds will be allocated and/or distributed to the relevant Class D Unitholder and 20% will be allocated and/or distributed pro-rata to the Class B Unitholder (hereinafter referred to as the “Additional Return”). The Fund shall, before distribution of income/ gains arising out of the Fund Investments to the Contributors withhold and / or discharge appropriate Taxes as per Applicable Laws. Such Taxes withheld will be treated as if it were and deemed to be a distribution to holders of relevant Class of Units, while computing the Distribution made under the foregoing provisions. The Investment Manager may, but subject to obtaining approval from Super-Majority of Contributors and in accordance with the terms set out in this Clause, make distributions in specie to the Contributors, if permitted by Applicable Law. Such in specie distributions of Fund Investments will be made in the same manner and priority as if the Distributable Proceeds equalled the fair market value (which will be determined in good faith by the Investment Manager). The Fund will not be required to make any distribution: (i) unless there is sufficient cash available; or (ii) if it would render the Fund insolvent; or (iii) which, in the Trustee’s or Investment Manager’s opinion, would or could leave the Fund with insufficient funds or gains to meet any present or future contemplated obligations, liabilities or contingencies including Tax liability.
28.	DISTRIBUTION IN-KIND	The Investment Manager shall make reasonable efforts to sell the Scheme Investments prior to termination of the Scheme or otherwise in accordance with the terms of the Trust Documents. If for any reason, the Investment Manager is unable to sell any such Scheme Investment prior to the date of termination of the Scheme or otherwise in accordance with the Trust Documents, or if the Investment Manager believes, in good faith, that such sale of Scheme Investment would not be in the best interests of the Unitholders, then the Investment Manager shall make in specie distribution of such Scheme Investments, subject to obtaining approval from Super-Majority of Contributors, and in accordance with the Applicable Laws and the terms set out under

		paragraph 27 titled ‘Distributions’ under “SECTION VII: PRINCIPAL TERMS OF THE SCHEME”. Such in specie distributions of Scheme Investments will be made in the same manner and priority as if the Distribution Proceeds equalled the fair market value (which will be determined in good faith by the Investment Manager) and shall be subject to discharge of appropriate withholding of Tax at the time of such distribution, if applicable. Any Taxes in relation to in specie distribution shall be borne by the Contributors. The Contributor may be required to pay the Scheme in advance all the taxes that are required to be withheld and deposited. The Contributor shall co-operate with the Investment Manager for discharge of withholding Tax or payment of Taxes. The restrictions on disposal of assets (if any) applicable to the respective Scheme Investments may also be applicable to the Contributors receiving such <i>in-specie</i> distribution. The Investment Manager shall ensure that any in-specie distributions to a Contributor in terms of this paragraph 26, will not violate Applicable Laws in relation to the Contributor. It is clarified that pursuant to the above, the Contributors shall be required to immediately, upon receipt of proposal by the Investment Manager, in terms of this paragraph 26, inform the Investment Manager in writing if such in specie distribution will result in contravention/breach of any Applicable Laws relevant to the Contributor. On receipt of such information from the Contributor, the Investment Manager shall take such actions, as deemed necessary, in its discretion, in accordance with Applicable Laws.
29.	MANDATORY EXIT OF INVESTORS	The Investment Manager reserves the discretion to compel the redemption of any Units with not less than 15 (fifteen) Business Days prior written notice for any of the following reasons: (i) The Units are held by or for the benefit (directly or indirectly) of any Person who is not an Eligible Person; or (ii) Any of the warranties, representations or statements given by the Contributor in its Contribution Agreement are not true or accurate or have ceased to be true or accurate; or (iii) Continuation of the Contributor with the Scheme will result in onerous obligations on the Scheme; or

		(iv) Contributor is in material breach of its obligations under the Contribution Agreement. The Investment Manager shall determine the redemption price of the Units being compulsorily redeemed based upon the nearest calculated net asset value of the Units (computed by an independent valuer) being compulsorily redeemed. The payments (net of Taxes, as per the Applicable Law) shall be made by Investment Manager in such time, as may be reasonably determined by the Investment Manager (which shall not be later than the Term of the Scheme). The Scheme shall, before distribution of any amount arising out of compulsory redemption to the Contributors, withhold and / or discharge appropriate Taxes as per Applicable Laws. Any Taxes in case of mandatory exits will be borne by the respective Contributors.
30.	REINVESTMENT	Subject to the last unnumbered sub-paragraph under paragraph 12 titled “Drawdowns” hereinabove, during the Commitment Period of the Scheme, the Investment Manager may, at its own discretion, retain an amount of up to 100% (hundred percent) of the realization proceeds arising out of sale of any Scheme Investment and apply such amount in making further Scheme Investments (“Reinvestment Amount”).
31.	TEMPORARY DEPLOYMENT OF SURPLUS FUNDS	Temporary Investments by the Scheme shall be made in liquid mutual funds, bank deposits, treasury bills, triparty repo dealing and settlement, commercial papers, certificate of deposits and such other liquid assets of higher quality as may be prescribed under the Regulations. Until Capital Contributions received by the Scheme are utilized towards Scheme Investments and/or pending distribution to Investors or as a reserve for the Scheme’s anticipated obligations (including Tax obligations / liabilities), as applicable, the Investment Manager shall be entitled to invest the same in Temporary Investments. Any gains arising to the Scheme from such Temporary Investments shall be utilized or allocated pro-rata to the amount of Capital Contribution utilized towards such Temporary Investments (on time weighted basis) amongst the Contributors and distributed in the manner stated under paragraph 27 titled “Distributions” hereinabove. The Investment Manager would hold the Temporary Investments for a tenure not exceeding 1 (one) year from the date of making such Temporary Investment.
32.	CLAWBACK OF ADDITIONAL RETURN	<i>Not Applicable.</i>

33.	GIVEBACK BY THE CONTRIBUTORS (OF DISTRIBUTIONS RECEIVED)	The Investment Manager or Trustee may, in prior consultation with the Investment Manager, require a Contributor to return distributions made to the Contributor in order to satisfy the Contributor's <i>pro rata</i> share of any obligations or liabilities of the Scheme (including any indemnification obligations, Tax liability/claim). As per Applicable Law, there could be Tax and/or non-Tax liability on the Scheme beyond the term of the Scheme. Subject to Applicable Laws including the Limitations Act, 1963 and the Income-Tax Act, 1961, the obligation to return distributions may also continue beyond the term of the Scheme/Trust as determined by the Investment Manager/Trustee in consultation with the Investment Manager, by providing a notice to the Contributors for the same.
34.	KEY PERSON & KEY PERSON EVENT	<i>Not Applicable.</i>
35.	REMOVAL OF THE INVESTMENT MANAGER	Subject to compliance with the Regulations, the Investment Manager may be changed for a "Cause" (as described below) if Super-Majority of Contributors vote to change the Investment Manager after giving a notice in writing (including by electronic form. The same shall apply hereinafter this paragraph 33) to the Investment Manager of such "Cause". The Investment Manager/Sponsor and the holders of Class B Units shall not be entitled to vote on the aforementioned resolution. For the purposes of change of the Investment Manager, "Cause" shall be established where the existence of the following circumstances is demonstrated: (i) the Investment Manager is in material breach of its material obligations under the terms of the Trust Documents for which a written notice has been served upon the Investment Manager (through the Trustee) specifying the nature of breach and the Investment Manager has failed to cure such default within a period of 90 (ninety) days from the date of receipt of such notice by the Investment Manager; (ii) orders of bankruptcy, insolvency, administration, involuntary reorganization or similar proceedings have been passed against the Investment Manager; or

		(iii) the Investment Manager has committed a material violation of Applicable Laws including the code of conduct under the Regulations having a material adverse effect on the Scheme; or (iv) the Investment Manager has engaged in Malfeasance in connection with its role as the Investment Manager; On the occurrence of any of the events stated in (i) to (iv) above, (if the “Cause” has not been cured), the Investment Manager, to the limit of the Management Fee received with respect to the Contributor, shall indemnify and hold harmless the Scheme and the Contributors from and against liabilities, claims, costs, losses, damages and expenses (including reasonable attorneys’ fees and costs) due to or arising out of such events. In the event of (i) the Investment Manager being in material breach of its material obligations under the terms of the Trust Documents for which a written notice has been served upon the Investment Manager (through the Trustee) specifying the nature of breach (ii) the Investment Manager being in the process of being removed pursuant to this paragraph 33; or (iii) the Cause has occurred and is continuing, the Investment Manager shall immediately cease making any new investments from the Capital Contributions. For the avoidance of doubt, the Investment Manager may make new investments from the Capital Contributions after the Investment Manager has provided written confirmation to Contributor that the event described in (i) above has been cured and Contributor has confirmed its satisfaction in writing The provisions of the Contribution Agreements shall be in line with this paragraph on ‘<i>Removal of Investment Manager</i>’. Notwithstanding anything stated above, the removal of the Investment Manager, the Management Fee accrued on Scheme Investments made till the date on such removal is effected, shall be due and payable to the Investment Manager or as provided in this Memorandum. No conditions are envisaged where the Investment Manager shall be ineligible to receive the Management Fee. The Investment Manager agrees that, upon removal, it shall promptly (i) forward all records, contact details, correspondence, physical and electronic files, and databases related to Investments and the administration of the Fund to a person identified by a simple-majority
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		of the Contributors; (ii) transfer any assets of the Fund that are directly or indirectly held by or on behalf of the Investment Manager or any of its Affiliates or any member, partner, officer, director, shareholder or employee of any of the foregoing to the Fund or such persons identified by a simple-majority of the Contributors and (iii) transfer all board seats at the Portfolio Company and/or intermediate vehicle level and any other rights granted by a Portfolio Company and/or intermediate vehicle directly or indirectly to the Investment Manager or its Affiliates or any member, partner, officer, director, shareholder or employee of any of the foregoing in connection with the Fund's investment in such Portfolio Company and/or intermediate vehicle to such persons as identified by a simple-majority of the Contributors. If the Investment Manager is removed as investment manager of the Fund, then subject to the Regulations, the Super-Majority of the Contributors shall also have the right to remove and replace the Sponsor, with such person or persons designated by the Super-Majority of the Contributors.
36.	PARALLEL VEHICLES / ALTERNATIVE INVESTMENT STRUCTURES	Subject to Applicable Laws, the Investment Manager may establish one or more parallel vehicles / alternative investment structures / feeder funds through which certain Investors may invest in the Scheme, including overseas vehicles. Such structures may <i>inter alia</i> be used to raise capital through offshore jurisdictions with the help of feeder funds. Such parallel vehicles / alternative investment structures / feeder funds shall be established in accordance with the applicable regulatory framework of the concerned jurisdiction. If the Scheme establishes parallel vehicles / alternative investment structures / feeder vehicles in India, it shall be established in accordance with the Applicable Laws. The cost of setting up and managing such parallel vehicles / alternative investment structures / feeder funds shall be borne by the Investment Manager or any other Person as may be decided by the Investment Manager. Parallel vehicles / alternative investment structures will invest/divest on similar basis and at the same time. Further, Contributors who are not participating in such parallel vehicles / alternative investment structures shall not be required to bear costs and expenses of such vehicles or structures including costs of setting up and managing such parallel vehicles / alternative investment structures.

37.	SUCCESSOR FUNDS	Subject to Applicable Laws the Investment Manager may set up subsequent funds with a similar or different investment strategy under the same Trust (wherein the assets and liabilities of each such Scheme of the Trust shall be segregated) or as a separate vehicle in accordance with Applicable Laws and Trust Documents. Notwithstanding the foregoing, the Investment Manager shall not cause a new scheme to be launched under the Trust without the approval of Super-Majority of the Contributors of the Scheme obtained in accordance with the respective Contribution Agreements.
38.	REPORTING	The Contributors will receive: a. At least on an annual basis, a report comprising financial information of the Portfolio Entities, material risks and how they are managed and other material information on the Scheme that is deemed to be relevant by the Investment Manager. This information shall be sent to the Contributors within 180 (one hundred and eighty) days from the close of the financial year. b. On a quarterly basis, information with respect (i) total Investable Funds; (ii) outstanding balance for each Portfolio Entity; and (iii) outstanding balance for each sub-sector in which the Scheme is investing, each as applicable at the end of the preceding quarter. c. Information with respect to any fees charged by the Investment Manager/ Sponsor or any fees charged to the Trust/Portfolio Entity by an Associate of the Investment Manager/ Sponsor shall be disclosed within 1 (one) month from the end of financial year on a consolidated basis. d. Information with respect to any breach of a provision of this Memorandum, Contribution Agreements or any Trust Documents, as and when occurred. e. Information with respect to any change in control of Investment Manager/ Sponsor or Portfolio Entities, any change in the Investment Manager/ Sponsor, any significant change in key investment team, any change/s in the disciplinary history, and information with respect to any material liabilities or any inquiries/ legal actions by legal or regulatory bodies in any jurisdiction, as and when occurred.

		f. Information in relation to any change to this Memorandum with details indicating the changes made and such other information as required to be reported/disclosed to the Contributors in accordance with the Regulations (including but not limited to details of changes in valuation methodology and approach for each asset class, details of any changes in accounting policies of any investee company and details of impact on valuation of the investments made by the Scheme), within 1 (one) month from the end of each financial year on a consolidated basis unless otherwise provided under the Regulations. g. Statement detailing the calculation for every payout (i.e., distribution statement) will be sent to every Contributor including the tax paid on behalf of every Contributor, within 30 (thirty) days of end of each quarter. h. Unaudited financial statement (including balance sheet and profit and loss statement) of the Scheme and each Investor's pro-rata share of the Scheme to be disclosed, within 45 (forty-five) days of end of each quarter. i. Audited financial statements (including balance sheet and profit and loss statement) of the Scheme and the Investment Manager, within 180 (one hundred and eighty) days from the close of the financial year. j. Any other details/reports <i>suo moto</i> from the Investment Manager, as deemed necessary by the Investment Manager. All the above referred reports/information shall be furnished to the Contributors in accordance with Annexure A and shall be sent electronically by e-mail unless otherwise specified by the Contributor. In addition to the above, the Investment Manager shall provide additional information and undertake additional processes as specifically agreed with the Contributors in their respective Contribution Agreements.
39.	VALUATION	An independent valuer, for valuation of assets of the Scheme shall be appointed by the Scheme. The Investment Manager shall ensure that the independent valuer appointed satisfies the eligibility criteria specified by SEBI. The valuation shall be done by such valuer at least once every 6 (six) months. Such period may be enhanced to 12 (twelve) months

		with the approval of Super-Majority of Contributors. The valuation methodology shall be provided to the Contributors separately. The valuation principles to be used by the Trust/Scheme for valuation of Portfolio Entities shall be finalized by the independent valuer in consultation with the Investment Manager. For more details, please refer to “SECTION VIII: PRINCIPLES OF PORTFOLIO VALUATION”.
40.	SIDE LETTERS	The Investment Manager may enter into agreements with certain large or strategic Contributors / Investors who may be offered preferential terms as detailed hereinbelow. Such preferential terms shall be provided separately in the respective side letters to be signed with such Contributors and nothing mentioned in such side letters shall adversely alter the rights of the other Investors available under their respective Contribution Agreements. The commercial terms on which differential rights may be offered through side letters, <i>inter alia</i> include variable Management Fee/ Operating Expenses/fee/charge structure etc. The non-commercial terms on which differential rights may be offered through side letters, <i>inter alia</i> include differential rights in the nature of information rights, offering of co-investment rights etc. Any such differential rights mentioned hereinabove shall not have any impact on the economic rights or any other rights of other Investors. The terms on which differential rights shall not be offered, <i>inter alia</i> include preferential exit from the Scheme, contributor giveback, contribution to indemnification and drawdown provided that such differential rights have the potential to impact other Contributors in a negative manner.
41.	TRUST / SCHEME DOCUMENTS	The Trust Documents shall constitute: - the Indenture; - Investment Management Agreement between the Trustee and the Investment Manager; - Contribution Agreement of the respective Contributor; - this Memorandum; and - any other document that may be declared as Trust by the Investment Manager.

		Copies of the Trust Documents shall be available for inspection by the prospective Contributors in the Scheme. Any prospective Investor desirous of obtaining a copy of the Trust Documents should forward its request to the Trustee. It is clarified herein that if an Investor is desirous of obtaining copy of the Trust Documents, they will not receive a copy of the Contribution Agreement (including any supplemental documents) that have been entered into with other Investors/Contributors. However, the Investment Manager may at its discretion where considered necessary share the copy of the Contribution Agreement (including any supplemental documents) with certain Investors (particularly institutional investors) and shall take necessary steps to maintain confidentiality (by redacting the name and other details of such Contributor) whilst sharing the same, subject to consent of such Contributor whose Contribution Agreement or supplemental documents are sought to be shared. The Scheme level terms in the Contribution Agreement will not go beyond the terms provided under this Memorandum. If there is a conflict in the interpretation and / or consequence arising from the interpretation of expressions, terms, phrases or definitions amongst the Trust Documents, the Trust Documents shall be harmoniously read to give effect to such expressions, terms, phrases or definitions.
42.	LISTING	Units of the Scheme may be listed on the stock exchange post the Final Closing at the discretion of the Investment Manager and subject to the minimum tradable lot applicable in accordance with the Applicable Laws.
43.	AMENDMENTS AND WAIVERS	The Investment Manager may from time to time , make any general amendment to this Memorandum, including amendments to the process and restrictions (in accordance with Regulations and Trust Documents), as it considers necessary or desirable, provided however, such amendment process will be specified by the Investment Manager keeping in mind the requirements under the Regulations and the terms of the Trust Documents including the Contribution Agreement. The above illustration is merely indicative in nature and should not be construed as an exhaustive list of scenarios during which this Memorandum may be amended. All laws and regulations applicable to Scheme’s activities, may, at any time be amended, modified, repealed or replaced in a manner adverse or favourable to the interests of the Contributors. The Scheme will, at all times, be subject to any such change in Applicable Law. The Trustee

		and Investment Manager shall carry out necessary amendments to any of the Trust Documents so as to confirm to such modifications in Applicable Law.
44.	CONFIDENTIALITY	The Contributor shall maintain the confidentiality of any information regarding the Trust and its schemes, the Trustee, the Investment Manager, their respective affiliates and the Portfolio Entities and their affairs, received by the Contributor pursuant to the Contribution Agreement, as a result of its status as an investor to the Trust and its schemes, except that the Contributor may disclose such information to its employees, directors, representatives, advisors and affiliates (including its holding company, subsidiaries or other group companies), on a need to know basis subject to such employees, directors, representatives, advisors and affiliates (including its holding company, subsidiaries or other group companies) keeping the information disclosed to them confidential. The obligation under this paragraph will not apply with respect to any information which becomes publicly available (without any disclosure by the Contributor) or is required to be disclosed under Applicable Laws and Regulations, or as otherwise permitted by the Investment Manager.
45.	AUDITORS	<i>Mukesh M. Gangar & Co.</i>
46.	GRIEVANCE REDRESSAL	The Investment Manager shall designate one of its personnel as the investor relation officer who shall seek to attend to and address any investor query/concern/grievance at the earliest within the timelines prescribed under the Regulations from time to time. The Investment Manager will ensure that this official is vested with the necessary authority and independence to handle complaints received from the Investors. The aforesaid official will immediately identify the grievance and take appropriate steps to eliminate the causes of such grievances to the satisfaction of the Investor. The Investor may register its grievance/complaint vis-à-vis Investment Manager through SCORES (SEBI Complaints Redress System) available at http://scores.gov.in, post which SEBI may forward the complaint to the Investment Manager and the Investment Manager will suitably address the same. The Trust's SCORES registration number is _____. The Investor may also initiate dispute resolution in accordance with their respective Contribution Agreements or as per the framework

		notified by SEBI vide its master circular no. SEBI/HO/OIAE/OIAE_IAD-1/P/CIR/2023/145 dated July 31, 2023 titled 'Master Circular Online Resolution of Disputes in the Indian Securities Market' (including any amendments or clarificatory circulars that may be issued by SEBI from time to time) ("SEBI ODR Circular"). It is clarified that no loss or damage or expenses incurred by the Investment Manager or employees of the Investment Manager, including those in relation to resolution of claims or disputes of Investors, shall be met out of the Trust property.
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Supplementary Section

1.	SUPER-MAJORITY OF CONTRIBUTORS	In respect of the Scheme means such number of Contributors whose Capital Contributions in aggregate amount to at least 75% (seventy-five percent) of the aggregate of all Capital Contributions of the Scheme, and in respect of the Trust shall mean such number of contributors whose capital contribution in aggregate amount to at least 75% (seventy-five percent) of the aggregate capital contributions under all existing Schemes, as per the Regulations (“Super-Majority of Contributors”). A vote of Super-Majority of Contributors is, <i>inter alia</i>, required for the following: (i) To approve winding up of the Scheme; (ii) To approve the extension of limit for valuation by the valuer to once every 12 (twelve) months; (iii) To approve <i>in-specie</i> distribution by the Scheme; (iv) To approve investments by the Scheme in an Associate; (v) To approve any purchase or sale of Scheme Investments from or to (a) Associates; or (b) schemes of AIFs managed or sponsored by the Investment Manager and/or Sponsor and /or Associates of the Investment Manager and/or Sponsor; or (c) a Contributor who has committed to invest at least 50% (Fifty Percent) of the Corpus of the Scheme; and (vi) To approve any material changes (i.e., changes in fundamental attributes of the Scheme including but not limited to: (a) change in Sponsor/ Investment Manager (not including an internal restructuring within the group); and/or (b) change in control of Sponsor/ Investment Manager) in accordance with the Regulations.
2.	TWO-THIRD MAJORITY OF CONTRIBUTORS	In respect of the Scheme means such number of Contributors whose Capital Contributions in aggregate amount to at least two-third of the aggregate of all Capital Contributions of the Scheme, and in respect of the Trust shall mean such number of Contributors whose capital contribution in aggregate amount to at least two-third of the aggregate capital contributions under all existing Schemes, as per the Regulations (“Two-Third Majority of Contributors”). A vote of Two-Third Majority of Contributors is, <i>inter alia</i>, required for the following: (i) To extend the Term of the Scheme; and (ii) To approve any material change in the investment strategy or sector allocation.

SECTION VIII: PRINCIPLES OF PORTFOLIO VALUATION

I. Details of entity appointed as valuer of the Trust/Scheme

The Scheme will appoint an independent valuer for valuation of its assets.

II. Frequency of valuation of Portfolio Entities

The frequency of such valuation shall be once every 6 (six) months. However, the Investment Manager may carry out such valuation once every 12 (twelve) months, subject to the approval of Super-Majority of Contributors of the Scheme.

III. Valuation principles used by the Trust/Scheme for valuation of Portfolio Entities.

Valuation of assets of the Scheme shall be done in the manner and subject to such conditions as may be prescribed by SEBI from time to time and in accordance with Applicable Laws.

Pursuant to the SEBI circular ref. SEBI/HO/AFD/PoD/CIR/2023/97 dated June 21, 2023 on “*Standardised approach to valuation of investment portfolio of Alternative Investment Funds (AIFs)*”, the Scheme shall ensure that in case of investments in any securities as per this Memorandum for which valuation norms have already been prescribed under the SEBI (Mutual Fund) Regulations, 1996, the valuation norms for such securities shall be followed as prescribed thereunder. In case, valuation norms for any securities have not been prescribed under the SEBI (Mutual Fund) Regulations, 1996, then valuation for such securities shall be carried out as per valuation guidelines endorsed by any AIF industry association, which in terms of membership represents at least 33% of the number of SEBI registered AIFs, in accordance with the Regulations.

The Investment Manager understands that the Indian Venture and Alternate Capital Association (“**IVCA**”) being such AIF industry association, which in terms of membership represents at least 33% of the number of SEBI registered AIFs, has formally endorsed the International Private Equity and Venture Capital (IPEV) valuation framework. The updated version of the IPEV valuation framework may be accessed at <https://www.privateequityvaluation.com/Valuation-Guidelines> (the relevant version as of the date of this Memorandum is the December 2022 International Private Equity and Venture Capital Valuation Guidelines).

The valuation methodology to be employed by the Scheme in respect of equity securities, equity linked securities, debt securities, convertible and non-convertible securities, and other permissible securities are expected to be carried out in accordance with the IPEV valuation framework, as amended from time to time, or such other framework/s as may be endorsed by the IVCA, to the extent permissible under Applicable Laws. To the extent not permissible under Applicable Laws, or due to any other consideration reasonably determined by the Investment Manager in accordance with Applicable Laws, the valuation methodology of such securities shall be in accordance with the valuation norms prescribed under the SEBI (Mutual Fund) Regulations, 1996.

A summary of the valuation norms prescribed under the SEBI (Mutual Fund) Regulations, 1996 has been provided below.

Assets	Valuation Principles
Debt and money market securities	a. <u>Valuation of money market and debt securities with residual maturity of upto 30 days:</u> 1. Amortization based valuation is permitted for money market and debt securities including floating rate securities, with residual maturity of upto 30 days. Further, the amortized price shall be compared with the reference price which shall be the average of the security level price of such security as provided by the agency(ies) appointed by Association of Mutual Funds in India (“AMFI”) for said purpose (hereinafter referred to as “Valuation Agencies”). The amortized price shall be used for valuation only if it is within a threshold of $\pm 0.025\%$ of the reference price. In case of deviation beyond this threshold, the price shall be adjusted to bring it within the threshold of $\pm 0.025\%$ of the reference price. 2. It is further clarified that in case of floating rate securities with floor and caps on coupon rate and residual maturity of upto 30 days then those shall be valued on amortization basis taking the coupon rate as floor. 3. In case security level prices given by valuation agencies are not available for a new security (which is currently not held by any Mutual Fund), then such security may be valued on amortization basis on the date of allotment / purchase. 4. Further, with effect from April 01, 2020, onwards, amortization based valuation shall be dispensed with and irrespective of residual maturity, all money market and debt securities shall be valued in terms of paragraph (b) below.

Assets	Valuation Principles
	b. <u>Valuation of money market and debt securities with residual maturity of over 30 days:</u> 1. All money market and debt securities including floating rate securities, with residual maturity of over 30 days shall be valued at average of security level prices obtained from Valuation Agencies. 2. In case security level prices given by Valuation Agencies are not available for a new security (which is currently not held by any Mutual Fund), then such security may be valued at purchase yield on the date of allotment / purchase. c. <u>Methodology:</u> For arriving at security level pricing, a waterfall approach shall be followed for the valuation of money market and debt securities. 1. The Investment Manager shall adopt waterfall approach prescribed by AMFI vide AMFI circular 135/BP/83/2019-20 dated November 18, 2023. 2. The following broad principles are adopted as part of the aforesaid waterfall approach, for arriving at the security level prices: i. Volume Weighted Average Yield (“VWAY”) of primary reissuances of the same ISIN (whether through book building or fixed price) and secondary trades in the same ISIN ii. VWAY of primary issuances through book building of same issuer, similar maturity (Refer Note 1 below) iii. VWAY of secondary trades of same issuer, similar maturity iv. VWAY of primary issuances through fixed price auction of same issuer, similar maturity v. VWAY of primary issuances through book building of similar issuer, similar maturity (Refer Note 1 below) vi. VWAY of secondary trades of similar issuer, similar maturity. vii. VWAY of primary issuance through fixed price auction of similar issuer, similar maturity viii. Construction of matrix (polling may also be used for matrix construction) ix. In case of exceptional circumstances, polling for security level valuation (Refer Note 2 below) Note 1 Except for primary issuance through book building, polling

Assets	Valuation Principles
	shall be conducted to identify outlier trades. However, in case of any issuance through book building which is less than INR 100 Cr, polling shall be conducted to identify outlier trades. Note 2 Some examples of exceptional circumstance would be stale spreads, any event/news in particular sector/issuer, rating changes, high volatility, corporate action or such other event as may be considered by valuation agencies. Here stale spreads are defined as spreads of issuer which were not reviewed/updated through trades/primary/polls in same or similar security/issuers of same/similar maturities in waterfall approach in last 6 (six) months. Further, the exact details and reasons for the exceptional circumstances which led to polling shall be documented and reported to Investment Manager. Further, a record of all such instances shall be maintained by Investment Manager and shall be subject to verification during SEBI inspections. Note 3 All trades on stock exchanges and trades reported on trade reporting platforms till end of trade reporting time (excluding inter-Scheme transfers) should be considered for valuation on that day. Note 4 It is understood that there are certain exceptional events, occurrence of which during market hours may lead to significant change in the yield of the debt securities. Hence, such exceptional events need to be factored in while calculating the price of the securities. Thus, for the purpose of calculation of VWAY of trades and identification of outliers, on the day of such exceptional events, rather than considering whole day trades, only those trades shall be considered which have occurred post the event (on the same day). The following events would be considered exceptional events: i. Monetary / Credit policy ii. Union budget iii. Government borrowing / Auction days iv. Material statements on sovereign rating v. Issuer or sector specific events which have a material impact on yields vi. Central government elections days vii. Quarter end days In addition to the above, any other event that is identified as an exceptional event by the Valuation Agencies. All exceptional

Assets	Valuation Principles
	events along-with valuation carried out on such dates shall be documents with adequate justification. d. <u>Valuation of money market and debt securities which are rated below investment grade</u> (i) All money market and debt securities which are rated below investment grade shall be valued at the price provided by Valuation Agencies. (ii) Till such time the Valuation Agencies compute the valuation of money market and debt securities classified as below investment grade, such securities shall be valued on the basis of indicative haircuts provided by these agencies. These indicative haircuts shall be applied on the date of credit event i.e. migration of the security to sub-investment grade and shall continue till the valuation agencies compute the valuation price of such securities. Further, these haircuts shall be updated and refined, as and when there is availability of material information which impacts the haircuts. (iii) Consideration of traded price for valuation: (a) In case of trades during the interim period between date of credit event and receipt of valuation price from Valuation Agencies, such traded price shall be considered for valuation if it is lower than the price post standard haircut. The said traded price shall be considered for valuation till the valuation price is determined by the Valuation Agencies. (b) In case of trades after the valuation price is computed by the Valuation Agencies as referred above and where the traded price is lower than such computed price, such traded price shall be considered for the purpose of valuation and the valuation price may be revised accordingly. (c) The trades referred above shall be of a minimum size as determined by Valuation Agencies. (iv) Treatment of accrued interest, future interest accrual and future recovery: (a) The treatment of accrued interest and future accrual of interest, in case of money market and debt securities classified as below investment grade or default, is detailed below:

Assets	Valuation Principles
	1. The indicative haircut that has been applied to the principal should be applied to any accrued interest. 2. In case of securities classified as below investment grade but not default, interest accrual may continue with the same haircut applied to the principal. In case of securities classified as default, no further interest accrual shall be made. (b) The following shall be the treatment of how any future recovery should be accounted for in terms of principal or interest: 1. Any recovery shall first be adjusted against the outstanding interest recognized in the net asset value and any balance shall be adjusted against the value of principal recognized in the net asset value. 2. Any recovery in excess of the carried value (i.e. the value recognized in net asset value) should then be applied first towards amount of interest written off and then towards amount of principal written off.
Traded securities other than money market and debt securities ¹	i) The securities shall be valued at the last quoted closing price on the stock exchange. ii) When the securities are traded on more than one recognised stock exchange, the securities shall be valued at the last quoted closing price on the stock exchange where the security is principally traded. It would be left to the Investment Manager to select the appropriate stock exchange, but the reasons for the selection should be recorded in writing. There should, however, be no objection for all scrips being valued at the prices quoted on the stock exchange where a majority in value of the investments are principally traded. iii) Once a stock exchange has been selected for valuation of a particular security, reasons for change of the exchange shall be recorded in writing by the Investment Manager. iv) When on a particular valuation day, a security has not been traded on the selected stock exchange, the value at which it is traded on another stock exchange may be used.

¹ Traded securities shall have the meaning as provided under SEBI Master Circular for Mutual Funds dated May 19, 2023 and as amended from time to time.

Assets	Valuation Principles
	v) When a security is not traded on any stock exchange on a particular valuation day, the value at which it was traded on the selected stock exchange or any other stock exchange, as the case may be, on the earliest previous day may be used provided such date is not more than thirty days prior to the valuation date.
Non-traded /and/or Thinly traded equity securities²	Non-traded and/or thinly traded securities shall be valued “in good faith” based on the valuation norms prescribed below: Based on the latest available Balance Sheet, Net Worth shall be calculated as follows: (a) Net Worth per share = [Share Capital+ Reserves (excluding Revaluation Reserves) –Miscellaneous expenditure and Debit Balance in Profit and Loss Account] / Number of Paid up Shares. (b) Average Capitalization rate (P/E ratio) for the industry based upon either BSE or NSE data (which shall be followed consistently and changes, if any, noted with proper justification thereof) shall be taken and discounted by 75 per cent i.e. only 25 per cent of the industry average P/E shall be taken as Capitalization rate (P/E ratio). Earnings per share (EPS) of the latest audited annual accounts shall be considered for this purpose. (c) The value as per the Net Worth value per share and the capital earning value calculated as above shall be averaged and further discounted by 10 per cent for illiquidity so as to arrive at the fair value per share. (d) In case the EPS is negative, EPS value for that year shall be taken as zero for arriving at capitalised earning. (e) In case where the latest Balance Sheet of the company is not available within nine months from the close of the year, unless the accounting year is changed, the shares of such companies shall be valued at zero. (f) In case an individual security accounts for more than 5 per cent of the total assets of the scheme, an independent valuer shall be appointed for the valuation of the said security. To determine if a security accounts for more than 5 per cent. of the total assets of the scheme, it shall be valued by the procedure above and the proportion which it bears to the total net assets of the scheme to which it belongs will be compared on the date of valuation.

² Non-traded /and/or thinly traded equity securities shall have the meaning as provided under SEBI Master Circular for Mutual Funds dated May 19, 2023 and as amended from time to time

Assets	Valuation Principles
	(g) In case trading in an equity security is suspended up to thirty days, then the last traded price shall be considered for valuation of that security. If an equity security is suspended for more than thirty days, then the investment manager or trustees shall decide the valuation norms to be followed and such norms shall be documented and recorded.
Valuation of other money market / debt securities, short-term deposits with banks (pending deployment)	Investments in short-term deposits with banks (pending deployment) and repurchase (repo) transactions (including tri-party repo i.e. TREPS) with tenor of up to 30 (thirty) days, shall be valued on cost plus accrual basis.

IV. Deviation from Valuation principles

In an event the established policies and procedures of valuation as detailed under this “**SECTION VIII: PRINCIPLES OF PORTFOLIO VALUATION**” do not result in fair and appropriate valuation, the Investment Manager shall, subject to such conditions as prescribed by SEBI from time to time and in accordance with Applicable Laws, deviate from the established policies and procedures in order to value the assets or securities at a fair value and document the rationale for such deviation, which shall be intimated to the Contributors in the manner as prescribed under paragraph 37 titled “*Reporting*” under “**SECTION VII: PRINCIPAL TERMS OF THE FUND**”. In case there is a deviation of more than 20% between two consecutive valuations or a deviation of more than 33% in a financial year, the Investment Manager shall inform the Contributors the reasons/factors for the same, both generic and specific, including but not limited to changes in accounting practices/policies, assumptions/projections, valuation methodology and approach, etc. and reasons thereof.

It is hereby clarified that any change in the methodology and approach for valuation of Scheme Investments, shall be construed as material change significantly influencing the decision of the Investors to continue to be invested in the Scheme and the Investment Manager shall adhere to the process as prescribed by the SEBI in this regard. Provided that, any change in the methodology and approach for valuation of Fund Investments necessitated pursuant to any change in Applicable Laws including the SEBI (Mutual Funds) Regulations, 1996 and circulars issued thereunder shall not be construed as material changes and shall be carried out in accordance with the Scheme Documents.

SECTION IX: CONFLICTS OF INTEREST

The conflicts of interest may arise in relation to the various activities carried out by the Interested Parties vis-à-vis the activities of the Scheme. The Investment Manager has adopted certain policies and procedures intended to protect the interest of Investors in the Scheme against any adverse consequences arising from potential conflicts of interest. The protection of the Investors' interests is Investment Manager's foremost priority. The conflict of interest situation may adversely affect the interest of the Contributors and the Contributor may lose its Capital Contribution due to such conflict of interest. The Contributor acknowledges the existence of risk arising out of conflict of interest.

The Interested Parties shall exercise a standard of good faith in their dealings with the Scheme and any of its Portfolio Entities. The Investment Manager will be transparent and make disclosures with respect to conflicts of interest situation that the Investment Manager determines may have arisen (or which seem likely to arise) between the Interested Parties and the Scheme (or any of its Portfolio Entities).

The Investment Manager maintains and operates effective organizational and administrative arrangements with the view of taking all reasonable steps to identify, continuously monitor and manage conflicts of interest. Some of the potential conflicts of interest situations and the policies of the Investment Manager for managing conflicts of interest are provided below. It is not intended to provide a comprehensive list of conflicts of interest or account of the processes and procedures which the Investment Manager adopts in connection with the management of conflicts of interest but instead, is intended to be a statement of principles with which the Investment Manager seeks to manage foreseeable conflicts of interest. The Investment Manager shall at all times ensure compliance with the provisions of Chapter IV of the Regulations.

All potential sources of conflicts of interests that the Investment Manager envisages during the operations of the Scheme, which includes conflicts arising at following levels:

- **At the level of employee of the Investment Manager**

The employees of the Investment Manager that provide services to the Scheme will have, in addition to their responsibilities for the Scheme, responsibilities for other projects and activities. Accordingly, they may have conflicts of interests in allocating management time and other resources amongst the Scheme and such other projects and clients.

- **At the level of service providers of the Scheme**

The attorneys, accountants, professionals and other service providers, who perform services for the Scheme may, and in some cases do, also perform services for the Interested Parties and their affiliates.

- **At the level of the Investment Manager**

There cannot be any assurance that an investment opportunity that comes to the attention of the Investment Manager will be referred or otherwise made available to the Scheme. Investment opportunities identified by the Investment Manager may be suitable for the Scheme and/or an Interested Party. The Investment Manager will endeavour to resolve any such conflicts in a reasonable manner taking into account such factors as it may consider relevant including investment strategy and objectives, investment policy, sector focus, deal size, regulatory and tax considerations, etc. However, there can be no assurance that the Scheme shall be allocated any particular investment opportunities that are identified by the Investment Manager.

- **At the level of the Investor**

The Investors of the Scheme, apart from investing in the Scheme, may also invest in the companies where the Scheme has also invested at the differential terms than that of the Scheme. Such investment of the Investors may conflict with the investment of the Scheme.

- **At the level of members of various governance bodies**

The members of the Investment Committee or any other board or committee of the Investment Manager, in addition to their responsibilities for the Scheme, will have responsibilities for other funds, projects and clients. Accordingly, allocating management time and other resources among the Scheme and such other funds, projects and clients can be a challenge.

- **At the level of the Sponsor/ Investment Manager group entity, in relation to various schemes managed by the Sponsor/ Investment Manager**

The Investment Manager/ Sponsor and their affiliates, subject to Applicable Laws, are currently and/or may be involved in a variety of advisory, management and investment-related activities and non-investment related activities and will continue to do so in the future. The Scheme shall not have any rights in or to any cash receipts or profits of the Investment Manager/ Sponsor, and any of their affiliates. The Investment Manager/ Sponsor and any of their affiliate/group entities may, from time to time, act as investment managers or advisers to other entities, companies or funds other than the Trust/Scheme. It is therefore possible that the Investment Manager/ Sponsor and their affiliates may in the course of their business have potential conflicts of interest *inter-se* different activities.

The Investment Manager may identify additional conflicts of interest situations from time to time, which will be managed/mitigated with the help of the principles identified herein and by also taking into account further processes which the Investment Manager may develop over the period of time. The following are the potential conflicts of interest situations that may arise:

- 1) *Investments in Portfolio Entities in which Interested Parties have Interests:* The Investment Manager while acting as the investment manager of the Trust/Scheme may from time-to-time effect transactions in securities issued by a Portfolio Entity that is otherwise a (i) client or (ii) investee company of any of the affiliate/associate/group entity/other funds of the Investment Manager or of the team of the Investment Manager. It may also effect transactions by the

Scheme in securities in which an affiliate/associate/group entity may have a financial or other business interest at any time;

- 2) Other Fees: The Investment Manager, as investment manager of the Trust/Scheme, may effect transactions in securities and/or provide services to Portfolio Entities in respect of which any of its affiliate/group entity may benefit from a commission or fee;
- 3) Purchase from and sale of investments to Interested Parties: The Investment Manager may purchase investments from or sell investments to Interested Parties. In such cases, conflicts may arise in determining the price and terms of the sale or purchase as the case may be;
- 4) Conflict in case of warehousing: The Investment Manager/ the Sponsor and/or their Associates/affiliates may make Warehoused Investments in Portfolio Entities. The transfer of such Warehoused Investments to the Scheme is expected to be at such price as the Investment Manager may decide in accordance with this Memorandum, which may not necessarily reflect an accurate intrinsic value of the Warehoused Investment;
- 5) Conflict in case of co-investment: Co-investment by the eligible Contributors alongside the Scheme is seen as a positive and motivating factor for such Contributors. However, conflicts of interest can occur if the eligible Contributor is permitted to invest on a deal-by-deal basis and/or on different terms to those offered to the Scheme. Sometimes, providing a Co-Investment opportunity to the eligible Contributor might result in dilution of stake of the Scheme in the Portfolio Entity. The eligible Contributor may employ a person on the advisory board of such Portfolio Entity and may be involved in decision making along with the Scheme.

Some of the measures the Investment Manager will adopt to manage identified conflicts are set out below. The Investment Manager will take reasonable care that, in relation to each identified conflict, it acts independently to avoid material risk to the Investors' interests.

- (a) A conflict of interest shall be dealt in the manner as provided under the this “**SECTION XI: CONFLICTS OF INTEREST**” and as provided under Deal Allocation Policy.

Deal Allocation Policy deals with the conflict of interest amongst unitholders of different schemes managed by the Investment Manager. According to the Deal Allocation Policy, the Investment Manager shall not cease to act in a fiduciary manner towards the unitholders of all the schemes managed by the Investment Manager and shall act in a manner that will not be detrimental to the legitimate interests of unitholders of any of the schemes managed by the Investment Manager. Further, the Deal Allocation Policy provides that in the event of any payment default or situation which warrants remedial action basis a write-down on investment in respect of any securities issued by such company that are held in the name of more than one scheme managed by the Investment Manager, recovery proceedings by the Investment Manager in respect of such securities shall be carried out in such a manner whereby recovery proceedings in respect of each such scheme shall be

handled by different persons from the investment team of the Investment Manager with Chinese walls between them.

- (b) The employees and directors of the Investment Manager and the members of the Investment Committee shall not be permitted to make direct investments into Portfolio Entities in which the Scheme makes investments.
- (c) The Investment Manager will make efforts to see that any transaction involving a potential conflict of interest will be effected on terms that are not less favourable to the Investors in the Scheme than if the potential conflict had not existed. The Investment Manager will place significant emphasis on its strong compliance culture, and the efficient operation of systems and controls, to manage issues such as conflicts of interest.
- (d) The Investment Manager will ensure that the interest of all the Investors is paramount and all personal interests, relationships or arrangements, including those of its affiliated companies/entities do not work against the Investors' interest.
- (e) The Investment Manager will take appropriate measures intended to assure that it will not unfairly profit from any transaction between its affiliates/group entities and the Scheme, and all such transactions shall strictly be done on an arm's length basis. The Investment Manager will use reasonable efforts to apportion or allocate business opportunities among persons or entities to or with which they have fiduciary duties and other relationships on a basis that is as fair and equitable as possible to each of such persons or entities, including the Scheme.

The Interested Parties and their management personnel will devote so much of their time to the Scheme as is, in their judgment, reasonably required.

SECTION X: RISK FACTORS

AN INVESTMENT IN THE SCHEME INVOLVES CERTAIN CONSIDERATIONS THAT MAY HAVE A BEARING ON ITS INVESTMENTS. ACCORDINGLY, BEFORE DECIDING TO INVEST IN THE SCHEME, PROSPECTIVE INVESTORS SHOULD CAREFULLY STUDY THE RISKS DESCRIBED BELOW TOGETHER WITH ALL THE INFORMATION CONTAINED IN THIS MEMORANDUM, AND SEEK INDEPENDENT LEGAL, INVESTMENT AND TAX ADVICE. ADDITIONAL RISKS AND UNCERTAINTIES NOT PRESENTLY KNOWN TO THE INVESTMENT MANAGER, OR THAT IT CURRENTLY DEEMS IMMATERIAL MAY ALSO HAVE AN ADVERSE IMPACT ON THE SCHEME'S PROSPECTS AND INVESTMENT ACTIVITIES. THE INVESTMENT MANAGER WILL ENDEAVOUR TO MITIGATE RISKS IDENTIFIED IN THIS SECTION IN ACCORDANCE WITH THE PROVISIONS OF THIS MEMORANDUM AND SHALL FORMULATE A RISK MANAGEMENT POLICY BEFORE THE SCHEME COMMENCES ITS OPERATIONS.

INVESTORS SHOULD CONSIDER THE SCHEME AS A SUPPLEMENT TO AN OVERALL INVESTMENT PROGRAM AND SHOULD ONLY INVEST IF THEY ARE WILLING TO UNDERTAKE THE RISKS INVOLVED. AN INVESTMENT IN THE SCHEME INVOLVES CERTAIN RISKS THAT MAY NOT BE ASSOCIATED WITH OTHER INVESTMENT VEHICLES. THE RISKS LISTED IN THIS SECTION X ARE NOT MEANT TO BE AN EXHAUSTIVE LIST OF ALL POTENTIAL RISKS ASSOCIATED WITH AN INVESTMENT IN THE SCHEME.

A. RISK FOR CERTAIN TYPE OF INVESTORS

<i>Type of Investor</i>	<i>Description of risks</i>
Small/individual Investors	Small/individual investors are subject to higher risk with respect to their small investment in the Scheme. Large or Institutional Investors may be provided certain beneficial terms or rights by the Scheme which might not be given to small/individual investors. Kindly refer risk titled " <i>Risk in relation to side letters that maybe entered into between Scheme and certain investors</i> " under paragraph C(4) of this SECTION X: RISK FACTORS of the Memorandum. Further, the interest of such small/individual investors will not be represented on the advisory committee, if any.
Overseas Investors	The overseas investors are required to comply with FDI or FPI rules in respect of their investment in the Scheme. Kindly refer to the risk titled " <i>Foreign investments in the Units of the Scheme</i> " under paragraph J(4) in this SECTION X: RISK FACTORS of the Memorandum. Further, as the Units are to be denominated in Indian Rupees, the overseas investors will be subject to currency risk. Kindly refer to the risk titled " <i>Currency risk arising to offshore Investors</i> " in this Section.

Institutional Investors	An Institutional Investor may be restricted by its statute or governing document under which it is established to refrain from making investments in certain sectors/industries or types of securities. The Scheme would generally have a common portfolio across all its Investors, except in certain limited situations as specified in this Memorandum. There is no assurance that the Scheme will be able to make available separate portfolio for such restricted investments by the Institutional Investors. Further, where an Institutional Investor is a fund-of-fund, there may be limitation on availability of liquidity/distribution by the Scheme at the time of end of life/term of such fund-of-fund. Further, there could be a situation where an Institutional Investor investing a significantly higher amount in the Scheme could have superior rights, not otherwise available to other Institutional Investors.
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B. RISKS FOR THE TYPE OF SECURITIES/INSTRUMENT THE SCHEME MAY INVEST

<i>Type of security</i>	<i>Nature of risk</i>
Debt	The Scheme shall invest in various types of debt securities and instruments. Such instruments are generally not very liquid and the Scheme may not dispose of the securities in a favourable manner. Further, due to business conditions of the Portfolio Entities or due to macroeconomic conditions, the securities may not give the expected returns to the Scheme. Such securities and instruments may be unrated and, whether or not rated, may have speculative characteristics. In the absence of appropriate hedging measures, changes in interest rates generally will cause the value of debt investments held by the Scheme to vary inversely to such changes. Investments in debt securities and instruments with a longer maturity period or duration are subject to greater volatility in comparison to investments in instruments with a shorter maturity period. The obligor of a debt security or instrument may not be able or willing to pay interest or to repay principal when due in accordance with the terms of the associated agreement. An obligor's willingness to pay interest or to repay the principal due in a timely manner may be affected by, among other factors, its cash flow. Commercial lenders may be able to contest payments to the holders of other debt obligations of the same obligor in the event of default under their commercial loan agreements.

C. RISKS RELATED TO PORTFOLIO INVESTMENTS

1. *Risks associated with the nature of the portfolio investments.*

- **Investment strategy largely focused on private companies**

Investments will be made primarily in privately held companies. Generally, very little public information exists about these companies, and the Scheme will be required to rely on the ability of the Investment Manager to obtain adequate information to evaluate the potential returns from investing in these companies. If the Scheme is unable to uncover all material information about these companies, the Scheme may not make a fully informed investment decision, and the Scheme may lose money on the Scheme Investments. Privately held companies generally have less diverse product lines and a smaller market presence than larger competitors. Thus, they are more vulnerable to economic downturns and may experience substantial variations in operating results. These factors could affect the Scheme's investment returns. In addition, the Scheme's success depends, in large part, upon the abilities of the key management personnel of the Portfolio Entities, who are responsible for the day-to-day operations of the Portfolio Entities. Competition for qualified personnel is intense at any stage of a company's development. The loss of one or more key managers can hinder or delay a company's implementation of its business plan and harm its financial condition. The Portfolio Entities may not be able to attract and retain qualified managers and personnel. Any inability to do so may negatively affect the Scheme's investment returns.

- **Investments in debt instruments**

The Scheme expects to invest in debt instruments including non-convertible debt instruments. Such instruments may be unrated and, whether or not rated, may have risks associated therewith. In the absence of appropriate hedging measures, changes in interest rates generally will cause the value of debt investments held by the Scheme to vary inversely to such changes. Investments in such instruments with longer terms to maturity or duration are subject to greater volatility than investments in shorter-term obligations. The obligor of a debt security or instrument may not be able or willing to pay interest or to repay principal when due in accordance with the investment documents. An obligor's willingness to pay interest or to repay principal due in a timely manner may be affected by, among other factors, its cash flow. Sometimes, the Scheme may also have exposure to listed debt instruments. The fluctuation in the market price of such instruments is likely to have a direct bearing on the value of the investment in the Portfolio Entities. Further, there may be additional costs involved in complying with the disclosure and regulatory requirements. Further, in case of making Temporary Investments, such investments in listed debt instruments may be required to be made on the basis of publicly available information only due to the limited ability to conduct due diligence on such companies.

- **Inability to identify suitable investments**

There is a risk of delay in deployment of contributions received till the time suitable instruments are available for deployment.

- **Leverage risk of Portfolio Companies**

The Scheme may invest in Portfolio Companies, the capital structure of which may have significant

leverage. While investments in leveraged entities offer the opportunity for capital appreciation, such investments may also involve a high degree of risk. Although the Investment Manager will seek to use leverage in a manner it believes is appropriate under the circumstances, the leveraged capital structure of Portfolio Companies will increase the exposure of such Portfolio Companies to adverse economic factors such as rising interest rates, downturns in the economy, debt or equity capital markets or deteriorations in the condition of Investments and which may impair such Portfolio Companies ability to finance its future operations and capital needs and result in restrictive financial and operating covenants, including those that may prevent distributions to the Scheme. These restrictive financial covenants may limit such Portfolio Companies' flexibility to respond to changing business and economic conditions. If a Portfolio Company is unable to generate sufficient cash flows to meet principal and/or interest payments on its indebtedness or make regular dividend/profits payments, the value of such investment could be significantly reduced or even eliminated, magnifying potential losses. Moreover, in case of Temporary Investments, the Scheme may invest in securities that are not protected by financial covenants or limitations on additional indebtedness.

- **Investment in Companies Dependent upon New Scientific Developments and Technologies**

The Scheme may invest a portion of its Corpus in technology companies. The value of the Scheme's interests may be susceptible to factors affecting the technology industry and to greater risk than an investment in an investment fund that invests in a broader range of securities. The specific risks faced by such companies include:

- Rapidly changing science and technologies;
- Products or technologies that may quickly become obsolete;
- Exposure to a high degree of government regulation, making these companies susceptible to changes in government policy and failures to secure, or unanticipated delays in securing, regulatory approvals;
- Scarcity of management, technical, scientific, research and marketing personnel with appropriate training;
- The possibility of lawsuits related to patents and intellectual property; and
- Changing investor sentiments and preferences with regard to technology sector investments (which are generally perceived as risky).

- **Inability of Portfolio Entities to commercialize their technologies, products, business concepts or services**

The value of the Scheme Investments may decline if the Portfolio Entities are not able to commercialize their technology, products, business concepts or services. Additionally, although many of the Portfolio Entities may already have a commercially successful product or product line at the time of the Scheme Investment, technology-related products and services often have a more limited market or life span than products in other industries. Thus, the ultimate success of these companies often depends on their ability to innovate continually in increasingly competitive markets. If they are unable to do so, the Scheme's investment returns could be adversely affected. The Portfolio Entities may be unable to acquire or develop successful new technologies and the intellectual property they currently hold may not remain

viable. Even if the Portfolio Entities are able to develop commercially viable products, the market for new products and services is highly competitive and rapidly changing. Neither the Portfolio Entities nor the Scheme may have any control over the pace of technology development. Commercial success is difficult to predict, and the marketing efforts of the Portfolio Entities may not be successful.

- **Need for follow-on capital**

The Portfolio Entities may require significant amounts of capital. There can be no assurance that such capital will be available from public capital market or private sources. In particular, the cyclicity of public markets may prevent Portfolio Entities from raising money in their particular industry sectors, despite attractive products or services. Failure of a Portfolio Entity to raise or otherwise secure the necessary follow-on capital to fund its operations, research and development, capital expenditures or other activities may require, among other things, the sale or liquidation of some or all of the assets of such Portfolio Entity at a loss or reduced valuation from the price paid by the Scheme.

- **Associate party transactions**

The Investment Manager/ the Sponsor and/or their associate may make Warehoused Investments in Portfolio Entities. The transfer of such Warehoused Investments to the Scheme is expected to be at cost plus a fixed percentage or at such price as the Investment Manager may decide in accordance with this Memorandum. Further, while any compensation paid to the Investment Manager/ Sponsor or their associates towards cost of Warehoused Investment is expected to be at market rates, such compensation shall generally be determined through negotiations with relevant parties and may not be on an arm's length basis. No part of such compensation paid to the Investment Manager/ Sponsor or their associates will be offset against Management Fee distributions payable to the Investment Manager/ Sponsor in respect of the Scheme.

- **Credit Risks**

One of the fundamental risks associated with the Scheme's intended investments is credit risk, i.e., the risk of non-payment of agreed amounts by Portfolio Entities and other obligors, to the Scheme. Such non-payment will result in a reduction of the Scheme's returns and a reduction in the value of the relevant investments in the Portfolio Entities. Although the Scheme expects to invest in investments that the Investment Manager believes are secured by adequate collateral, there can be no assurance that the enforcement against or disposition of any such collateral would satisfy the Portfolio Entity's obligation in the event of non-payment or that such collateral could be readily disposed off. In addition, in case of the bankruptcy of a Portfolio Entity, the Scheme could experience significant delays in the enforcement and realization of the collateral securing an investment in a Portfolio Entity. Further, such collateral may be released without the consent of the Investment Manager. Moreover, the Scheme's investments in secured debt may be unperfected for a variety of reasons, including the failure to make required filings by lenders or trustees (appointed by lenders) and, as a result, the Scheme may not have priority over other creditors as anticipated. Furthermore, the Scheme's right to payment and its security interests, if any, may be subordinated to the payment rights and security interests of senior lenders. Certain of these investments may have an interest-only payment schedule, with the principal amount remaining

outstanding and at risk until the maturity of the investment. In this case, a company's ability to repay the principal of an investment may be dependent upon a liquidity event or the long-term success of the company, the occurrence of which, may be uncertain.

- **Interest Rate Risk**

Investments made in the name of the Scheme shall be in the nature of debt investments and though it intends to hold them to maturity, there will still be mark-to-market gains/loss depending on movement of interest rates. Also, in case the Scheme Investments will have to be liquidated before maturity, the realization proceeds will depend on the prevalent interest rates. Changes in prevailing market interest rates could negatively affect the value of such investments. Factors that may affect market interest rates include inflation, deflation, slow or stagnant economic growth or recession, unemployment, money supply, governmental monetary policies, international disorders and instability in domestic and foreign financial markets. The Scheme expects that it will periodically experience imbalances in the interest rate sensitivities of its assets and liabilities and the relationships of various interest rates to each other, which could adversely affect its performance. The Scheme may or may not seek to hedge its interest rate risk.

- **Inadequate Collateral**

If there is a decrease in the value of the underlying securities of a Scheme Investment, the Scheme may not have sufficient collateral to cover losses and may experience losses upon foreclosure. It is generally believed that the Scheme's Portfolio Entities generally are and will be able to repay the Scheme's debt investments from their available capital, from future capital-raising transactions or from cash flow from operations. However, to mitigate the Scheme's credit risks, the Scheme will typically take a security interest in all or a portion of the assets of the Scheme's Portfolio Entities. There is a risk that the collateral securing the Scheme's debt investments may decrease in value over time, may be difficult to appraise or sell in a timely manner and may fluctuate in value based upon the business and market conditions, including as a result of an inability of the Portfolio Entity to raise additional capital, and, in some circumstances, the Scheme's lien could be subordinated to claims of other creditors. In addition, deterioration of a Portfolio Entity's financial condition and prospects, including its inability to raise additional capital, may be accompanied by deterioration of the value of the collateral for the debt investments. Consequently, although such debt investment is secured, the Scheme may not receive principal and interest payments according to the debt investment's terms and the value of the collateral may not be sufficient to recover the Scheme's investment should the Scheme be forced to enforce the Scheme's remedies.

In addition, because the Scheme may invest in small and medium sized companies in the Scheme's target industries, a portion of the assets securing the Scheme's investment may be in the form of intellectual property, if any, inventory, equipment, cash and accounts receivables. Intellectual property, if any, which secures a debt investment could lose value if the company's rights to the intellectual property are challenged or if the company's license to the intellectual property is revoked or expires. In addition, in lieu of a security interest in a Portfolio Entity's intellectual property the Scheme may sometimes obtain a security interest in all assets of the Portfolio Entity other than intellectual property and also obtain a

commitment by the Portfolio Entity not to grant liens to any other creditor on the company's intellectual property. In these cases, the Scheme may have additional difficulty recovering the Scheme's principal in the event of a foreclosure.

- **Other Debt in Portfolio Entities ranking pari-passu / senior**

In a few instances, the Scheme's Portfolio Entities may incur debt that ranks equally with, or senior to, the Scheme's investments in such companies. The Scheme plans to invest in debt investments issued by the Scheme's Portfolio Entities. Some of the Scheme's Portfolio Entities are permitted to have other debt that ranks equally with, or senior to, the Scheme's debt investments in the Portfolio Entity. By their terms, these debt instruments may provide that the holders thereof are entitled to receive payment of interest or principal on or before the dates on which the Scheme are entitled to receive payments in respect of the Scheme's debt investments. These debt instruments may prohibit the Portfolio Entities from paying interest on or repaying the Scheme's investments in the event of, and during, the continuance of a default under the debt instruments. In addition, in the event of insolvency, liquidation, dissolution, reorganization or bankruptcy of a Portfolio Entity, holders of debt instruments ranking senior to the Scheme's investment in that Portfolio Entity would typically be entitled to receive payment in full before the Scheme receives any payment in respect of its investment. After repaying senior creditors, a Portfolio Entity may not have any remaining assets to use for repaying its obligation to the Scheme. In the case of debt ranking equally with the Scheme's debt investments, the Scheme would have to share on an equal basis any distributions with other creditors holding such debt in the event of an insolvency, liquidation, dissolution, reorganization or bankruptcy.

- **Pre-payments of the Scheme's debt investments**

The Scheme is subject to the risk that the investments made by the Scheme in Portfolio Entities may be repaid prior to maturity. Generally, voluntary prepayments are permitted and the timing of prepayments cannot be predicted with any accuracy. The degree to which a borrower prepays debt, whether as a contractual requirement or at its election, may be affected by general business conditions, market interest rates, such borrower's financial condition and competitive conditions among lenders. Prepayments are likely to be made during any period of declining interest rates. Such prepayments may result in the Scheme receiving a lower than anticipated yield on such investments.

For instance, at the time of a liquidity event, such as a sale of the business, refinancing or public offering, many of the Scheme's Portfolio Entities may avail themselves of the opportunity to repay the Scheme's debt investments prior to maturity. The Scheme's investments generally allow for repayment at any time subject to certain penalties. When this occurs, the Scheme generally re-invests these proceeds in Temporary Investments, pending their future investment in new Portfolio Entities. These Temporary Investments have substantially lower yields than the debt being prepaid, and the Scheme could experience significant delays in reinvesting these amounts. Any future investment in a new Portfolio Entity may also be at lower yields than the debt that was repaid. As a result, the Scheme's results of operations could be materially adversely affected if one or more of the Scheme's Portfolio Entities elects to prepay amounts owed to the Scheme.

- **Borrower Fraud; Breach of Covenant**

The Scheme will seek to obtain structural, covenant and other contractual protections with respect to the terms of its investments as determined appropriate under the circumstances. There can be no assurance that such attempts to provide downside protection with respect to investments will achieve their desired effect and potential Investors should regard an investment in the Scheme as being speculative and having a high degree of risk. The paramount concern in originating or acquiring the financing contemplated by the Scheme, is the possibility of material misrepresentation or omission on the part of a Portfolio Company or other credit support providers or breach of covenant by such parties. Such inaccuracy or incompleteness or breach of covenants may adversely affect the valuation of the collateral underlying the loans or the ability of the Scheme to perfect or effectuate a lien on the collateral securing the loan or otherwise realize on the investment. The Scheme will rely upon the accuracy and completeness of representations made by borrowers to the extent reasonable but cannot guarantee such accuracy or completeness.

- **Conditions in the Indian Equity market may affect the coupon on the Debentures.**

The Indian securities markets are smaller than securities markets in more developed economies and the regulation and monitoring of Indian securities markets and the activities of investors, brokers and other participants differ, in some cases significantly, from those in the more developed economies. The Indian stock exchanges have also experienced problems that have affected the market price and liquidity of the securities of Indian companies. In addition, the governing bodies of the Indian stock exchanges have from time to time restricted securities from trading, limited price movements and restricted margin requirements. If similar problems occur in the future, the market price and liquidity of the equity shares could be adversely affected, thereby affecting the indices.

- **Future Investments; Inability to Invest Committed Capital**

The activity of identifying, completing and realizing attractive investments involves a high degree of uncertainty. The Scheme will be competing for investments with other investment vehicles, as well as financial institutions and other institutional investors. Indian and non-Indian funds with similar investment objectives have been and may be formed in the future by unrelated parties, and consolidations or additional regulations may occur. As a result, the Scheme may face risks and uncertainties with respect to the selection of investments and Investors will be relying on the ability of the Scheme, with the advice of the Investment Manager, to find and close suitable future investments using the proceeds of this offering. Because of the factors described above, it may take a long period for the Scheme to invest and there is no assurance that the Scheme will ever be able to fully invest the Capital Commitments or that suitable investment opportunities will be identified that satisfy the Scheme's Investment Objective. If the Scheme is unable to invest the Capital Commitments fully, the potential return to the Investors could be materially reduced.

- **Default**

The Scheme may experience difficulty in making up for a shortfall in capital from other sources should an Investor default occur. A default by one or more Investors could have an adverse effect on the Scheme, its assets and the interest of other Investors.

A Defaulting Contributor may be subject to significant financial consequences specified in the relevant Trust Documents, including, among others, payment of damages and/or the withholding of distributions otherwise payable to such Defaulting Contributor. In addition, the Investment Manager may, each in its respective absolute discretion, take actions, including but not limited to forfeiture of commitments that have already been made by the Defaulting Investor. Any exercise of any or none of the remedies set out above will not prejudice the right of the Investment Manager to pursue any other available legal remedies against the Defaulting Contributor or any other Defaulting Contributors.

- **Appraisals and Valuations**

Most of the Scheme's Investments will be highly illiquid and will most likely not be actively traded or readily marketable. The Investment Manager, therefore, will not have access to readily ascertainable market prices when establishing valuations of the investments. While the Investment Manager will endeavor to determine and establish valuations of the Scheme's Investments based on the valuer's estimate of the market values of such Investments and underwriting principles it considers to be sound, as a result of the illiquidity of a substantial portion of the investments, the Investment Manager and the Scheme can provide no assurance that any given investment could be sold at a price equal to the market value ascribed to such investment in connection with the Scheme's valuer's valuation thereof.

- **Credit Rating**

Rating agencies rate debt securities based upon their assessment of the likelihood of the receipt of principal and interest payments. Rating agencies do not consider the risks of fluctuations in market value or other factors that may influence the value of debt securities. Therefore, the credit rating assigned to a particular instrument may not fully reflect the true risks of an investment in such instrument. Credit rating agencies may change their methods of evaluating credit risk and determining ratings. These changes may occur quickly and often. While the Scheme may give some consideration to ratings, ratings may not be indicative of the actual credit risk of the Scheme's investments in rated instruments.

- **Lack of diversification**

The Scheme may have a limited number of investments and, as a consequence, the aggregate returns realized by the Investors may be adversely affected by the unfavorable performance of a small number of such investments. Finally, since many of the investments may involve a high degree of risk, poor performance by a few of the investments could significantly affect the total returns to the Investors.

- **Effect of Fees and Expenses on Returns**

Each Investor will bear its share of the expenses of the Scheme. Fee and expenses of the Scheme will generally be paid regardless of whether the Scheme produces positive investment returns. If the Scheme

does not produce significant positive investment returns, these fees and expenses could reduce the amount recovered by the Contributor to less than its total Capital Contributions to the Scheme.

2. *Risks associated with the investment returns.*

- **No guarantee of investment returns**

The Scheme does not provide assurance that it will be able to identify, make and realize investments in any particular company or portfolio of companies. There can be no assurance that the Scheme will be able to generate returns for its Investors or that the returns will commensurate with the risks of investing in the type of Portfolio Entities forming part of the investment strategy of the Scheme. Accordingly, only Persons who can afford a complete loss of their principal amount invested in the Scheme should consider an investment in the Scheme.

- **Future investments, inability to invest committed capital and competition from other funds**

The activity of identifying, completing and realizing attractive investments is competitive and involves a high degree of uncertainty. The Scheme will be competing for investments with other investment vehicles, as well as financial institutions and other Institutional Investors. Indian and non-Indian funds with similar investment objectives have been and may be formed in the future by unrelated parties. As a result, the Scheme may face risks and uncertainties with respect to the selection of investments and Investors will be relying on the ability of the Scheme, with the advice of the Investment Manager, to find and close suitable future investments using the proceeds of this offering. Due to the factors described above, it may take a long period for the Scheme to invest and there is no assurance that the Scheme will ever be able to fully invest the Capital Commitments or that suitable investment opportunities will be identified that satisfy the Scheme's investment objective. If the Scheme is unable to invest the Capital Commitments fully, the potential return to the Investors could be materially reduced. The Investment Manager will endeavour to make investments in portfolio candidates as detailed under "**SECTION III: INVESTMENT OBJECTIVE, STRATEGY AND PROCESS**" of this Memorandum, however, is not mandated or limited to do, and may make other investments in accordance with the investment strategy of the Scheme.

3. *Risk related to the exit by the Scheme from the Portfolio Investments.*

The feasibility and terms of any proposed exit strategy for the Scheme in respect of its investments will depend in part on the nature of the instruments held and factors that may not be within the control of the Scheme, at the time of the proposed disposition and the effect of applicable legislation and political and economic conditions. Consequently, the precise timing of the disposition of an investment and the manner of disposition are impossible to predict, and no assurance can be given that such disposition will be achieved on terms favorable to the Scheme. If the Scheme is not able to exit from Scheme Investments at the time of termination of the Scheme, the Scheme Investments may be distributed *in-specie* to the Investors.

4. *Risk in relation to side letters that maybe entered into between Scheme and certain investors.*

The Investment Manager may enter into such Contribution Agreements, side letters or similar arrangements pursuant to which certain Investors are granted the right to invest on terms that differ from those set forth herein or in the applicable Trust Documents, including, without limitation, reductions or waivers of the Management Fee, other fees and expenses, increased access to information about the Scheme and its investments. Also, there may be certain information rights which only certain large Investors may have and other Investors would be made aware of the possibility of such a scenario and Investment Manager shall ensure that the same does not act against the interest of any Investor(s) in the Scheme. However, all the reporting / information rights as prescribed under the Regulations and any other information on material change (as specified under the Regulations) shall be provided to all Investors in the Scheme.

5. *Risk in relation to failure of the Scheme to raise target corpus.*

The implementation of Scheme's investment objective and strategy largely depends upon the extent of capital raised by the Scheme. In this Memorandum, the Investment Manager has stated the target corpus that the Scheme is expected to raise over a period of time. If the Scheme is unable to raise the targeted corpus, it may not be able to fully implement its investment strategy, thereby impacting the size and nature of investments that the Scheme would pursue to realise investment objective.

6. *Risk associated with the Scheme investing with third parties.*

The Scheme may make investments along with co-investor/s or third-party/ies. Such investments may involve risks not present in investments where such co-investor or third-party is not involved, including, for example, the possibility that a co-investor/third-party may have financial difficulties or become bankrupt, or may at any time have economic interests or goals which are inconsistent with those of the Scheme or may be in a position to take (or block) actions in a manner inconsistent with the Scheme's objectives. The Scheme may hold a non-controlling interest in certain investments and, therefore, may have a limited ability to protect its position in such investments.

7. *Risk associated with lack of insurance by the Scheme against certain events.*

Uninsured losses could adversely affect the Scheme's or Portfolio Entity's financial condition and result of operations. Various types of catastrophic losses, such as losses due to wars, riots, nuclear reaction, terrorist acts, earthquakes, floods hurricanes, pollution or environmental matters, generally are either uninsurable or not economically insurable or may be subject to insurance coverage limitation. In the event of such loss, the Scheme's or Portfolio Entity's insurance coverage may not be sufficient to cover the full current market value or replacement cost of Scheme Investments and/or its other assets, as applicable. Should an uninsured loss or a loss in excess of insured limits occur, the Scheme could lose all or a portion of the capital it has invested in a Portfolio Entity.

8. *Risk in relation to change in environment.*

The Scheme's investment program is intended to extend over a period of years, during which the business, economic, political, regulatory, and technology environment within which the Scheme operates

is expected to undergo substantial changes, some of which may be adverse to the Scheme. The Investment Manager will have the exclusive right and authority (within limitations set forth in the Contribution Agreement) to determine the manner in which the Scheme shall respond to such changes, and Investors generally will have no right to withdraw from the Scheme or to demand specific modifications to the Scheme's operations in consequence thereof. Investors are particularly cautioned that the investment sourcing, selection, management and liquidation strategies and procedures exercised by persons associated with the Investment Manager in the past may not be successful, or even practicable, during the Term. Within the limitations set forth in the Contribution Agreement, the Investment Manager will have the right and authority to cause the Scheme's investment sourcing, selection, management and liquidation strategies and procedures to deviate from those described in this Memorandum.

9. *Risk in relation to counter party's actions or default with respect to the Scheme.*

Counterparties are third parties that enter into contracts either directly with the Scheme or with any of its Portfolio Entities. The long-term financial performance of the Scheme is partially dependent on the creditworthiness and performance of counterparties with regard to a variety of agreements and arrangements. If a counter party is unable or chooses not to meet its obligations, financial or otherwise, the Scheme may be adversely impacted.

10. *Risk in relation to change in control of parties in relation to the Scheme.*

The Scheme's success depends, in large part, upon the abilities of the controlling parties of the Investment Manager, Trustee and Portfolio Entities, who are responsible for the day-to-day operations. Any change in control of the Investment Manager, Trustee and Portfolio Entities may hinder the performance of the Scheme and adversely affect its financial condition. The Investment Manager may put restrictions on change in control of the Portfolio Entity by way of the agreement with Portfolio Entity.

11. *Risk associated with the managerial role the Scheme may play vis-à-vis a portfolio entity.*

The Scheme may designate members to serve on the supervisory board or boards of directors of Portfolio Entities. The serving on such bodies and/or designation of supervisory board members and of directors and other measures contemplated exposes the Scheme to potential liability and exposes the assets of the Scheme to claim by a Portfolio Entity, its security holders and its creditors.

12. *Epidemics and Other Health Risks.*

Many countries experienced outbreaks of infectious illnesses in recent decades, including swine flu, avian influenza, SARS and the 2019-nCoV (the "COVID-19"). The COVID-19 outbreak resulted in numerous deaths and the imposition of both local and more widespread "work from home" and other quarantine measures, border closures and other travel restrictions, causing social unrest and commercial disruption on a global scale. The World Health Organization declared the COVID-19 outbreak a global pandemic.

The spread of the COVID-19 has had a material adverse impact on businesses, local economies in the affected jurisdictions and also on the global economy, as cross border commercial activity and market sentiment were increasingly impacted by the outbreak and government and other measures seeking to contain its spread. In addition to these developments adversely affecting the Portfolio Entities and other issuers in or through which the Scheme invests and the value of the Scheme's investments therein, the operations of the Investment Manager and the Scheme could be adversely impacted, including through quarantine measures and travel restrictions imposed in particular on key personnel or service providers of the Investment Manager, or any related health issues of such personnel or service providers. In addition, the Scheme's operations could be disrupted if any member of the key investment team or any other key personnel of the Investment Manager contracts the COVID-19 and/or any other infectious disease. Geographical region in which the Scheme will invest may not have developed rescue and rehabilitation facilities. In addition, the country may not efficiently and quickly recover from such event, which can have a materially adverse effect on the Portfolio Entities. Any of the foregoing events could materially and adversely affect the Scheme's ability to source, manage and divest its investments and its ability to fulfill its investment objectives. Similar consequences may arise with respect to other comparable infectious diseases.]

D. RISK RELATED TO SCHEME STRUCTURE

1. Performance risks.

The performance of the Scheme will depend upon the performance of the Portfolio Entities. There can be no assurance that the Portfolio Entities will achieve profitable operations. The performance of the Portfolio Entities and the value of the Scheme's interest in the Portfolio Entities may be adversely affected by numerous factors including, for example, (i) business, economic, and political conditions throughout India and the world; (ii) the supply of and demand for the goods, assets and services provided, or sold by Portfolio Entities; (iii) changes and advances in technology that may, among other things, render goods, assets and services sold by the Portfolio Entities obsolete; and (iv) actual and potential competition from other companies and countries. Certain Portfolio Entities may need substantial additional capital to support growth or to achieve or maintain a competitive position. Such capital may not be available on attractive terms or at all. Although the Investment Manager will endeavor to recommend investments that are consistent with the investment objectives, the investments may involve a risk of loss of capital. Investment in the Scheme should be made by sophisticated investors who are able to bear the risk of loss of an investment in the Scheme. Further, as the Scheme may be investing in originators engaged in providing retail credit to the financially excluded, one needs to understand that this market is an emerging market and there may be little historical data available to assess the risk of the financial products in this space. Due to the untested nature of the market there is the risk that Contributors may lose their investment and receive muted, below normal or in an unforeseen case, no return of either capital or income.

2. Risk in relation to the ability of the Investment Manager to identify and structure investments and divestments.

- **Key investment team**

The Investment Manager will be selecting suitable portfolio investments. A material adverse effect on the returns of the Scheme may be created by the loss of one or more members of the key investment team of the Investment Manager who are responsible for managing the Scheme's portfolio. In case of loss of one or more members of the key investment team of the Investment Manager, the Investment Manager would endeavor to introduce a competent person.

- **Management risk**

Investors have no authority to make decisions or to exercise investment discretion on behalf of the Scheme. The authority for all such decisions is delegated to the Investment Manager. Accordingly, Investors must be prepared to entrust management of the Scheme to the Investment Manager in accordance with the Regulations and Trust Documents.

- **Sourcing, screening and deal selection**

The Scheme's performance may be limited by the Investment Manager's ability to source suitable investment opportunities. Sourcing suitable investments may be difficult due to the emerging nature of the market targeted by the Scheme, which may make it difficult to acquire quality investment opportunities within the forecast timeframe or for the prices anticipated in line with this strategy. This could have a negative impact on the Scheme's performance and result in Contributors being more greatly exposed to the underperformance of any of the individual Scheme investments. The quality of investments is directly related to the ability of the Investment Manager to screen and select potential investment from large set of opportunities. Failure to do so will naturally result in low to negative returns.

- **Decision making solely by the Investment Manager**

The Investment Manager shall manage the assets of the Scheme and will take its investments and divestments decisions exclusively. The Investors will not be able to make investment or other decisions in connection with the Scheme. Therefore, judgments of the Investment Manager's expected performance cannot be extrapolated from the past performance of the Investment Manager. The Investment Manager may not be able to act as the investment manager of the Scheme in an event the Investment Manager becomes ineligible to act as an investment manager of the Scheme under Applicable Laws or Trust Documents. Therefore, the success of the Scheme will depend upon the ability of the Investment Manager to source, select, complete and realize appropriate investments. With specific reference to the Scheme, the Investment Manager will have considerable latitude in its choice of Portfolio Entities and the structuring of investments, subject to the investment parameters set forth in this Memorandum.

3. *Concentration risk.*

The Scheme may have a limited number of investments and, as a consequence, the aggregate returns realized by the Investors may be adversely affected by the unfavorable performance of a small number of such investments. The investments may also involve geographic concentration in India and may be

further concentrated in India, and hence an inability to diversify risk. Finally, since many of the investments may involve a high degree of risk, poor performance by a few of the investments could significantly affect the total returns to the Investors. The Investment Manager would strive to diversify the portfolio of the Scheme, as much as possible, in order to mitigate the concentration risk.

4. *Risk associated with reliance on forward looking statements/market data.*

Certain information contained in the Memorandum constitutes “forward-looking statements” which can be identified by the use of forward-looking terminology such as “may”, “will”, “should”, “expect”, “anticipate”, “target”, “project”, “estimate”, “intend”, “continue”, “believe”, or the negatives thereof or other variations thereon or comparable terminology. Due to various risks and uncertainties, actual events or results or the actual performance of the fund may differ materially from those reflected or contemplated in such forward-looking statements.

5. *Risk associated with reliance on the Trustee, Investment Manager and other decision-making committees*

- **Lack of control by Investors**

Investors will not have an opportunity to evaluate the investments made by the Scheme or the terms of any particular investment. The Investment Manager will generally manage the affairs of the Scheme and accordingly the Investment Manager will have significant discretion in managing the Scheme Investments. The rights and obligations of Investors will be subject to the limitations set forth in the Trust Documents and except for the rights specifically reserved to them by the Trust Documents and Applicable Law, the Investors will have no part in the management and control of the Scheme.

- **Dependence on the Investment Manager and Investment Committee**

The Scheme’s success depends on the skill and acumen of the Investment Manager, and more particularly the individuals involved in the decision making of the Investment Manager. If any of these individuals should cease to participate in the Investment Manager’s business, the Investment Manager’s ability to select attractive investments for the Scheme and manage its portfolio could be impaired. Further, the Investment Manager may devote a part of their time to other activities (including any additional Scheme vehicles or clients). Further, members of the Investment Committee will devote such time to the Scheme’s affairs as they consider necessary. The members of the Investment Committee in addition to their responsibilities to the Scheme will have responsibilities for other funds, projects and clients. Accordingly, allocating management time and other resources among the Scheme and such other funds, projects and clients can be a challenge.

- **Conflict of Interest**

The Sponsor/ the Investment Manager, its directors, senior personnel, members of the key investment team and the members of the Investment Committee will be subject to certain conflicts of interest

situation. The Trust Documents contain certain mitigating factors against conflicts of interest faced by them and its members, but will not purport to address all types of conflicts that may arise. The conflicts will also be dealt by way of disclosures being made in accordance with the Regulations.

6. *Risk associated with relying on third party service providers/intermediaries.*

The Investment Manager might have to rely on the opinion/advise/action of the third party service providers/intermediaries while performing the functions of the Scheme. The Investment Manager will not be liable for acting bonafide based on such advice. There may be circumstances whereby the Scheme might suffer losses because of acting on the advice of such intermediaries.

7. *Risk on account of default by Investors.*

The Scheme may experience difficulty in making up for a shortfall in capital from other sources should an Investor default occur. A default by one or more Investors could have an adverse effect on the Scheme, its assets and the interest of other Investors. A Defaulting Contributor may be subject to significant financial consequences specified in the relevant Trust Documents.

8. *Risks associated with restrictions on withdrawal/transfer and in-kind distribution.*

- **Restrictions on withdrawal and transfer**

Investors are generally not permitted to withdraw from the Scheme. In addition, they may not transfer any of the interests, rights or obligations with regard to the Scheme except as may be provided in the Trust Documents with regard to the Scheme, and in the Regulations.

- **In-specie distribution**

There may be circumstances where the Investment Manager deems appropriate to make *in-specie* distributions to Investors. Such distributions of *in-specie* assets shall be made in accordance with the provisions described in this Memorandum in relation to a distribution of assets *in specie* during the term of the Scheme and/or at the time of dissolution of the Scheme and may have adverse tax consequences that may not otherwise apply to an equivalent cash distribution. If an in-specie distribution is received by Investors from the Scheme, the Investors may be subject to restrictions on disposal of securities so distributed and consequently may not be able to realize the full value of these securities.

9. *Risk associated with indemnity and tax obligation of the Investors towards Scheme parties.*

The Trust Documents contain provisions that relieve the Investment Manager and other Indemnified Persons of liability for certain acts or omissions except on account of Malfeasance. An indemnity is provided to the Indemnified Persons against any Losses except to the extent such Losses resulted from the Indemnified Person's Malfeasance. Indemnification of the Indemnified Persons may impair the financial condition of the Scheme and its ability to acquire assets or otherwise achieve its investment objective or meet its obligations.

Please find below various illustrations of when an indemnity may be invoked:

- a) The Investment Manager and/or Sponsor while carrying out its day to day functioning on behalf of the Scheme, may face litigations, receive notices, face litigations by counterparties in terms of investment/third party contracts entered on behalf of the Scheme etc.
- b) There may be practical scenarios whereby the Investment Manager and/or Sponsor, including the members of any board or committee of the Investment Manager, may be made a party in a litigation/proceedings initiated/instituted by any Contributor, third party service providers, any statutory body etc. and in such matters the legal costs, expenses and other related costs will have to be recovered from the Scheme.
- c) Where due to the complex nature of the Tax implications on investments/divestments by the Scheme, there is ambiguity as to the applicable Tax and the Investment Manager proceeds basis an external tax opinion, which is later determined to be erroneous and resultantly any penalty is suffered by the Investment Manager, then the Investment Manager shall be entitled to seek indemnity for the same from the Scheme.

In the above illustrative scenarios an indemnity needs to be provided by the Scheme to the Indemnified Persons against any claims, losses, liabilities including Tax liabilities, costs, damages, expenses including legal fees, and amounts paid as settlement claim incurred by them by reason of their association with the Scheme. However, any Losses suffered by the Indemnified Persons shall not be indemnifiable if such Losses arise out of Malfeasance.

E. GENERAL RISK FACTORS

1. Political, social and economic risk consideration in India

The value of the Scheme Investments may be adversely affected by potential political and social uncertainties in India. Actions of the Government(s) and/ or respective state Government(s) in the future could have a significant effect on the economy, which could affect private sector companies and investment opportunities and the Scheme's market conditions and investments. Certain developments are beyond the control of the Investment Manager, such as the possibility of nationalization, expropriations, confiscatory taxation, political changes, government regulation, social instability, terrorist activities, diplomatic disputes, legal developments or other similar developments, could adversely affect Scheme Investments. India is a country which comprises diverse religious and ethnic groups. It is the world's most populous democracy and has a well-developed and stable political system. Ethnic issues and border disputes have, however, given rise to ongoing tension in the relations between India and Pakistan, particularly over the region of Kashmir, and between certain segments of the Indian population. Any exacerbation of such tensions could adversely affect economic conditions in India and consequently the Scheme Investments. While fiscal and legislative reforms have led to economic liberalization and stabilization in India over the past two decades, the possibility that these reforms may be halted or reversed could significantly and adversely affect the value of investments in India. The

Scheme Investments could also be adversely affected by changes in laws and regulations or the interpretation thereof, including those governing anti-inflationary measures, rates and methods of taxation, and restrictions on currency conversion, imports and sources of supplies. Although India has experienced growth and is projected to undergo significant growth in the future, there can be no assurance that such growth will continue. Adverse economic conditions or stagnant economic development in India could adversely affect the value of the Scheme Investments and ultimately affecting investments of the Investors.

2. *Inflationary Pressures in India*

Inflation has been high over the past years, which have been an area of concern for the Government and regulators. High inflation may lead to the adoption of corrective measures designed to moderate growth, regulate prices of staples and other commodities and otherwise contain inflation, and such measures could inhibit economic activity in India and thereby possibly adversely affect the Scheme Investments. Inflation may also directly affect the Portfolio Companies by increasing operating costs and/or reducing the returns from such investments.

3. *Risk related to global financial conditions.*

There may be a scenario of global slowdown or recession as happened in 2008-09 which may affect the functioning of the businesses in India and globally. In such an event the Scheme may not be able to raise its targeted corpus or there may not be viable investment opportunities for the Scheme, or the businesses of the Portfolio Entities may get adversely affected. Similar period of muted growth or recession can be observed by the global and domestic economy pursuant to the outbreak of COVID-19 pandemic.

4. *Risk of bankruptcy of Portfolio Entities*

Various laws enacted for the protection of creditors may operate to the detriment of the Scheme if it is a creditor of a Portfolio Entity that experience financial difficulty. For example, if a Portfolio Entity becomes insolvent or files for bankruptcy protection, there is a risk that a court may subordinate the Scheme Investment to other creditors.

5. *Risk of segregation of assets between funds/schemes/trustees not being available in third party suits/regulatory actions with respect to the Scheme*

Although the Investment Manager shall ensure that the assets and liabilities of each scheme is segregated, the Scheme is subject to the provisions of the Indian Trusts Act, 1882. For the avoidance of doubt, 'schemes' have no separate or distinct legal personality and in case of any third party claim against a particular scheme and /or any monetary penalty being levied by any regulatory authority in India or overseas against any scheme, there might be a scenario wherein the Scheme shall have to bear a portion (or in entirety) of the same considering that the schemes are not ring-fenced and such claim / regulatory action shall be against the Trust.

6. *Risk in relation to limited liquidity.*

Although the Scheme's investments may generate current gains/income, investments will generally be illiquid due to number of uncontrollable and unpredictable factors. It may be difficult from time to time for the Scheme to realize, sell or dispose of a Scheme Investment at an attractive price or at the appropriate time or in response to changing market conditions or the Scheme may otherwise be unable to complete a favourable exit. Further, in most circumstances, losses on unsuccessful investments may be realized before the gains on successful investments are realized. The return of capital and the realization of gains, if any, will generally occur only upon the partial or complete disposal of an investment. It is generally expected that gains, if any, from investments will not be realized until a number of years after they are made. Liquidation of the Scheme Investments will be at the discretion of the Investment Manager based upon the returns realized and not based upon the needs of Investors. Investors should therefore be aware that they may be required to bear the financial risk of their investment in the Scheme for an undetermined period of time. Furthermore, the Capital Contributions made by the Investors will remain locked-in for the Term of the Scheme and hence the investments by Contributors will be illiquid. The Scheme may list the Units on a recognized stock exchange but there is no guarantee that this will offer liquidity to Investors as they may be illiquid in nature.

7. Risk in relation to accounting practices in relation to the Scheme.

Disclosure, corporate governance, accounting, financial and other reporting standards in India are not equal to those in more developed countries. A large majority of the investments by the Scheme are likely to be made in unlisted companies in relation to which corporate governance and accounting standards are not at par with those in more developed countries. Accordingly, less information may be available to Investors. Further, differences may arise in such areas as valuation of properties and other assets, accounting for depreciation, deferred taxation, inventory obsolescence, contingent liabilities and foreign exchange transactions. The Investment Manager may implement internationally recognized policies and standards in order to mitigate accounting practices risk.

8. Governmental Intervention in Financial Markets.

The Indian Government has traditionally exercised and continues to exercise a dominant influence over many aspects of the economy. Its economic policies have had and could continue to have a significant effect on private-sector entities, including the Scheme, and on market conditions and prices of Indian securities. Although the Government has to-date continued India's economic liberalization and deregulation policies, we cannot guarantee that the present or future governments will continue with the same economic policies or the same pace of change. A significant change in government policies could harm business and economic conditions in India in general as well as the price of the shares. For example, governments may offer subsidized, high-default loan programs that cannot be sustained. As a result, the growth of Portfolio Entities may be limited by the scarce and uncertain supply of money from donors or governments. No assurances can be given that future changes in policy or regulation will not adversely impact the long-term sustainability of such Portfolio Entities.

F. REGULATORY RISKS

1. *Risk associated with cancellation/suspension of SEBI certificate etc.*

The registration granted by SEBI to the Trust as an alternative investment fund may be cancelled or suspended by SEBI for any breach or non-compliance under Applicable Laws. SEBI may also take any other action as it deems appropriate. Such action/s may severely affect the operations of the Trust/Scheme.

2. *Risks of uncertainty around the legal framework in which the Scheme operates in India and risk of litigation for the Scheme.*

- **Indian Legal system**

An elaborate and extensive judicial and quasi-judicial system exists in India. A separate civil and criminal system exists in each state with the highest court for each state being the High Court. Appeals from the High Courts are made to the Supreme Court of India, which is the highest judicial authority of the country. A clear framework for arbitration, through the Arbitration and Conciliation Act, 1996 also exists and provides for minimum court intervention in the arbitral process. Arbitration is generally preferred to courts as a means of dispute resolution as the backlog of cases in courts is often the cause for delays. Further, arbitration clauses in a contract are a matter of mutual agreement with the counter-parties, and the Investment Manager may or may not be able to negotiate an arbitration procedure, governing law and/or seat of arbitration, with a Portfolio Entity or other counter-party, which would provide speedy and effective remedies to the Scheme in case of a dispute with such Portfolio Entities or other counter-parties. While Indian laws provide for specific performance of contractual obligations as well as claims for damages in the event of breach of contract, and contractual rights may be enforced through the aforementioned judicial or arbitral system, laws regarding the rights of creditors/shareholders are generally significantly less developed/settled in India than in the developed countries such as United States or the United Kingdom, and may be less protective of rights and interests of creditors/shareholders. It may be difficult to obtain swift and equitable enforcement of such laws through litigation or arbitration or to obtain enforcement of a judgment or arbitral award in a local court.

- **Litigation risks**

The Scheme will be subject to a variety of litigation risks, particularly if one or more of the Scheme Investments face financial or other difficulties during the Term of the Scheme. Legal disputes involving the Scheme, the Investment Manager, their respective members or any of their respective affiliate may arise from the foregoing activities and any other activities relating to the operation of the Scheme and could have a significant adverse effect on the Scheme.

- **Enforcement Risks; Non-availability of Creditor Protection Laws**

The enforcement of security that may be obtained in respect of the Scheme's Investments will involve actions in Indian courts or arbitral tribunals, and the Scheme will be exposed to the delays in the Indian judicial system and arbitrations. In the normal course, such enforcement could take between seven to ten years. Further, the Scheme would not qualify as a "secured creditor" under the Securitisation and

Reconstruction of Financial Assets and Enforcement of Security Interests Act, 2002 (“SARFAESI”), unless the Scheme’s Investments are made in listed secured debentures wherein the debenture trustee appointed for the debenture holders shall qualify as a “secured creditor”. Therefore, the Scheme will not be entitled to the fast track enforcement process under SARFAESI unless it invests in listed secured debentures. Even where the Scheme is eligible to undertake enforcement action under SARFAESI pursuant to investments in listed secured debentures, there is still no assurance that can guarantee that the Scheme will be able to realise the full value of its collateral, due to, among other things, delays on Scheme’s part in taking action to secure the property, delays in legal proceedings, inability to sell the property, diminution in the value of the property, economic downturns, defects in the perfection of collateral and fraudulent transfers by Portfolio Entity. The Scheme will also not be entitled to the fast track debt recovery process under the Recovery of Debts Due to Banks and Financial Institutions Act, 1993. Therefore, even where security is created and perfected in favour of the Scheme, enforcement will be time consuming. Even where the Scheme is entitled to enforce security without intervention of court, it is difficult to take possession and dispose off such security as the Portfolio Entity or other obligors who have created security may obtain an injunction against enforcement actions. In such cases, the Scheme will have to prove its claims against the Portfolio Entity or other obligors through a civil suit. Further, security provided by the Portfolio Entity and/or other obligors will be subject to the risk of insolvency of such persons. The Insolvency and Bankruptcy Code, 2016 (“Bankruptcy Code”) was notified on August 5, 2016 and has been amended from time to time. In case insolvency proceedings are initiated against a Portfolio Entity, the Scheme may not have complete control over the recovery of amounts due to the Scheme.

3. *Other legal and regulatory risks.*

The Scheme will operate under Applicable Laws including the Foreign Exchange Management Act, 1999 (including rules/regulations made thereunder), SEBI Act, 1992 (including regulations made thereunder), Companies Act, 2013 (including rules/regulations made thereunder), the Indian Trusts Act, 1882 etc., which provide for stringent conditions and compliances. If policy announcements or legal/regulatory changes occur subsequent to this offering, which require retrospective changes in the structure or operations of the Scheme, these may adversely impact the performance of the Scheme. Further, any investigations of, or actions against the Scheme initiated by SEBI or any other Indian regulatory authority may impose a restriction of the investment activities of the Scheme. The Scheme may also be subjected to any investigation / inspection of its affairs by an officer appointed by SEBI, and in certain circumstances, the SEBI has the power to direct the Scheme to divest assets, stop launching of any new schemes, restrain from disposing any assets, refund monies of Investors and also to stop operating in, or accessing the capital market for a specified period.

G. [TAX RELATED FACTORS]³

1. General anti-avoidance rules and its impact on the Scheme / Investors / Scheme Investments and risks associated with it.

³ ICUL Comment: Tax advisors to review.

The GAAR provisions provide that an arrangement whose main purpose is to obtain a tax benefit and which also satisfies at least one of the four specified tests (i.e. arrangement is not in arm's length, misuse or abuse of tax laws, lacks or is deemed to lack commercial substance or not carried out for bonafide purpose) can be declared as an "impermissible avoidance arrangement". Further, the GAAR provisions, if invoked, could override the provisions of the applicable Double-taxation Avoidance Agreement.

The provisions pertaining to GAAR are effective from financial year beginning on April 01, 2017 i.e. from Financial Year 2017-18 onwards.

The impact of these provisions on the taxability of the Scheme / Investors/ Scheme Investments may vary based on specific facts of each case and thus, it may be difficult to provide the tax implications and risk associated in each case. Also, there is no established precedence on how GAAR will be implemented by the Indian tax authorities.

2. Risk associated with change in tax laws and renegotiation of tax treaties.

Any change in the Scheme's taxation on account of change in taxation legislation in India could affect the value of the Scheme's investments and the Scheme's ability to achieve its investment objective or alter the returns to the Contributors. Statements in this Memorandum concerning the taxation of Contributors are based upon current tax law, current tax treaties and practice, which laws and practice are in principle subject to change that could adversely affect the ability of the Scheme to meet its investment objective. Further, the information relating to Indian taxation legislation and tax treaties contained in this Memorandum is based on Indian domestic taxation law along with the rules and regulations made thereunder and the judicial and administrative interpretations thereof, which are subject to change or modification by subsequent legislative, regulatory, administrative, or judicial decisions. Any such changes in the current tax law and tax treaties, which could also be retroactive, could have an effect on the validity of the information stated herein. Beneficiaries are urged to consult their own tax advisers with respect to their particular tax situations and the tax effects of an investment in the Scheme.

3. Risk associated with change in administrative interpretation/application of Tax laws.

The Scheme will operate under applicable taxation laws including the ITA, Goods and Services Tax law, etc., which may put adverse tax implication on the Scheme. If policy announcements or regulations are made subsequent to this offering, which require retrospective changes in the structure or operations of the Scheme, these may adversely impact the performance of the Scheme.

H. SECTOR SPECIFIC RISK FACTORS

1. *A slowdown in economic growth in India*

Performance and the quality and growth of business are necessarily dependent on the health of the Indian economy. The Indian economy had faced slowdown over the past few years. In the past, such economic slowdowns have harmed manufacturing and other industries. Any further slowdown in the Indian economy could affect the investments made. A significant change in the Indian Government or its economic liberalization and deregulation policies could disrupt businesses. The Government has traditionally exercised and continues to exercise a dominant influence over many aspects of the economy. Its economic policies have had and could continue to have a significant effect on private-sector entities, including the Scheme, and on market conditions. Although the Government has to-date continued India's economic liberalization and deregulation policies, it cannot be guaranteed that the same may continue in future. A significant change in government policies could harm business and economic conditions in India, ultimately affecting the performance of the Portfolio Entities and the Scheme.

2. *Risk of changes in the technologies market*

The information technology business of and the market related to information technologies change quite rapidly. Thus, there is a risk that due to unforeseen changes in the market, the value of Scheme's investments or the return from the Scheme's investments may decrease, development of Portfolio Entities may take longer and/or cost more than planned, and therefore the Scheme's investments may not be profitable and/or their value may decrease.

3. *The Scheme could be subject to information technology theft or misuse, which could result in third party claims and harm its business, reputation, results and financial condition*

The Portfolio Entities may face attempts for unauthorised access to such entity's information technology systems, which could threaten the security of such entity's information and stability of its systems. These attempts could arise from industrial or other espionage or actions by hackers that may harm the Portfolio Entities or their customers. The Portfolio Entities may be not successful in detecting and preventing such theft and attacks which could disrupt their business and adversely affect their reputation and competitive position leading the Scheme to bear loss on its investments.

I. CURRENCY RISKS

1. *Currency risk arising to offshore Investors*

There may be offshore investors investing the Scheme, which will be subject to currency risk due to variation in value of currency. The offshore investors may lose value of their investment due to variation in exchange rate. The Investment Manager may adopt suitable currency hedging strategies to mitigate such risk. While such hedging arrangements would impose additional cost upon the Scheme, they may not necessarily yield the desired benefit.

2. *Currency risk arising from offshore investment by the Scheme*

The Scheme will invest most of its assets in securities denominated in the Indian Rupee, though the Scheme may invest in securities of enterprises in other countries. The value of Scheme's assets will thus

fluctuate with the exchange rate when denominated in other currencies. The Scheme will also be subject to various regulatory compliances affecting the overall performance of the Scheme. The Investment Manager may adopt suitable currency hedging strategies to mitigate the risk. While such hedging arrangements would impose additional cost upon the Scheme, they may not necessarily yield the desired benefit.

J. ADDITIONAL RISKS

1. Factual statements/track record information

Certain of the factual statements made in this Memorandum are based upon information from various sources believed by the Investment Manager to be reliable. The Investment Manager and the Scheme have not independently verified any of such information and shall have no liability for any inaccuracy or inadequacy thereof. Except to the extent that legal counsel and tax advisor have been engaged solely to advise as to matters of law and tax, no other party (including legal and tax counsel to the Scheme and the Investment Manager) has been engaged to verify the accuracy or adequacy of any of the factual statements contained in this Memorandum. In particular, neither legal counsel or tax advisor nor any other party has been engaged to verify any statements relating to the experience, track record, skills, contacts or other attributes of the members of the Investment Manager or to the anticipated future performance of the Scheme. Investors are cautioned about the interpretation of track record and similar information relating to prior financial performance, whether contained in this Memorandum or otherwise. Direct comparisons of track record and similar information contained in this Memorandum with corresponding information in marketing and other materials relating to other funds may be misleading.

2. Definitive terms and conditions

The terms and conditions set forth in the Contribution Agreement may vary materially from those described in this Memorandum due to negotiations between the Investment Manager and Investors and any side letter arrangements with Investors. Moreover, the Contribution Agreement will contain highly detailed terms and conditions, many of which are not described fully (or at all) in this Memorandum. Investors are urged to carefully review the Contribution Agreement, and must also be aware that, pursuant to the rules governing amendments set forth in the Contribution Agreement, certain types of amendments to the Contribution Agreement may be adopted with the consent of less than all Investors.

3. Legal counsel

Documents relating to the Scheme, including Contribution Agreement will be detailed and often technical in nature. Legal counsel to the Scheme will represent the interests solely of the Investment Manager and the Scheme and will not represent the interests of any Investor. Accordingly, each Investor is urged to consult with its own legal counsel before investing in the Scheme or making any other decisions regarding Scheme matters. In advising as to matters of law (including matters of law described in this Memorandum), legal counsel to the Scheme has relied, and will rely, upon representations of fact made by the Investment Manager and other persons. Such advice may be inaccurate or incomplete if any such representations are themselves inaccurate or incomplete. Legal counsel to the Scheme generally has not

undertaken and will not undertake independent investigation with regard to such representations. Legal counsel's representation of the Investment Manager and the Scheme is and will be limited to specific matters and will not address all legal or related matters that may be material to the Investment Manager or the Scheme. Moreover, legal counsel has not undertaken to monitor the compliance of the Investment Manager or the Scheme with any laws, regulations, agreements or other matters.

4. Foreign investments in the Units of the Scheme

The Trust may allow 'FDI' investment in the Units of the Scheme i.e. investments by non-resident entity/person resident outside India in the Units of the Scheme. If the Sponsor/ Investment Manager are not owned and controlled by Indian resident citizens at the time the Scheme makes investments, then the Trust/Scheme would be subjected to certain investment restrictions and compliances which can reduce the investment flexibility of the Scheme. For more information, refer to the paragraph I titled "Foreign Investment Laws" under "**SECTION XI: LEGAL, REGULATORY AND TAX CONSIDERATIONS**" of this Memorandum.

The repatriation of money from India by a foreign Investor may also need to follow the requirements under the Applicable Laws, including obtaining necessary approval/s, if any.

5. Termination of Units

Units may be terminated/redeemed/transferred in certain circumstances, including, among others, where the Investor ceases to be an Eligible Person, where the continued holding of such Units by an Investor could cause the Scheme or the Investment Manager to violate Applicable Laws, to become subject to a material regulatory or other burden or to suffer material taxation or other economic disadvantages or where the Investor in question has breached any of the Trust Documents.

6. Limited access to information

The rights of Investors to seek information with regards to Portfolio Entities will be specific and strictly limited. In particular, it is anticipated that the Investment Manager will obtain certain types of material information of Portfolio Entities that may not be disclosed to Investors primarily in order to comply with duties to such Portfolio Entities or otherwise to protect the interests of such Portfolio Entities or the Scheme. Decisions by the Investment Manager to withhold such information may have adverse impact for Investors. Overall, Investors should not expect the Scheme to be operated with the same degree of transparency as a publicly traded organization. However, the Investment Manager may reasonably provide to the Investors all such information which, in its sole opinion, is required to be disclosed to the Investors.

7. Limited recourse to Investment Manager

The Trust Documents will limit the circumstances under which the Investment Manager or its affiliates can be held liable to the Scheme/ Investors. As a result, the Scheme/Investors have very limited right of action only in certain cases than they would in the absence of such provisions.

8. Dilution from additional closings

Holders of Units that are admitted or increase their Capital Commitments at any subsequent Closing will participate in existing Scheme Investments, diluting the interests of existing holders of Units therein.

9. Lack of liquidity in IPO

A lack of liquidity in IPO opportunities for small and medium sized companies could lead to companies staying longer in the Scheme's portfolio as private companies still requiring funding. This situation may adversely affect the amount of available funding for small and medium sized companies. In the best case, such stagnation would dampen returns, and in the worst case, could lead to unrealized depreciation and realized losses as some companies run short of cash and have to accept lower valuations in private fundings or are not able to access additional capital at all.

10. Valuations and review of Portfolio Entities

Most of the Scheme Investments will be highly illiquid and will most likely not be publicly traded or readily marketable. The Investment Manager, therefore, will not have access to readily ascertainable market prices when establishing valuations of the investments. While the Investment Manager will endeavor to determine and establish valuations of the Scheme Investments based on the valuer's estimate of the market values of such investments and underwriting principles it considers to be sound, as a result of the illiquidity of a substantial portion of the investments, the Investment Manager can provide no assurance that any Scheme Investment could be sold at a price equal to the market value ascribed to such investment in connection with valuer's valuation thereof.

11. Contingent liabilities on disposition of Scheme Investments

In connection with the disposition of Scheme Investments, the Scheme expects to make customary representations. The Scheme also may be required to indemnify the purchasers of such investments to the extent that any such representations are inaccurate. These arrangements may result in the incurrence of contingent liabilities for which the Scheme may establish reserves or escrow accounts. Investors may also be required to return amounts distributed to fund indemnity obligations. In addition, the Scheme may sell Scheme Investments in public offerings and such offerings can give rise to liability if the disclosure relating to such offerings proves to be inaccurate/incomplete.

12. Risks of natural disasters

A natural disaster may also impact the operations of the Portfolio Entities. The nature and level of natural disasters cannot be predicted and may be exacerbated by global climate change. A portion of the Portfolio Entities may rely on items assembled or produced in areas susceptible to natural disasters, and may sell finished goods into markets susceptible to natural disasters. A major disaster, such as an earthquake, tsunami, flood or other catastrophic event could result in disruption to the business and operations of the Portfolio Entities.

SECTION XI: LEGAL, REGULATORY AND TAX CONSIDERATIONS

THIS SECTION IS A SUMMARY OF CERTAIN LEGAL, REGULATORY AND TAXATION CONSIDERATIONS RELATING TO THE SCHEME AND IS NOT A COMPREHENSIVE DISCLOSURE REGARDING ALL APPLICABLE LAWS. THE LEGAL, REGULATORY AND TAX CONSIDERATIONS REFERRED UNDER THIS SECTION ARE SUBJECT TO CHANGE FROM TIME TO TIME.

IT IS THE RESPONSIBILITY OF ALL PERSONS INTERESTED IN SUBSCRIBING FOR THE UNITS TO INFORM THEMSELVES AS TO ANY INCOME OR OTHER TAX CONSEQUENCES ARISING IN THE JURISDICTIONS IN WHICH THEY ARE RESIDENT OR DOMICILED OR HAVE ANY OTHER PRESENCE FOR TAX PURPOSES, AS WELL AS ANY FOREIGN EXCHANGE OR OTHER FISCAL OR LEGAL RESTRICTIONS WHICH ARE RELEVANT TO THEIR PARTICULAR CIRCUMSTANCES IN CONNECTION WITH THE ACQUISITION, HOLDING OR DISPOSITION OF THE UNITS. THE SCHEME AND THE INVESTMENT MANAGER HAVE NO PRESENT PLANS TO APPLY FOR ANY CERTIFICATIONS OR REGISTRATIONS, OR TO TAKE ANY OTHER ACTIONS, UNDER THE LAWS OF ANY JURISDICTION (OTHER THAN REGISTRATION OF THE SCHEME WITH SEBI IN INDIA), WHICH WOULD AFFORD RELIEF TO INVESTORS OF SUCH JURISDICTION FROM THE NORMAL TAX / REGULATORY REGIME OTHERWISE APPLICABLE TO AN INVESTMENT IN THE UNITS OF THE SCHEME. THE LEGAL AND REGULATORY SECTION IS UPDATED AS ON OCTOBER 2023.

PLEASE NOTE THAT THE SUMMARY OF THE LEGAL, REGULATORY AND TAX CONSIDERATIONS IN THIS SECTION IS BASED ON THE CURRENT PROVISIONS OF THE LAWS OF INDIA, AND THE JUDICIAL AND ADMINISTRATIVE INTERPRETATIONS THEREOF, WHICH ARE SUBJECT TO CHANGE OR MODIFICATION BY SUBSEQUENT LEGISLATIVE, REGULATORY, ADMINISTRATIVE OR JUDICIAL DECISIONS. ANY SUCH CHANGE COULD HAVE DIFFERENT LEGAL, REGULATORY AND TAX IMPLICATIONS.

1. Indian Trusts Act, 1882

The Scheme is set up as a contributory determinate trust under the Indian Trusts Act, 1882. The Trust at all times shall be subject to the provisions of Indian Trusts Act, 1882 and the Regulations. The Trustee has been appointed as the trustee of the Trust. The Trustee will have the powers and obligations as vested upon it under the Indenture. The Investment Manager shall manage the assets of the Trust and the Scheme in accordance with the Investment Management Agreement. The Contributors shall be the unit holders of the Scheme.

2. Indian Securities Laws

A. SEBI (Alternative Investment Funds) Regulations, 2012

(a) Brief overview of SEBI (Alternative Investment Funds) Regulations, 2012

The Regulations are a consolidated framework for registration and regulation of all kinds of AIFs that raise private pools of capital from high net worth individuals, banks, insurance companies, body corporates, estates, family offices, non-banking finance companies, societies, Hindu undivided families, corporations, partnerships (whether limited or unlimited), limited liability companies, body of individuals, associations, trusts, proprietorships, AIFs, foreign portfolio investors, institutional investors or any other institutions, entities or organizations.

The Regulations define an AIF to mean any fund established or incorporated in India in the form of a trust or a company or a limited liability partnership or a body corporate which, (i) is a privately pooled investment vehicle which collects funds from investors, whether Indian or foreign, for investing it in accordance with a defined investment policy for the benefit of its investors; and (ii) is not covered under the Securities and Exchange Board of India (Mutual Funds) Regulations, 1996, Securities and Exchange Board of India (Collective Investment Schemes) Regulations, 1999 or any other regulations of SEBI to regulate fund management activities. However, family trusts set up for the benefits of ‘relatives’ as defined under Companies Act, 2013; ESOP trusts set up under the Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2014 or as permitted under Companies Act, 2013; employee welfare trusts or gratuity trusts set up for benefit of employees; holding companies within the meaning of sub-section 46 of Section 2 of the Companies Act, 2013; other special purpose vehicles not established by fund managers, including securitization trusts, regulated under a specific regulatory framework; funds managed by securitisation company or reconstruction company which is registered with the RBI under Section 3 of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002, and any such pool of funds which is directly regulated by any other regulator in India have been excluded from the purview of the Regulations.

The Regulations provide that no entity or person shall act as an AIF unless it is registered with SEBI. The Regulations have categorised AIFs into three categories viz., Category I AIFs, Category II AIFs, and Category III AIFs. Category I AIFs have been further divided into sub-categories viz., venture capital funds, SME Funds, social venture funds, infrastructure funds, special situation funds and such other AIFs as may be specified by SEBI.

AIFs shall not have more than one thousand investors in a scheme. Further, if the AIF is established in the form of a company, the provisions of the Companies Act, 2013 shall be applicable.

The Regulations define Category II AIF as an AIF which does not fall in Category I AIFs and Category III AIFs and which does not undertake leverage or borrowing other than to meet day-to-day operational requirements and as permitted under the Regulations. Further, AIFs such as ‘private equity funds’ (defined below) or ‘debt funds’ (defined below) for which no specific incentives or concessions are given by the government, or any other regulator shall be included in Category II AIF. Regulations define a ‘private equity fund’ as an AIF that invests primarily in equity or equity linked instruments or partnership interests of ‘investee company’ (*defined below*) according to the stated objectives of the AIF. Regulations define ‘debt funds’ as an AIF that invests primarily in debt securities of listed or unlisted investee companies or in securitized debt instruments according to the stated objectives of the AIF. Regulations define ‘investee

company' to mean any company, special purpose vehicle or limited liability partnership or body corporate or real estate investment trust or infrastructure investment trust in which an AIF shall make an investment.

(b) Key considerations associated with the Scheme

The Regulations prescribe that the raising of funds should be done strictly on a private placement basis through issuance of a placement memorandum/information memorandum (by whatever name called) by way of issue of units and the minimum investment that can be accepted by a Category II AIF from an investor, whether Indian, foreign or non-residents Indian is INR 1,00,00,000 (Indian Rupees One Crore); provided that in case of investors who are employees or directors of a Category II AIF or employees or directors of the Investment Manager, the minimum value of investment will be INR 25,00,000 (Indian Rupees Twenty-Five Lakhs).

SEBI vide its Circular SEBI/HO/AFD/PoD1/CIR/2023/96 dated June 21, 2023, has prescribed that a Category II AIF shall issue units to its investors only in dematerialised form in the manner as prescribed under the Circular. The terms of transfer of units of Category II AIF held by an investor in dematerialised form shall continue to be governed by the terms of private placement memorandum, contribution agreements entered with the investors and any other fund documents.

Further, the Regulations prescribe that placement memorandum should contain all material information about the Category II AIF and its investment manager, background of key investment team of the investment manager, targeted investors, fees and all other expenses proposed to be charged, tenure of the Category II AIF or scheme, conditions or limits on redemption, investment strategy, risk management tools and parameters employed, key service providers, terms of reference of the committee constituted for approving the decisions of the AIF, conflict of interest and procedures to identify and address them, disciplinary history and other terms and conditions on which the investment manager offers investment services, its affiliations with other intermediaries, manner of winding up of the AIF or the scheme and such other information as may be necessary for the investor to take an informed decision on whether to invest in the AIF. Furthermore, in respect of any subsequent scheme(s) launched under the Trust, the placement memorandum/information memorandum of such scheme(s) should be filed with SEBI through a merchant banker at least 30 (thirty) days prior to launch of such scheme(s) along with the specified fee. This Memorandum satisfies all the applicable requirements laid down under the Regulations. All AIFs are required to inform SEBI in case of any change in the sponsor, manager or designated partners or any other material change from the information provided by the AIF at the time of application for registration. In case of change in control of the AIF, sponsor or manager, prior approval from SEBI shall be taken by the AIF. The books of accounts of the AIF shall be audited annually by a qualified auditor.

(c) General investment conditions

- 1) AIFs may invest in securities of companies incorporated outside India subject to conditions/guidelines stipulated by RBI/SEBI from time to time;
- 2) The investment manager or sponsor cannot co-invest in an investee company on terms more favourable than those offered to the AIFs. Further, the terms of exit from the co-investment in an

investee company including timing of exit shall be identical to the terms applicable to that of exit of AIF.

- 3) AIFs shall not invest in Associates or units of an AIF managed or sponsored by its investment manager, sponsor or associates of its investment manager or sponsor except with the approval of 75% (seventy-five percent) of investors by value of their investment in the AIFs;
- 4) A Category II AIF shall not buy or sell investments, except with the approval of 75% (seventy-five percent) of investors by value of their investment in the Category II AIF and subject to the conditions specified by SEBI, from or to:
 - a) Associates; or
 - b) schemes of AIFs managed or sponsored by its investment manager, sponsor or associates of its investment manager or sponsor; or
 - c) an investor who has committed to invest at least 50% of the corpus of the scheme of the AIF; provided that while obtaining approval of the investors, such investor as specified in this clause (c) shall be excluded from the voting process;
- 5) AIFs may invest the un-invested portion of the investable funds and divestment proceeds pending distribution to investors in liquid mutual funds or bank deposits or other liquid assets of higher quality such as treasury bills, triparty repo dealing and settlement, commercial papers, certificates of deposits, etc. till deployment of funds as per the investment objective or distribution of the funds to investors as per the terms of the fund documents, as may be applicable; and
- 6) AIFs may act as nominated investor as specified in ICDR Regulations.

(d) Key investment conditions applicable specifically to a Category II AIF

- 1) A Category II AIF shall invest in investee companies or in the units of Category I or other Category II AIFs as may be disclosed in the Memorandum. Further, a Category II AIF shall invest primarily in unlisted companies directly or through investment in units of other AIFs;
- 2) A Category II AIF authorised under the fund documents to invest in units of AIFs shall not offer its units for subscription to other AIFs;
- 3) A Category II AIF shall not invest more than 25% (twenty-five percent) of its investable funds in one investee company directly or through investment in the units of other AIFs;
- 4) A Category II AIF may not borrow funds directly or indirectly and shall not engage in leverage except for meeting temporary funding requirements for not more than 30 (thirty) days, not more than four occasions in a year and not more than 10% (ten percent) of the investable funds;
- 5) Notwithstanding point (4) above, Category II AIF may engage in hedging, subject to guidelines as specified by SEBI from time to time;
 - a. A Category II AIF may buy CDS on underlying investment in debt securities, only for the purpose of hedging;
 - b. A Category II AIF which transacts in CDS, shall maintain thirty days cooling off period between the two periods of borrowing or engaging in leverage and will be required to appoint a custodian;
- 6) A Category II AIF may enter into an agreement with merchant banker to subscribe to the unsubscribed portion of the issue or to receive or deliver securities in the process of market making under Chapter IX of the ICDR Regulations;

- 7) A Category II AIF shall be exempt from sub-regulations (1) and (2) of regulation 3 and sub-regulation (1) of regulation 4 of Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015 in respect of investment in companies listed on SME Exchange or SME segment of an exchange pursuant to due diligence of such companies subject to the following conditions:
- a) Category II AIF shall disclose any trading in securities pursuant to such due-diligence, within 2 (two) trading days of such trading, to the stock exchanges where the investee company is listed;
 - b) such investment shall be locked in for a period of 1 (one) year from the date of investment.

(e) Continuing commitment of the investment manager and/or the sponsor

As stated in the Regulations, there shall be a continuing interest in the Category II AIF of not less than two and half per cent of the corpus or Indian rupees five crore, whichever is lower, in the form of investment in the Category II AIF and such interest shall not be through the waiver of management fees. Such interest may be maintained pro-rata to the amount of funds raised (net) from other investors in the AIF.

(f) Tenure of the Scheme and conditions for winding up

A Category II AIF shall be close ended and is required to have a minimum tenure of 3 (three) years. The tenure of the Scheme shall be as specified in the Memorandum and shall commence from the first closing as mandated by SEBI *vide* paragraph 11.3.1 of the SEBI Master Circular. The tenure of a Category II AIF may be extended up to 2 (two) years subject to approval of two-third of the unit holders by value of their investment in AIF. In the absence of consent or upon expiry of the extended tenure, the AIF or the scheme of AIF shall be wound up as per procedure provided below in point I, II, III and IV, respectively.

I. AIF set up as a trust, shall be wound up in the event of the following conditions:

- 1) when the tenure of the AIF or all schemes launched by the AIF, as mentioned in the private placement memorandum is over; or
- 2) if it is the opinion of the trustee, that the AIF be wound up in the interests of investors in the units; or
- 3) if 75% (seventy-five percent) of the investors by value of their investment in the AIF pass a resolution at a meeting of unitholders that the AIF be wound up; or
- 4) if SEBI so directs in the interests of investors.

II. Where the AIF is set up as a limited liability partnership, only sub-clause (1), (3) and (4) of clause I above, will be applicable and such AIF shall be wound up in accordance with the provisions of the Limited Liability Partnership Act, 2008.

III. An AIF set up as a company shall be wound up in accordance with the provisions of the Companies Act, 2013.

- IV. As per paragraph 2.3 of the SEBI Master Circular, guidelines for declaration of first close of AIFs, calculation of tenure and change of sponsor/ manager or change in control of sponsor/ manager. Key points of the circular have been summarized hereunder:

1) Timeline for declaration of first close of Schemes of AIFs:

The first close of a scheme shall be declared not later than 12 months from the date of SEBI communication for taking the PPM of the scheme on record.

The corpus of the scheme, at the time of declaring its first close, shall not be less than the minimum corpus prescribed under the Regulations for the respective category or sub-category of the AIF. The circular has also clarified that the commitment provided by sponsor or manager, to meet the aforesaid minimum corpus requirement at the time of declaration of first close shall not be reduced or withdrawn or transferred after the first close.

2) Calculation of tenure of close-ended schemes of AIFs:

The circular has clarified that the tenure of close ended schemes shall be calculated from the date of declaration of the first close. The AIFs have been permitted to modify the tenure of a scheme at any time before its first close. Further, it is pertinent to note that the investor may choose to withdraw or reduce commitment provided to such a scheme prior to declaration of the first close.

(g) Reporting obligations

1) General reporting obligations

Category II AIFs shall ensure transparency and shall make the following disclosures to investors:
-

- a. financial, risk management, operational, portfolio, and transactional information regarding fund investments shall be disclosed periodically to the investors;
- b. any fees ascribed to the manager or sponsor; and any fees charged to the AIF or any investee company by an associate of the manager or sponsor shall be disclosed periodically to the investors;
- c. any inquiries/ legal actions by legal or regulatory bodies in any jurisdiction, as and when occurred;
- d. any material liability arising during the AIF's tenure shall be disclosed, as and when occurred;
- e. any breach of a provision of the placement memorandum or agreement made with the investor or any other fund documents, if any, as and when occurred;
- f. change in control of the sponsor or manager or investee company.
- g. any significant change in the key investment team shall be intimated to all investors.

Additionally, AIFs shall (i) provide to SEBI, when required by SEBI, information for systemic risk purposes (including the identification, analysis and mitigation of systemic risks and (ii) report details of CDS transaction to the custodian by the next working day.

2) Annual reporting obligations

Category II AIFs shall provide at least on an annual basis, reports to investors containing the following information, within 180 (one hundred and eighty) days from the end of the year:

- i. financial information of investee companies.
- ii. material risks and how they are managed which may include:
 - a. concentration risk at fund level;
 - b. foreign exchange risk at fund level;
 - c. leverage risk at fund and investee company levels;
 - d. realization risk (i.e. change in exit environment) at fund and investee company levels;
 - e. strategy risk (i.e. change in or divergence from business strategy) at investee company level;
 - f. reputation risk at investee company level;
 - g. extra-financial risks, including environmental, social and corporate governance risks, at fund and investee company level.

3) Other disclosure obligations

- a. The manager and sponsor of the AIF shall disclose their investment in the AIF to its Investors; and
- b. The manager and sponsor of the AIF shall act in a fiduciary capacity towards its Investors and shall disclose to the Investors, all conflicts of interests as and when they arise or seem likely to arise.
- c. The manager shall comply with requirement of compliance test report as specified in paragraph 15.2 of the SEBI Master Circular.

(h) Alteration in strategy of the Scheme

An AIF shall obtain the consent of at least two-third of its unit holders by value of their investment in the AIF prior to any material alteration in its investment strategy.

(i) Alteration in category of the Scheme

AIF may change its category subsequent to receipt of the registration from SEBI, with prior approval of SEBI. *Vide* paragraph 3.2 of the SEBI Master Circular, an AIF that has not made any investment under

the category in which it was registered with SEBI earlier is allowed to make an application to SEBI for change in category. The trust is required to make an application in Form A to SEBI along with application fees of INR 1,00,000 (Indian Rupees One Lakh) stating rationale for the change proposed in AIF category. Registration fees shall not apply for such application. If the AIF has raised commitments/funds prior to application for change in category, the AIF shall be required to send letters/emails to all its investors providing them the option to withdraw their commitments/ funds raised without any penalties/charges. Any fees collected from investors seeking to withdraw commitments/ funds shall be returned to them. Partial withdrawal may be allowed subject to compliance with the minimum investment amount required under the Regulations. The AIF shall not make any investments other than in liquid funds/ banks deposits until approval for change in category is granted by SEBI. On approval of the request from SEBI, the AIF shall send a copy of the revised placement memorandum and other relevant information to all its investors.

(j) Valuation

A Category II AIF shall undertake valuation of its investment, at least once in every six months by an independent valuer appointed by the AIF. However, such period of six months can be enhanced to one year with prior approval of at least 75% (seventy-five percent) of the investors by value of their investment in the AIF. SEBI vide its circular SEBI/HO/AFD/PoD/CIR/2023/97 dated June 21, 2023, stipulated certain standardized norms for valuation of investment portfolio of a Category II AIF, as detailed hereinbelow:

- a) Valuation of securities for which valuation norms have already been prescribed under SEBI (Mutual Funds) Regulations, 1996, shall be carried out as per the norms prescribed under aforementioned Regulations.
- b) Valuation of securities which are not covered in para (a) above, shall be carried out as per valuation guidelines endorsed by any AIF industry association, which in terms of membership represents at least 33% of the number of SEBI registered AIFs.
- c) The investment manager shall also disclose in private placement memorandum, the details of the valuation methodology and approach adopted under the stipulated guidelines for each asset class of the scheme of the AIFs.
- d) the investment manager shall ensure that the AIF appoints an independent valuer who satisfies the following criteria as specified by the SEBI:
 - (i) The independent valuer shall not be an associate of investment manager or sponsor or trustee of the AIF.
 - (ii) The independent valuer shall have at least three years of experience in valuation of unlisted securities.
 - (iii) The independent valuer is a valuer registered with Insolvency and Bankruptcy Board of India and has membership of Institute of Chartered Accountants of India or Institute of Company Secretaries of India or Institute of Cost Accountants of India or CFA Institute; or
 - (iv) The independent valuer is a holding company or subsidiary of a Credit Rating Agency registered with SEBI; or
 - (v) Any other criteria as may be specified by SEBI from time to time.

- e) The investment manager and the key management personnel of the investment manager shall ensure that the independent valuer computes and carries out valuation of the investments of the scheme of the AIFs in the manner specified by SEBI from time to time.
- f) The investment manager shall be responsible for true and fair valuation of the investments of the scheme of the AIFs. In case the established policies and procedures of valuation do not result in fair and appropriate valuation, the investment manager shall deviate from the established policies and procedures in order to value the assets or securities at a fair value and document the rationale for such deviation. Such deviation and its rationale shall be reported to the trustee of the AIF and investors of the AIFs.
- g) At each asset level, in case there is a deviation of more than 20% between two consecutive valuations or a deviation of more than 33% in a financial year, the investment manager shall inform the investors the reasons/factors for the same, both generic and specific, including but not limited to changes in accounting practices/policies, assumptions/projections, valuation methodology and approach, etc. and reasons thereof.
- h) Any change in the methodology and approach for valuation of investments of scheme of AIF, shall be construed as material change significantly influencing the decision of the investor to continue to be invested in the scheme of the AIF and the due process prescribed under the Regulations – specifically, SEBI Master Circular– shall ensue.
- i) In order to ensure timely and appropriate reporting of valuation of investment portfolio to performance benchmarking agencies:
 - (i) Investment manager of AIF shall ensure that a specific timeframe for providing audited accounts by the investee company to the AIF is included as one of the terms in subscription agreement / investment agreement with the investee company, so as to enable AIFs to report valuation based on audited data of investee companies as on March 31 to performance benchmarking agencies within the specified timeline of six months.
 - (ii) Investment manager of AIF shall ensure that valuation based on audited data of investee company is reported to performance benchmarking agencies only after the audit of books of accounts of the AIF in terms of regulation 20(14) of Regulations, within the stipulated timelines.

(k) Material changes to the placement memorandum

In cases of material changes (i.e. changes in the fundamental attributes of the AIF) significantly influencing the decision of the investor to continue to be invested in the AIF, an exit process as prescribed under paragraph 2.5.4 of the SEBI Master Circular is required to be complied with. Such changes shall include, but not be limited to the following:

- a. Change in sponsor/investment manager (*not including an internal restructuring within the group*)
- b. Change in control of sponsor/investment manager
- c. Change in fee structure or hurdle rate which may result in higher fees being charged to the unit holders.
- d. Change in the methodology and approach for valuation of investments of scheme.

If at least 75% (seventy-five percent) of the investors by value of their investments in the AIF approve changes mentioned in sub-clause (a) and (b) above, the exit process as prescribed under the above stated circular is not required to be complied with.

In terms of the above circular, the following process is required to be followed by the AIF:

1. Existing unit holders who do not wish to continue post the change shall be provided an exit option. The unit holders shall be provided not less than one month for expressing their dissent.
2. The exit option shall be provided by buying out of units of the dissenting investors by the investment manager/any other person as may be arranged by the investment manager.
3. Prior to buying out of such units, valuation of the units shall be undertaken by 2 (two) independent valuers and the exit shall be at value not less than average of the two (two) valuations.
4. The responsibility to provide exit to the dissenting investors shall be on the manager. The expenses for the entire process shall be borne by the manager/sponsor/proposed new manager or sponsor and shall not be charged to the unit holders.
5. The entire process of exit to dissenting investors shall be completed within 3 months from the date of expiry of last date of the offer for dissent.
6. The trustee of AIF (in case AIF is a trust)/ sponsor (in case of any other AIF) shall be responsible for overseeing the process, ensuring compliance and regularly updating SEBI on the developments.

(I) Overseas investments by an AIF

Under Regulation 15(1)(a) of the Regulations, an alternative investment fund may invest in securities of companies incorporated outside India subject to such conditions or guidelines that may be stipulated or issued by the RBI and SEBI from time to time.

In this regard, RBI *vide* its A.P. (DIR Series) Circular No.48 dated December 09, 2014, has permitted AIFs, registered with SEBI, to invest overseas in terms of the provisions issued under the A.P. (DIR Series) Circulars No. 49 and 50 dated April 30, 2007, and May 04, 2007 respectively.

SEBI *vide* Chapter 7 of the Master Circular and SEBI Circular SEBI/HO/IMD/DF6/CIR/P/2021/565 dated May 21, 2021, and SEBI Circular SEBI/HO/AFD/PoD/CIR/P/2023/137 dated August 04, 2023, has issued the following guidelines on overseas investments by an AIF:

- a. AIFs may invest in equity and equity linked instruments only of offshore venture capital undertakings, subject to overall limit of USD 1,500 million (combined limit for AIFs and Venture Capital Funds registered under the SEBI (Venture Capital Funds) Regulations, 1996).
- b. AIFs desirous of making investments in offshore venture capital undertakings shall submit their proposal for investment to SEBI for prior approval. It is clarified that no separate permission from RBI is necessary in this regard. AIFs shall file an application for allocation of overseas investment in the prescribed format.
- c. AIF shall invest in an overseas company, which is incorporated in a country whose securities market regulator is a signatory to the International Organization of Securities Commission's

- Multilateral Memorandum of Understanding (Appendix A Signatories) or a signatory to the bilateral Memorandum of Understanding with SEBI.
- d. AIF shall not invest in an overseas investee company, which is incorporated in a country identified in the public statement of Financial Action Task Force (FATF) as:
 - (i) A jurisdiction having strategic Anti-Money Laundering or Combating the Financing of Terrorism deficiencies to which counter measures apply; or
 - (ii) A jurisdiction that has not made sufficient progress in addressing the deficiencies or has not committed to an action plan developed with the FATF to address the deficiencies.
 - e. Such investments shall not exceed 25% (twenty-five percent) of the investable funds of the scheme of the AIF.
 - f. Every transaction relating to the purchase and sale of foreign security by an AIF shall be routed through the designated AD bank in India.
 - g. The allocation of investment limits would be done on ‘first come – first serve’ basis, depending on the availability in the overall limit of USD 1,500 million.
 - h. In case an AIF that is allocated certain investment limit, wishes to apply for allocation of further investment limit, the fresh application shall be dealt with on the basis of the date of its receipt and no preference shall be granted to it in fresh allocation of investment limit.
 - i. The AIF shall have a time limit of 6 (six) months from the date of approval from SEBI for making allocated investments in offshore venture capital undertakings. In case the applicant does not utilize the limits allocated within the stipulated period, SEBI may allocate such unutilized limit to other applicants.
 - j. AIF shall report the utilization of the allocated investment limits within 5 (five) working days of such utilization on SEBI intermediary portal. In an event, the AIF has not utilized the allocated investment limits granted by SEBI within 4 (four) months from the date of SEBI approval (“**Validity Period**”), the same shall be reported within 2 (two) working days after expiry of the Validity Period. In the event, AIF has not utilized a part of allocated investment limit within the Validity Period, the same shall be reported within 2 (two) working days after the expiry of the Validity Period. In case an AIF wishes to surrender the overseas limit at any point of time within the Validity Period, the same shall be reported within 2 (two) working days from the date of decision to surrender the limit.
 - k. These investments would be subject to Foreign Exchange Management (Overseas Investment) Regulations, 2022, along with Foreign Exchange Management (Overseas Investment Rules), 2022 including amendments thereof and related directions issued by RBI from time to time.
 - l. Such investment or transfer by AIF, under the Overseas Investment Rules, is to be treated as OPI and thus, the AIF shall be obligated to report the same within sixty (60) days from the end of the half-year in which such investment or transfer is made as of September or March end.
 - m. If an AIF liquidates an investment made in an overseas investee company previously, the sale proceeds received from such liquidation, to the extent of investment made in the said overseas investee company, shall be available to all AIF for reinvestment.
 - n. AIFs shall transfer/ sell the investment in overseas investee company only to the entities eligible to make overseas investments, as per the extant guidelines under the Foreign Exchange Management Act, 1999.

- o. AIFs shall furnish the sale/ divestment details of the overseas investments to SEBI, in the prescribed format, within 3 working days of the divestment for updating the overall limit available for overseas investment by AIFs.
- p. AIFs shall not invest in joint venture/wholly owned subsidiary while making overseas investments.
- q. AIFs shall adhere to FEMA Rules and other guidelines specified by RBI from time to time with respect to any structure which involves Foreign Direct Investment (FDI) under Overseas Direct Investment (ODI) route.
- r. AIFs shall comply with all requirements under RBI guidelines on opening of branches/subsidiaries/joint venture/undertaking investment abroad by NBFCs, where more than 50% of the funds of the AIF has been contributed by a single NBFC.

(m) Code of Conduct

- a. An AIF, key management personnel of the AIF, trustee, trustee company, directors of the trustee company, designated partners or directors of the AIF, as the case may be, investment managers and key management personnel of investment managers shall abide by the code of conduct as specified in the fourth schedule of the Regulations.
- b. The investment manager and either the trustee or trustee company or the board of directors or the designated partners of the AIF, as the case may be, shall ensure compliance by the AIF with the code of conduct as specified in the fourth schedule of the Regulations.
- c. All AIFs shall have detailed policies and procedures, as approved jointly by the Manager and the trustee or trustee company or Board of Directors or designated partners of the AIF, as the case may be, to ensure that all the decisions of the AIF are in compliance with the provisions of the Regulations, terms of the placement memorandum, agreements made with investors, other fund documents and applicable laws.
- d. All AIFs shall review the policies and procedures laid down in terms of the Regulations, other internal policies, if any, and their implementation, on a regular basis or as a result of business developments, to ensure their continued appropriateness.
- e. The investment manager shall be responsible for every decision of the AIF, including ensuring that the decisions are in compliance with the provisions of the Regulations, terms of the fund documents and applicable laws.
- f. The investment manager shall be responsible for ensuring that every decision of the AIF is in compliance with the policies and procedures laid down for the AIF and other internal policies of the AIF, as applicable.

(n) Stamp duty payable under the Indian Stamp Act, 1899

The Finance Act, 2019, had introduced amendments in the Indian Stamp Act, 1899 (“**the Act**”) to, *inter alia*, bring uniformity in the levy of stamp duty on ‘securities’, whether in physical or dematerialized form. Part I of Chapter IV of the Finance Act 2019 related to amendments to the Act.

The Ministry of Finance (“**MoF**”) pursuant to notification no. S.O. 4419(E) dated December 10, 2019, had initially appointed January 9, 2020, as the date on which the amendments to the Act shall come into

force. *Vide* notification no. S.O. 115(E) dated January 8, 2020, the MoF appointed April 1, 2020, as the day amendments to the Act shall come into force. Further, *vide* notification no. S.O. 1226(E) dated March 30, 2020, the MoF appointed July 1, 2020, as the day amendments to the Act shall come into force.

Vide notification G.S.R. 901(E) dated December 10, 2019, the MoF had notified the Indian Stamp (Collection of Stamp Duty through Stock Exchanges, Clearing Corporations and Depositories) Rules, 2019 (“**the Rules**”) to *inter alia* regulate the centralised mechanism for the collection of stamp duty across India. The Rules were initially to come into force from January 9, 2020. Pursuant to notification no. G.S.R. 19(E) dated January 8, 2020, the MoF appointed April 1, 2020, as the day the Rules shall come into force. Further, *vide* notification no. G.S.R. 226(E) dated March 30, 2020, the MoF appointed July 1, 2020, as the day the Rules shall come into force.

As per paragraph 18.1 of SEBI Master Circular SEBI directed all AIFs to comply with the provisions of the Act and the Rules and *inter alia* has directed all AIFs to appoint registrars to an issue and/or share transfer agents (“**RTA**”) registered with SEBI. The RTA shall be deemed as a ‘depository’ for the limited purposes of acting as a ‘collecting agent’ under the Act and the rules made thereunder, in cases of instruments of transaction otherwise than through a recognised stock exchange or depository.

Further, on July 1, 2020, SEBI has issued “*Frequently Asked Questions (FAQs) on Indian Stamp Act, 1899 Amendments and Rules made thereunder*”. As per answer to question 18 in the FAQs, the RTA shall be responsible to transfer the collected stamp duty to the respective States/Union Territories in India based on the buyer-based principle i.e. on the basis of place of residence/registered office of the Contributor, in accordance with Section 9A(4) of the Act. As per answer to question 19 in the FAQs, in case of sale, transfer and issue of Units in demat mode through a recognised ‘stock exchange’ as defined under Securities Contracts (Regulation) Act, 1956 or ‘depository’ as defined under Depositories Act, 1996, the stock exchange/clearing corporation or depository would be required to collect the applicable stamp duty.

Thus, with effect from July 1, 2020, a stamp duty at the rate of 0.005% of the market value of Units would be levied on issue of Units and a stamp duty at the rate of 0.015% of the consideration amount would be levied on any transfer of Units. No stamp duty is payable in respect of redemption of Units.

In case of issue of Units, the onus to pay stamp duty is upon the Scheme (being the issuer of Units).

In the case of transfer of Units, the onus to pay stamp duty is upon the transferor of Units. As per answer to question 20 in the FAQs, when the transferee approaches RTA for effecting the transfer in its books, the RTA will collect the stamp duty from the transferor of Units before effecting the transfer which will then be remitted by the RTA to the state/union territory of domicile of the transferee.

(o) Accredited Investor Framework

Definition. Regulation 2(ab) of Regulations defines Accredited Investor. As per the definition “Accredited Investor” means any person who is granted a certificate of accreditation by an accreditation agency upon qualifying the following criteria for accreditation:

<i>Category of persons seeking recognition as 'accredited investor'</i>	<i>Criteria</i>
1) Individuals, HUFs, Family Trusts and Sole Proprietorships	• Annual Income $\geq$ INR 2 Crores; OR • Net Worth $\geq$ INR 7.5 Crores, out of which at least INR 3.75 Crores is in the form of financial assets; OR • Annual Income $\geq$ INR 1 Crore+ Net Worth $\geq$ INR 5 Crores, out of which at least INR 2.5 Crores is in the form of financial assets.
2) Partnership Firms	Each partner has to independently meet the criteria for accreditation as set out above.
3) Trusts (other than family trusts)	Net worth exceeding or equal to INR 50 Crores.
4) Body Corporates	Net worth exceeding or equal to INR 50 Crores.

It is to be noted that the central government and the state governments, developmental agencies set up under the *aegis* of the central government or the state governments, funds set up by the central government or the state governments, qualified institutional buyers, category I FPI investors, sovereign wealth funds, and other multilateral agencies are deemed to be accredited investors and are not required to obtain certification from accredited agencies.

Procedure for Accreditation and availing benefits linked to accreditation. SEBI vide circular dated August 26, 2021, notified modalities for implementation of the framework for Accredited Investors (“**SEBI Circular**”). Please find below key provisions with respect to the accreditation process as set out under the SEBI circular.

- SEBI has specified eligibility criteria for Accredited Agency for carrying out the accreditation process.
- For accreditation, the prospective Accredited Investor (“**Applicant**”) is required to make an application to the Accreditation Agency in the manner specified by the Accreditation Agency.
- For the purpose of accreditation, eligibility criteria shall be reckoned based on the documents as specified in Annexure B of the SEBI Circular.
- In case of accreditation of individual investors, HUFs and sole proprietorships, the value of the primary residence of the individual, karta of HUF and the sole proprietor respectively, shall not be considered for calculation of net worth.
- The accreditation agency shall verify that the Applicant is a “fit and proper” to participate in the securities, including absence of convictions and/or restraint orders.
- Upon clearing the stage of verification mentioned above, the accreditation agency shall issue a certificate of accreditation (“**Accreditation Certificate**”) having a unique accreditation number, name of accreditation agency, PAN of the Applicant and validity of the accreditation certificate.

(p) Modalities for filing of placement memorandum through a Merchant Banker

As per paragraph 2.2 of the SEBI Master Circular, issued the modalities for AIFs with respect to filing of placement memorandum, including that merchant bankers have to independently exercise due diligence regarding the disclosures and provide a due diligence certificate. The new framework has come into effect from November 11, 2021.

Under the Regulations, AIFs will have to launch schemes subject to filing of placement memorandum with the regulator through a registered merchant banker.

While filing draft placement memorandum at the time of registration or prior to launch of new scheme on the SEBI intermediary portal, the due diligence certificate provided by the merchant banker will also be submitted along with other necessary documents. The details of the merchant banker will have to be disclosed in the placement memorandum.

The merchant banker appointed for filing of placement memorandum will not be an associate of the AIF, its sponsor, manager or trustee. AIFs are required to intimate the regulator regarding any changes in terms of placement memorandum on a consolidated basis, within one month of the end of each financial year. Such an intimation will also be submitted through a merchant banker along with the due diligence certificate provided by such merchant banker.

(q) Excusing or excluding an investor from an investment of AIF

SEBI vide its circular SEBI/HO/AFD-1/PoD/P/CIR/2023/053 dated April 10, 2023, has prescribed that a Category II AIF may excuse its investor from participating in a particular investment in the following circumstances:

- 1) Violation of applicable law: If the investor, based on the opinion of a legal professional/legal advisor confirms that its participation in the investment opportunity would be in violation of an applicable law; or
- 2) Contravention of internal policy of the investor- If an investor had disclosed to the investment manager, as part of the contribution agreement or any other agreement signed executed with such an investor, participation of the investor in such investment opportunity would be in contravention to the internal policy of the investor. The investment manager shall ensure that terms of such agreement with the investor include reporting of any change in the disclosed internal policy, to the AIF, within 15 days of such change.
- 3) Determination by the investment manager- An investor may be excused from participating in an investment opportunity, if the investment manager is of the opinion that investor's participation would violate any applicable law or regulation or cause any material adverse effect on AIF.

If the investor is also an AIF or any other investment vehicle, such investor may be partially excused or excluded from participation in an investment opportunity, to the extent of the contribution of the said fund/investment vehicle's underlying investors who are to be excused or excluded from such investment opportunity.

(r) Co-investment

Vide the fifth amendment to the Regulations, the opportunity to co-invest alongside the Scheme has been extended to investors of Category I & II AIFs only.

Regulation 2(1)(fa) of the Regulations defines ‘Co-investment’ to mean an investment made by a manager or sponsor or investor of Category I & II AIF in an investee company where such Category I & II AIF make investment. Provided that co-investment by investors of AIF shall be through a co-investment portfolio manager as specified under SEBI (Portfolio Managers) Regulations, 2020.

- Co-investment shall be limited to investments into unlisted securities of only such investee companies where a Category I & II AIF has invested.
- Such co-investment can only be facilitated through the “Co-investment Portfolio Manager” (“CPM”) license which is an additional registration that investment managers of Category I & II AIFs wishing to offer co-investment opportunities to AIF investors will have to seek from SEBI under the SEBI (Portfolio Managers) Regulations, 2020.
- The AIF investment manager cannot offer advisory services to any investor other than the co-investments permitted to be offered by it as a CPM to AIF investors, for investment in securities of investee Companies where the AIF makes an investment.
- Certain additional requirements have been prescribed with respect to the co-investment offering terms:
 - (a) terms of co-investment in an investee company shall not be more favourable than the terms of investment by the AIF;
 - (b) terms of exit from the co-investment (including timing of exit) in an investee company shall be identical to the terms applicable to that of exit by the AIF; and
 - (c) early withdrawal of funds by the co-investors in an investee company shall be allowed only to the extent that the AIF has also made an exit from such investee company.

CPM has been introduced as a new category of portfolio manager under the SEBI (Portfolio Managers) Regulations, 2020, where only investment managers of Category I & II AIFs can register. The following key exemptions, *inter alia*, have been granted to CPMs versus a regular portfolio manager under the SEBI (Portfolio Managers) Regulations, 2020:

- (a) Investment team member of the AIF manager meeting the criteria of key investment team under the Regulations can act as principal officer;
- (b) Net-worth requirement of INR 5 crore for the portfolio manager and minimum amount of investment of INR 50 lakhs by a client shall not be applicable with respect to a CPM;
- (c) Appointment of custodian has been exempted. However, SEBI has clarified that the requirement of appointment of custodian as provided under Regulation 20(11) of Regulations, shall be applicable if the sum of corpus of the AIF and the value of the co-investment managed by the manager of the AIF as CPM is more than five hundred crore rupees.
- (d) No need for additional employees other than principal officer/compliance officer (principal officer is also permitted to additionally act as the compliance officer).
- (s) **Investor Charter and Investor Grievance Redressal Mechanism**

With an aim to simplify the private placement memorandum, SEBI has prescribed incorporation of an additional section in the offering document titled “**Investor Charter**” for new schemes. The Investor Charter has been envisaged as a brief document capturing certain details that may be particularly relevant to the investor, e.g., details of grievance redressal mechanism, responsibilities of the investors, etc. The Investor Charter is required to be written in lucid language in the format prescribed by SEBI to facilitate readability of the private placement memorandum as a whole. Additionally, data on investor complaints received against AIFs and each of their schemes and redressal status thereof shall be disclosed by all AIFs and each of their schemes and the redressal status thereof shall be disclosed by all AIFs as per the format prescribed by SEBI. Both of these measures have been introduced with an aim to provide the highest standards investor awareness and investor protection and bring to about greater transparency.

(t) Compliance Officer

The investment managers of all AIFs are required to designate an employee or partner as ‘Compliance Officer’ other than the CEO (or person holding such equivalent role or position). The Compliance Officer shall be responsible to monitor compliance with the provisions of the SEBI Act, Regulations and circulars issued thereunder and report any non-compliance within 7 (seven) working days from the date of observing such non-compliance.

(u) Direct plan

SEBI *vide* its circular SEBI/HO/AFD/PoD/CIR/2023/054 dated April 10, 2023, stipulated that a Category II AIF shall have an option of ‘Direct Plan’ for investors. Such Direct Plan shall not entail any distribution fee/ placement fee. SEBI further clarified that investors who approach a Category II AIF through a SEBI registered intermediary which is separately charging the investor any fee (such as advisory fee or portfolio management fee), are on-boarded via Direct Plan only and shall not be charged any distribution fee/ placement fee.

SEBI *vide* the circular also stipulated the following modalities for payment of distribution fee/ placement fee to the placement agent/s/distributors:

- Category II AIFs shall disclose distribution fee/ placement fee, if any, to the investors of AIF/scheme of AIF at the time of on-boarding.
- Category II AIFs may pay upto one-third of the total distribution fee/ placement fee to the distributors on upfront basis, and the remaining distribution fee/ placement fee shall be paid to the distributors on equal trail basis over the tenure of the scheme.

(v) In-specie distribution and launch of liquidation scheme

During the period of 1 year following the expiry of tenure or extended tenure of a scheme of a Category II AIF, any investments of the scheme which are not sold due to lack of liquidity, may be distributed in-specie to the investors or may be sold to a liquidation scheme, after obtaining approval of at least 75% of the investors by value of their investment in the scheme of the AIFs, in the manner and subject to

conditions specified by the SEBI under circular SEBI/HO/AFD/PoD-I/P/CIR/2023/098 dated June 21, 2023.

B. SEBI Regulations on Initial Public Offerings, Private Placements

This Section summarises some of the provisions of the SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018 (“**ICDR Regulations**”), which will apply in the event that the Scheme makes an investment before the initial public offering (“**IPO**”) of a Portfolio Entity or subscribes to the securities of the company by way of a preferential allotment or a Qualified Institutions Placement (“**QIP**”), subject to Applicable Laws. The Trust being an AIF, will be a qualified institutional buyer (QIB) for the purposes of ICDR Regulations. The ICDR Regulations replaced the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements), Regulations 2009, and were notified by SEBI on September 11, 2018. The ICDR Regulations are, *inter alia*, applicable to public issues by listed and unlisted companies, all offers for sale and rights issues by listed companies, preferential issues, QIPs.

SEBI Regulations on Initial Public Offer

I. Eligibility norms, compliances and key regulatory requirements

The ICDR Regulations permit companies to make an IPO of equity shares or convertible securities upon the satisfaction of certain conditions, which include the following:

- Pre-issue net tangible assets of at least INR 3,00,00,000 (Indian Rupees Three Crore), calculated on a restated and consolidated basis, in each of the preceding 3 (three) full years (of 12 (twelve) months each) of which not more than 50% (fifty percent) is held in monetary assets. Provided that if more than 50% (fifty percent) of the net tangible assets are held in monetary assets, the issuer has utilized or made firm commitments to utilize such excess monetary assets in its business or project; provided further that the limit of 50% (fifty percent) on monetary assets shall not be applicable in case the IPO is made entirely through an offer for sale.
- The issuer company has an average operating profit at least INR 15,00,00,000 (Indian Rupees Fifteen Crore), calculated on a restated and consolidated basis, during the 3 (three) preceding years (of 12 (twelve) months each), with operating profit in each of these preceding three years.
- The issuer company has a net worth of at least INR 1,00,00,000 (Indian Rupees One Crore) in each of the preceding 3 (three) full years (of 12 (twelve) months each), calculated on a restated and consolidated basis.
- If the company has changed its name within the last 1 (one) year, at least 50% (fifty percent) of the revenue, calculated on a restated and consolidated basis, for the preceding 1 (one) full year has been earned by it from the activity indicated by the new name.

As per the ICDR Regulations an unlisted company, which does not comply with any of the conditions specified above, may make an IPO of equity shares or any other security which may be converted into or

exchanged with equity shares at a later date, only if the issue is made through the book-building process and the issuer company undertakes to allot, at least 75% (seventy five percent) of the net offer to qualified institutional buyers and to refund full subscription money if it fails to make the said minimum allotment to qualified institutional buyers.

If an issuer has issued SR equity shares (equity shares of an issuer having superior voting rights compared to all other equity shares issued by that issuer) to its promoters/ founders, the said issuer shall be allowed to do an initial public offer of only ordinary shares for listing on the main board subject to compliance with the provisions of Chapter II of the ICDR Regulations and as per the clauses mentioned below:

- (i) the issuer shall be intensive in the use of technology, information technology, intellectual property, data analytics, bio-technology or nano-technology to provide products, services or business platforms with substantial value addition.
- (ii) the net worth of the SR shareholder, as determined by a registered valuer, shall not be more than INR 1000 crores (Indian Rupees Thousand Crores).

Explanation: While determining the collective net worth of the SR shareholder, the investment of SR shareholder in the shares of the issuer company shall not be considered.

- (iii) The SR shares were issued only to the promoters/founders who hold an executive position in the issuer company;
- (iv) The issue of SR equity shares had been authorized by a special resolution passed at a general meeting of the shareholders of the issuer, where the notice calling for such general meeting specifically provided for –
 - (a) the size of issue of SR equity shares,
 - (b) ratio of voting rights of SR equity shares vis-à-vis the ordinary shares,
 - (c) rights as to differential dividends, if any
 - (d) sunset provisions, which provide for a time frame for the validity of such SR equity shares,
 - (e) matters in respect of which the SR equity shares would have the same voting right as that of the ordinary shares,
- (v) The SR equity shares have been issued prior to the filing of draft red herring prospectus and held for a period of at least 3 months prior to the filing of the red herring prospectus;
- (vi) The SR equity shares shall have voting rights in the ratio of a minimum of 2:1 upto a maximum of 10:1 compared to ordinary shares and such ratio shall be in whole numbers only;
- (vii) The SR equity shares shall have the same face value as the ordinary shares;
- (viii) The issuer shall only have one class of SR equity shares;

- (ix) The SR equity shares shall be equivalent to ordinary equity shares in all respects, except for having superior voting rights.

II. Entities not eligible to make an initial public offer

An issuer shall not be eligible to make an initial public offer if: (a) the issuer, any of its promoters, promoter group or directors or selling shareholders are debarred from accessing the capital market by SEBI; (b) any of the promoters or directors of the issuer is a promoter or director of any other company which is debarred from accessing the capital market by SEBI; (c) the issuer or any of its promoters or directors is a wilful defaulter or a fraudulent borrower; or (d) any of its promoters or directors is a fugitive economic offender.

An issuer shall not be eligible to make an initial public offer under the ICDR Regulations if there are any outstanding convertible securities or any other right which would entitle any person with any option to receive equity shares.

Provided that the above shall not apply to:

- a) outstanding options granted to employees, whether currently an employee or not, pursuant to an employee stock option scheme framed in accordance with the Companies Act, 2013, relevant guidance note or accounting standards, if any, issued by the Institute of Chartered Accountants of India or pursuant to the Companies Act, 2013, in this regard;
- b) fully paid-up outstanding convertible securities which are required to be converted on or before the date of filing of the red herring prospectus (in case of book-built issues) or the prospectus (in case of fixed price issues), as the case may be.

III. Allotment procedure and basis of allotment

- 1. An issuer company shall not make an allotment pursuant to a public issue in terms of the ICDR Regulations if the number of prospective allottees is less than 1000 (one thousand).
- 2. An issuer shall not make any allotment in excess of the specified securities offered through the offer document except in case of oversubscription for the purpose of rounding off to make allotment, in consultation with the designated stock exchange. Provided that in case of oversubscription, an allotment of not more than one per cent. of the net offer to public may be made for the purpose of making allotment in minimum lots.
- 3. The allotment of specified securities to applicants other than to the retail individual investors, non-institutional investors and anchor investors shall be on a proportionate basis within the respective investor categories and the number of securities allotted shall be rounded off to the nearest integer, subject to minimum allotment being equal to the minimum application size as determined and disclosed in the offer document.

Provided that the value of specified securities allotted to any person, except in case of employees, in pursuance of reservation made under clause (a) of sub-regulation (1) or clause (a) of subregulation (2) of regulation 33 of the ICDR Regulations, shall not exceed INR 2,00,000 (Indian Rupees Two Lakhs) for retail investors or up to INR 5,00,000 (Indian Rupees Five Lakhs) for eligible employees.

4. The allotment of specified securities to each retail individual investor shall not be less than the minimum bid lot, subject to the availability of shares in retail individual investor category, and the remaining available shares, if any, shall be allotted on a proportionate basis.
5. The allotment of specified securities to each non-institutional investor shall not be less than the minimum application size, subject to the availability of shares in non-institutional investors' category, and the remaining shares, if any, shall be allotted on a proportionate basis in accordance with the conditions specified in this regard in Schedule XIII of the ICDR Regulations.
6. The authorised employees of the designated stock exchange, along with the lead manager(s) and registrars to the issue, shall ensure that the basis of allotment is finalised in a fair and proper manner in accordance with the procedure as specified in Part A of Schedule XIV of ICDR Regulations.

IV. Pricing

An issuer company may determine the price of its equity shares or any securities convertible at a later date into equity shares in consultation with the lead manager(s) for the issue (i.e. fixed price route) or through the book building process.

- a) The fixed price route of pricing is that under which the issuer company in consultation with the lead manager, arrives at a price and the securities are offered to the public at this fixed price;
- b) The book building route of pricing is where the issuer company appoints a merchant banker who acts as a "Lead Manager" for a book building period, and accepts bids from qualified bidders in a price band determined by the issuer company in consultation with the Lead Manager. This mechanism enables the issue to discover the price that the market is willing to pay for the shares of the issuer company. At the end of the book-building period, the issue of shares is made at the best bid price obtained by the issuer company in consultation with the Lead Manager.

V. Promoters Contribution and Lock-in Restrictions:

SEBI has stipulated that promoters must retain a certain minimum certified holding of the equity capital issued by the company. For the purposes of these disclosures, the term "promoter" includes the person who (a) has been named as such in the draft offer document or offer document and/or is identified by the issuer in the annual return referred to in section 92 of the Companies Act; or (b) has overall control over the affairs of the company, directly or indirectly whether as a shareholder, director or otherwise; or (c) in

accordance with whose advice, directions and instructions the board of directors of the issuer is accustomed to act.

- i. The ICDR Regulations prescribe that a minimum of 20% (twenty percent) of the post issue capital of the issuer company is required to be held by the promoters. In case the post issue shareholding of the promoters is less than 20% (twenty percent), then AIFs or foreign venture capital investors or scheduled commercial banks or public financial institutions or insurance companies registered with Insurance Regulatory and Development Authority of India may contribute for the purpose of meeting the shortfall in minimum contribution as specified for promoters, subject to a maximum of 10% (ten percent) of the post issue capital without being identified as promoters. Provided further that the requirement of minimum promoters' contribution shall not apply in case an issuer does not have any identifiable promoter.
- ii. Such promoters' contribution (including contribution made by AIFs or foreign venture capital investors or scheduled commercial banks or public financial institutions or insurance companies registered with Insurance Regulatory and Development Authority of India in the manner prescribed hereinabove) cannot be disposed of until the expiry of 3 (three) years from the date of allotment in the public issue (in case majority of the issue proceeds excluding the portion of offer for sale is proposed to be utilized for capital expenditure) or until the expiry of 18 (eighteen) months from the date of allotment in the public issue (in other cases). In the event the promoters hold specified securities in excess of the minimum promoter's contribution, this excess shall be locked in for a period of 1 (one) year (in case majority of the issue proceeds excluding the portion of offer for sale is proposed to be utilized for capital expenditure) or for a period of 6 (six) months (in other cases).
- iii. The SR equity shares (equity shares of an issuer having superior voting rights compared to all other equity shares issued by that issuer) shall be under lock-in until conversion into equity shares having voting rights same as that of ordinary shares or shall be locked-in for a period as specified in clause (ii) above, whichever is later.
- iv. However, *inter se* transfer of promoters' holding is possible, except SR shares, subject to: (a) such transfer being made to another promoter or any person of the promoter group or a new promoter; and (b) the lock-in provisions prescribed under the ICDR Regulations being made applicable to the transferees for the remaining period of the lock-in. The term "promoter" has been broadly defined to mean person(s) who are named as such in a draft offer document or offer document or in the annual return of the issuer company or in control of the issuer company or the person/s who are instrumental in the formulation of a plan or programme pursuant to which specified securities are offered to public or the person/s named in the offer document as promoters.
- v. The ICDR Regulations prescribe lock-in restrictions on the pre-issue share capital of the issuer company held by persons other than promoters as provided below:
 - a) The entire pre-issue share capital of any persons other than the promoter shall be locked-in for a period of 6 (six) months from the date of allotment in the proposed public issue.

b) This lock-in period of 6 (six) months is not applicable to:

- i. the equity shares allotted to employees, whether currently an employee or not, under an employee stock option or employee stock purchase scheme of the issuer prior to the initial public offer, if the issuer has made full disclosures as prescribed in Part A of Schedule VI of the ICDR Regulations;
- ii. equity shares held by an employee stock option trust or transferred to the employees by an employee stock option trust pursuant to exercise of options by the employees, whether currently employees or not;
Provided that the equity shares allotted to the employees shall be subject to the provisions of lock-in as specified under the Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2021.
- iii. equity shares held by a venture capital fund or AIFs of Category I or of Category II or a foreign venture capital investor;
Provided that such equity shares shall be locked in for a period of at least 6 (six) months from the date of purchase by the venture capital fund or alternative investment fund or foreign venture capital investor.

For the purpose of clause (v) (b) (iii) above, in case such equity shares have resulted pursuant to conversion of fully paid-up compulsorily convertible securities, the holding period of such convertible securities as well as that of resultant equity shares together shall be considered for the purpose of calculation of aforementioned 6 (six) months period and convertible securities shall be deemed to be fully paid-up, if the entire consideration payable thereon has been paid and no further consideration is payable at the time of their conversion. In case such equity shares have resulted pursuant to a bonus issue, then the holding period of such equity shares against which the bonus issue is made as well as holding period of resultant bonus equity shares together shall be considered for the purpose of calculation of 6 months period, subject to the following: (a) that the bonus shares being issued out of free reserves and share premium existing in the books of account as at the end of the financial year preceding the financial year in which the draft offer document is filed with SEBI; and (b) that the bonus shares not being issued by utilisation of revaluation reserves or unrealized profits of the issuer.

- vi. Only such fully paid-up equity shares may be offered for sale to the public, which have been held by the sellers for a period of at least one year prior to the filing of the draft offer document. Such requirement of holding equity shares for a period of 1 (one) year does not apply: (a) to an offer for sale of a government company or statutory authority or corporation or any special purpose vehicle set up and controlled by any one or more of them, which is engaged in infrastructure sector; (b) if the equity shares offered for sale have been acquired pursuant to a scheme approved by a High Court under or approved by a tribunal or the Central Government under sections 230 to 234 of the Companies Act, 2013, as applicable, in lieu of business and invested capital that had been in existence for a period of more than one year prior to such approval; (c) if the equity shares offered for sale were issued under a bonus issue on securities held for a period of at least one year prior to the filing of the draft offer document with SEBI and further subject to the following: (i)

such specified securities being issued out of free reserves and share premium existing in the books of account as at the end of the financial year preceding the financial year in which the draft offer document is filed with SEBI; and (ii) such equity shares not being issued by utilisation of revaluation reserves or unrealized profits of the issuer.

VI. General conditions for an issuer making an initial public offer:

- (i) it has made an application to one or more stock exchanges to seek an in-principle approval for listing of its specified securities on such stock exchanges and has chosen one of them as the designated stock exchange, in terms of Schedule XIX of the ICDR Regulations;
- (ii) it has entered into an agreement with a depository for dematerialisation of the specified securities already issued and proposed to be issued;
- (iii) all its specified securities held by the promoters are in dematerialised form prior to filing of the offer document;
- (iv) all its existing partly paid-up equity shares have either been fully paid-up or have been forfeited; and
- (v) it has made firm arrangements of finance through verifiable means towards 75% (seventy-five percent) of the stated means of finance for a specific project proposed to be funded from the issue proceeds, excluding the amount to be raised through the proposed public issue or through existing identifiable internal accruals.

VII. *Participation in private placement of securities:* The Scheme may invest in Portfolio Entities by participating in a private offer of securities by such Portfolio Entities. All issues of capital by a listed public company by way of shares or convertible securities on a preferential basis are subject to fulfillment of the conditions prescribed by the Companies Act, 2013 and provisions relating to preferential issues set out under the ICDR Regulations.

The Companies Act, 2013 requires the prior approval of the existing shareholders through a special resolution, which means a majority of three-fourth of the votes, by members who, being entitled so to do, vote in person, or where proxies are allowed, by proxy, cast in favour of resolution for preferential allotment of shares.

Preferential Issue – Requirements

The ICDR Regulations prescribe the following conditions for issuance of securities by a listed company, whose equity share capital is listed on any recognized stock exchange:

- a) all equity shares allotted by way of preferential issue shall be made fully paid up at the time of the allotment;
- b) a special resolution has been passed by its shareholders;
- c) all equity shares held by the proposed allottees in the issuer are in dematerialised form before an application seeking in-principle approval is made to the stock exchange where the equity shares are listed;

- d) the issuer is in compliance with the conditions for continuous listing of equity shares as specified in the listing agreement with the stock exchange where the equity shares of the issuer are listed and the SEBI (Listing Obligations and Disclosure Requirements), 2015, as amended, and any circular or notification issued by SEBI thereunder;
- e) the issuer has obtained the permanent account numbers of the proposed allottees, except those allottees which may be exempt from specifying their permanent account number for transacting in the securities market by SEBI before an application seeking in-principle approval is made to the stock exchange where the equity shares are listed;
- f) the issuer has made an application seeking in-principle approval to the stock exchange(s), where its equity shares are listed, on the same day when the notice has been sent in respect of the general meeting seeking shareholders' approval by way of special resolution.

All issues of capital by listed companies in the form of shares or convertible securities by means of preferential allotment are subject to the pricing guidelines provided under the ICDR Regulations.

a. Pricing of frequently traded shares

- a. In case of frequently traded shares, the price of the equity shares to be allotted pursuant to the preferential issue shall be determined by clause (2) or clause (3), as opted for.
- b. The price of the equity shares to be allotted pursuant to the preferential issue shall not be less than the higher of the following: (a) the average of the weekly high and low of the volume weighted average price of the related equity shares quoted on the recognised stock exchange during the 12 (twelve) weeks preceding the relevant date; or (b) the average of the weekly high and low of the volume weighted average prices of the related equity shares quoted on a recognised stock exchange during the 2 (two) weeks preceding the relevant date.
- c. If the equity shares of a company have been listed on a recognized stock exchange for a period of 90 (ninety) trading days or more as on the relevant date, the issue of shares on preferential basis, shall be made at a price not less than higher of the following:
 - i. The 90 (ninety) trading days' volume weighted average prices of the related equity shares quoted on the recognized stock exchange preceding the relevant date;

OR

- ii. The 10 (ten) trading days' volume weighted average prices of the related equity shares quoted on a recognized stock exchange preceding the relevant date.

Provided that if the Articles of Association of the issuer provide for a method of determination which results in a floor price higher than that determined under the ICDR

Regulations, then the same shall be considered as the floor price for equity shares to be allotted pursuant to the preferential issue.

- d. If the equity shares of a company have been listed on a recognized stock exchange for a period of less than 90 (ninety) trading days as on the relevant date, the issue of equity shares can be made at a price not less than the higher of the following:
 - i. The price at which equity shares were issued by the company in its IPO or the value per share arrived at in a scheme of arrangement under sections 230 to 234 of the Companies Act, 2013, pursuant to which the equity shares of the company were listed, as the case may be;

OR

- ii. The average of the volume weighted average prices of the related equity shares quoted on the recognized stock exchange during the period the equity shares have been listed preceding the relevant date;

OR

- iii. The average of the 10 trading days' volume weighted average prices of the related equity shares quoted on a recognized stock exchange preceding the relevant date.

Provided that if the Articles of Association of the issuer provide for a method of determination which results in a floor price higher than that determined under ICDR Regulations, then the same shall be considered as the floor price for equity shares to be allotted pursuant to the preferential issue.

- e. A preferential issue of specified securities to qualified institutional buyers not exceeding 5 (five) in number shall be made at a price not less than the 10 trading days' volume weighted average prices of the related equity shares quoted on a recognized stock exchange preceding the relevant date.

For the purposes of paragraphs (1), (2) and (3) above the term "relevant date" means as follows:

- i. in case of preferential issue of equity shares, the date thirty days prior to the date on which the meeting of shareholders is held to consider the proposed preferential issue shall be the relevant date;
Provided that in case of a preferential issue of specified securities pursuant to any resolution of stressed assets under a framework specified by the RBI or a resolution plan approved by the National Company Law Tribunal ("NCLT") under the Insolvency and Bankruptcy Code 2016, the date of approval of the corporate debt restructuring package or resolution plan shall be the relevant date.

- ii. in case of a preferential issue of convertible securities, either the relevant date referred to in clause (i) above or a date thirty days prior to the date on which the holders of the convertible securities become entitled to apply for the equity shares.

Further, where the relevant date falls on a weekend/holiday, the day preceding the weekend/holiday will be reckoned to be the relevant date.

b. Pricing of Infrequently traded shares

Where the shares are not frequently traded, the price determined by the issuer company shall take into account valuation parameters including book value, comparable trading multiples, and such other parameters as are customary for valuation of shares of such companies, provided that the issuer shall submit a certificate stating that the issuer company is in compliance of ICDR Regulations, obtained from an independent registered valuer to the stock exchange where the equity shares of the issuer are listed.

- 1) If warrants are issued on a preferential basis with an option to apply for and be allotted shares, the issuer company shall determine the price of the resultant shares as aforementioned, and an amount equivalent to at least 25% (twenty five percent) of the price so fixed shall become payable for the warrants on the date of their allotment, which shall be adjusted against the price payable subsequently for acquiring the shares by exercising an option for the purpose. However, if the option to acquire shares is not exercised then the amount paid on allotment gets forfeited.
- 2) If Partly Convertible Debentures (“PCDs”), Fully Convertible Debentures (“FCDs”) or other convertible instruments, are issued on a preferential basis, providing for the issuer to allot shares at a future date, the issuer shall determine the price at which the shares could be allotted in the same manner as specified for pricing of shares allotted in lieu of warrants as indicated in paragraph (1) above.
- 3) The tenure of the instruments such as warrants, PCDs, FCDs or any other financial instrument with a provision for the allotment of equity shares at a future date, either through conversion or otherwise, shall not exceed beyond 18 (eighteen) months from the date of issue of the relevant instrument.
- 4) The instruments allotted on a preferential basis to the promoter or the promoter group and the shares allotted pursuant to exercise of options attached to such warrants, shall be subject to lock-in of 18 (eighteen) months from the date of trading approval granted for the specified securities or equity shares allotted pursuant to exercise of the option attached to warrant, as the case may be. Provided that not more than 20 per cent. of the total capital of the issuer shall be locked-in for 18 months from the date of trading approval and provided further that equity shares allotted in excess of the 20 per cent. shall be locked-in for 6 months from the date of trading approval pursuant to exercise of options or otherwise, as the case may be. The instruments allotted on preferential basis to persons

other than promoter and promoter group and the equity shares allotted pursuant to exercise of options attached to warrants issued on preferential basis to such persons shall be locked in for a period of 6 (six) months from the date of trading approval.

- 5) The allotment should be completed within a period of 15 (fifteen) days from the date of passing of the shareholders resolution granting consent for preferential issues of any financial instrument. However, where any application for exemption from the applicability of the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 or any approval or permission by any regulatory authority or the Central Government for allotment is pending, the period of fifteen days will be counted from the date of order on such application or the date of approval or permission, as the case may be.

VIII. Offer for Sale: Subject to the terms contained under the ICDR Regulations, the Scheme may act as the selling shareholder and may sell the specified securities held by it to the public by way of an offer for sale (as a part of an initial public offer/further public offer by the issuer company). A company whose equity shares are offered through an “offer for sale” must comply with the conditions described in the ICDR Regulations. Additionally, only those equity shares which are held by the offeror for a period of at least 1 year at the time of filing the draft offer document with the SEBI can be offered to the public through an “offer for sale.”

IX. Qualified Institutions Placement (QIP) – Requirements

Qualified Institutions Placement (“QIP”) means allotment of eligible securities by a listed issuer to Qualified Institutional Buyers (“QIBs”) on private placement basis and includes an offer for sale of specified securities by the promoters and/or promoter group on a private placement basis.

The ICDR Regulations permit companies to make QIP of equity shares, non-convertible debt instruments along with warrants and convertible securities other than warrants (“eligible securities”) upon the satisfaction of certain conditions, which include the following:

1. A special resolution approving the QIP has to be passed by the shareholders of the company. The allotment shall be completed within 365 days from the date of passing the resolution.

Provided that no shareholders’ resolution will be required in case the qualified institutions placement is through an offer for sale by promoters or promoter group for compliance with minimum public shareholding requirements specified in the Securities Contracts (Regulation) Rules, 1957.

2. The equity shares of the same class, which are proposed to be allotted through QIP or pursuant to conversion or exchange of eligible securities offered through QIP, have been listed on a stock exchange for a period of at least one year prior to the date of issuance of notice to its shareholders for convening the meeting to pass the special resolution;

3. The Company has to comply with the Securities Contract (Regulation) Rules, 1957, if applicable;
4. An issuer shall be eligible to make a qualified institutions placement if any of its promoters or directors is not a fugitive economic offender.
5. All eligible securities issued through a qualified institutional placement shall be listed on the recognised stock exchange where the equity shares of the issuer are listed.

Provided that the issuer shall seek approval under rule 19(7) of the Securities Contracts (Regulation) Rules, 1957, if applicable.

6. The issuer shall not make any subsequent qualified institutions placement until the expiry of 2 (two) weeks from the date of the prior qualified institutions placement made pursuant to one or more special resolutions.
7. “Relevant Date” means –
 - (i) in case of allotment of equity shares, the date of the meeting in which the board of directors of the issuer or the committee of directors duly authorised by the board of directors of the issuer decides to open the proposed issue;
 - (ii) in case of allotment of eligible convertible securities, either the date of the meeting in which the board of directors of the issuer or the committee of directors duly authorised by the board of directors of the issuer decides to open the issue of such convertible securities or the date on which the holders of such convertible securities become entitled to apply for the equity shares.
8. Pricing:
 - (i) The issue price of the shares shall not be less than the average of the weekly high and low of the closing prices of the equity shares of the same class quoted on the stock exchange during the 2 (two) weeks preceding the relevant date;
 - (ii) Where eligible securities are convertible into or exchangeable with equity shares of the issuer, the issuer shall determine the price of such equity shares allotted pursuant to such conversion or exchange taking the relevant date as decided and disclosed by it while passing the special resolution;

The issuer company is permitted to price the QIP securities at a 5% (five percent) discount to the floor price, subject to the shareholders’ of the issuer company approving the same vide a special resolution.

9. Restrictions: Allotment under QIP shall be subject to the following restrictions:
 - (i) Minimum 10% (ten percent) of eligible securities to be allotted to Mutual Funds; in case Mutual Funds do not subscribe to such minimum percentage, such part shall be allotted to other QIBs;
 - (ii) No allotment, directly or indirectly, to be made to a qualified institutional buyer who is the promoter or any person related to promoters of the issuer;

- (iii) In a QIP of non-convertible debt instrument along with warrants, an investor can subscribe to the combined offering of non-convertible debt instruments with warrants or to the individual securities, that is, either non- convertible debt instruments or warrant;
 - (iv) The applicants in qualified institutions placement cannot withdraw or revise downwards their bids after the closure of the issue.
10. Persons deemed to be related to the promoter: No allotment shall be made, either directly or indirectly to any QIB who shall be deemed to be a promoter or a person related to the promoter of the issuer. A QIB who has any of the following rights shall be deemed to be a person related to the promoters of the issuer:
- (i) rights under a shareholders' agreement or voting agreement entered into with promoters or persons related to the promoters;
 - (ii) veto rights; or
 - (iii) right to appoint any nominee director on the board of the issuer.
11. Minimum number of allottees: The minimum number of allottees for each QIP shall not be less than:
- (i) two, where the issue size is less than or equal to INR. 250 crores;
 - (ii) five, where the issue size is greater than INR 250 crores.
- Provided that no single allottee shall be allotted more than fifty per cent of the issue size.
12. Tenure: The tenure of the convertible or exchangeable eligible securities issued through qualified institutions placement shall not exceed 60 (sixty) months from the date of allotment
13. Lock-in of eligible securities for 1 (one) year, except sold on the stock exchange.

X. Exit Opportunity to Dissenting Shareholders:

Pursuant to ICDR Regulations, the promoters or shareholders in control of an issuer company shall provide an exit offer to the dissenting shareholders in case of change in objects or variation in the terms of contract referred to in the prospectus being dissented to by at least 10% (ten per cent) of the shareholders and the amount to be utilized for the objects of the issued prospectus is less than 75% (seventy five per cent) of the amount raised, in terms of the provisions of the Companies Act, 2013. Such provisions however will not apply where there are neither identifiable promoters nor shareholders in control of the issuer company.

Further, investments in listed securities would be subject to SEBI regulations pertaining to (a) SEBI (Prohibition of Insider Trading) Regulations, 2015; and (b) SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011.

XI. Promoter being a wilful defaulter or fraudulent borrower or a fugitive economic offender

SEBI prohibits an issuer from making a public issue of equity securities, if the issuer or any of its promoters or directors is a wilful defaulter or fraudulent borrower. 'Wilful defaulter or fraudulent borrower' has been defined as a person or an issuer who is categorized as a wilful defaulter or fraudulent

borrower by any bank or financial institution or consortium thereof, in accordance with the guidelines on wilful defaulters or fraudulent borrowers issued by the RBI. The ICDR Regulations prohibit an issuer from undertaking an IPO if any of its promoters or directors is a fugitive economic offender. A 'Fugitive Economic Offender' has been defined to mean an individual who is declared a fugitive economic offender under section 12 (twelve) of the Fugitive Economic Offenders Act, 2018.

C. **Takeover Regulations**

On September 23, 2011, SEBI announced its new takeover code, the Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 ("**Takeover Code**"), which came into effect on October 22, 2011, and replaced the Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 1997. Once the Portfolio Entities in which the Scheme has invested are listed or if the Scheme invests in securities of a listed company, the Takeover Code may apply to the Trust. However, it is to be noted that the Takeover Code does not apply to acquisition of shares or voting rights or control over a company listed on the Innovators Growth Platform of a recognised stock exchange in the absence of a public issue.

Under the provisions of the Takeover Code, any acquirer (meaning a person who, directly or indirectly, acquires or agrees to acquire shares or voting rights in a company or acquires or agrees to acquire control over a company, either by himself, or through, or with any person acting in concert) who acquires shares or voting rights aggregating to 5% (five percent) or more of the shares of a listed public Indian company is required to notify to the company at its registered office and each of the stock exchanges on which the shares of such company are listed about its aggregate shareholdings and voting rights within 2 (two) days of (i) the receipt of intimation of allotment of shares or (ii) the acquisition of shares or voting rights. Furthermore, any person, who together with the persons acting in concert with him, holds shares or voting rights entitling them to 5% (five percent) or more of the shares or voting rights in a target company is required to inform the company at its registered office and the stock exchange about any change in its holdings representing more than 2% (two percent) of the shares or voting rights of the company within two days of (i) the receipt of intimation of allotment of shares or (ii) the acquisition or disposal of shares or voting rights. Acquisition beyond five per cent but up to ten per cent of the voting rights in the target company shall be permitted for the financial year 2020-21 only in respect of acquisition by a promoter pursuant to preferential issue of equity shares by the target company. It is to be noted that, in case of listed entity which has listed its specified securities on Innovators Growth Platform, any reference to "five per cent" is to be read as "ten per cent" and any reference to "two per cent" is to be read as "five per cent."

Upon the acquisition of 25% (twenty-five percent) or more of shares having voting rights, or an acquisition of control of the company (by himself or by persons acting in concert with him), whether direct or indirect, the purchaser / acquirer is required to make an open offer to the other shareholders offering to purchase at least 26% (twenty-six percent) of all the outstanding shares of the company at a minimum offer price as determined pursuant to the provisions of the Takeover Code. Further, under the provisions of the Takeover Code, any existing shareholder of a listed public Indian company, holding 25% (twenty-five percent) or more but less than maximum permissible non-public shareholding in the company is entitled to acquire an additional 5% (five percent) of the shares or voting rights of the company in any financial year ending March 31, without making an open offer for such an acquisition. Provided such additional acquisition of

shares or voting rights shall not exceed the maximum permissible non-public shareholding in the company. For purposes of determining the quantum of acquisition of additional voting rights of 5% (five percent) gross acquisitions alone shall be taken into account regardless of any intermittent fall in shareholding or voting rights whether owing to disposal of shares held or dilution of voting rights owing to fresh issue of shares by the company. It is to be noted that, in case of listed entity which has listed its specified securities on Innovators Growth Platform any reference to “twenty-five per cent” is to be read as “forty-nine per cent.”

The Takeover Code also defines indirect acquisition or control. This is defined as the ability to exercise or direct the exercise of voting rights which would otherwise attract the obligation of making a public announcement of an open offer. The threshold point for such indirect control or ability to control is where the proportionate net assets or sales turnover or market capitalization of the target company as a percentage of consolidated net assets value or sales turnover or enterprise value for the entity or business being acquired, respectively, is in excess of 80% (eighty percent) on the basis of recent audited financial statements. In such a case, such indirect acquisition would be deemed to be a direct acquisition of the target company for the purposes of the Takeover Code and the obligations relating to timing, pricing and other compliance requirements for the open offer relating to direct acquisition shall apply accordingly.

The open offer for the acquisition of a further minimum of 26% (twenty-six percent) of shares of the company or such other percentage as prescribed under the Takeover Code has to be made by way of a public announcement on the date of agreeing to acquire shares or voting rights in, or control over the company.

The acquirer shall be responsible to pursue all statutory approvals required by the acquirer in order to complete the open offer without any default, neglect or delay. In case the acquirer is unable to make payment to the shareholders who have accepted the open offer within such period, the acquirer shall pay interest for the period of delay to all such shareholders whose shares have been accepted in the open offer, at the rate of 10 (ten) per cent per annum.

Exemptions from making Open Offer

SEBI has the power to grant exemption or relaxation from the requirements of the open offer under the Takeover Code in the interest of investors and the securities market. Such relaxations or exemptions can be sought by the acquirer by making an application to SEBI. Some instances of acquisition of shares exempted by the Takeover Code which may apply to the Trust are as follows:

- Allotment pursuant to rights issue, (i) to the extent of his entitlement; and (ii) up to the percentage specified in regulation 11;
- Acquisition pursuant to inter-se transfer of shares amongst qualifying persons, being (i) immediate relatives; (ii) persons named as promoters in the shareholding pattern filed by the target company; (iii) a company, its subsidiaries, its holding company, other subsidiaries of such holding company, personal holding not less than fifty percent of the equity shares of such company or other company in which such person holds not less than fifty per cent; (iv) persons acting in concert for not less than three years prior to the proposed acquisition and (v) shareholders of a target company who

have been persons acting in concert for a period of not less than three years prior to the proposed acquisition;

- Acquisition of shares in the ordinary course of business by (i) an underwriter registered with SEBI by way of allotment pursuant to an underwriting agreement in terms of SEBI (Issuer of Capital and Disclosure Requirements) Regulations, 2009; (ii) a registered stock-broker of a stock exchange on behalf of clients; (iii) a merchant banker registered with SEBI or a nominated investor in the process of market making or subscription to the unsubscribed portion of issuer in terms of Chapter XB of the SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2009; (iv) a registered market maker of a stock exchange in respect of shares for which he is the market maker, during the course of market making; (v) by a Scheduled Commercial Bank, acting as an escrow agent; (vi) by banks and public financial institutions as pledgees, etc.;
- Acquisitions at subsequent stages pursuant to an agreement of disinvestment;
- Acquisition pursuant to the provisions of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002;
- Acquisition pursuant to the provisions of the Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021;
- Acquisition pursuant to a resolution plan approved under section 31 of the Insolvency and Bankruptcy Code, 2016;
- Acquisition of voting rights or preference shares carrying voting rights arising out of the operation of sub-section (2) of section 47 of the Companies Act, 2013 (18 of 2013);
- Acquisition of shares by the lenders pursuant to conversion of their debt as part of a debt restructuring;
- Acquisition of shares pursuant to a scheme – (i) framed under Section 18 of the Sick Industrial Companies (Special Provisions) Act, 1985; (ii) of arrangement or reconstruction including amalgamation or merger or demerger under any law or regulation, Indian or foreign acquisition of shares in companies whose shares are not listed on any stock exchange;
- According to the Takeover Code, an increase in the voting rights of any shareholder beyond the threshold limits without the acquisition of control, shall be exempted from the obligation to make an open offer if the SR equity shares have been converted into ordinary equity shares;
- Any acquisition of shares or voting rights or control of the target company by way of preferential issue shall be exempt from the obligation to make an open offer;
- The above exemption from open offer shall also apply to the target company with infrequently traded shares. An increase in voting rights in a target company of any shareholder beyond the limit attracting an obligation to make an open offer pursuant to buy-back of shares by the target company shall be exempt from the obligation to make an open offer provided such shareholder reduces his shareholding such that his voting rights fall to below the threshold within 90 (ninety) days from the date of the closure of the said buy-back offer.

D. Prohibition of Insider Trading Regulations

SEBI (Prohibition of Insider Trading) Regulations, 2015, (“**Insider Trading Regulations**”) have been notified by SEBI and came into force with effect from May 15, 2015. The Insider Trading Regulations replaced the SEBI (Prohibition of Insider Trading) Regulations, 1992. The Insider Trading Regulations prohibit an “insider” and a “connected person” from dealing, either on his own behalf or on behalf of any

other person, in the securities of a company listed on any stock exchange when in possession of “unpublished price sensitive information” which is distinguished from “generally available information”. When a person who has traded in securities has been in possession of “unpublished price sensitive information”, his trades would be presumed to have been motivated by the knowledge and awareness of such information in his possession. The terms “insider”, “connected person”, “unpublished price-sensitive information” and “generally available information” are defined in the Insider Trading Regulations.

The insider is prohibited from communicating, counseling, causing or procuring, directly or indirectly, any unpublished price-sensitive information to any other person who while in possession of such unpublished price-sensitive information is prohibited from dealing in securities except where such communication is in furtherance of legitimate purposes, performance of duties or discharge of legal obligations and in furtherance in the interest of the company. Any person in receipt of unpublished price sensitive information pursuant to a “legitimate purpose” shall be considered an “insider” for purposes of the Insider Trading Regulations and due notice shall be given to such persons to maintain confidentiality of such unpublished price sensitive information in compliance with the Insider Trading Regulations.

In the case of “connected persons” the onus of establishing, that they were not in possession of unpublished price sensitive information, shall be on such connected persons and in other cases, the onus would be on SEBI. However proof of innocence can be established by an insider if (a) the transaction is an off-market *inter-se* transfer between insiders who were in possession of the same unpublished price sensitive information; (b) the transaction was carried out through the block deal window mechanism between persons who were in possession of the unpublished price sensitive information; (c) the transaction was carried out pursuant to a statutory or regulatory obligation to carry out a bona fide transaction; (d) the transaction in question was undertaken pursuant to the exercise of stock options in respect of which the exercise price was pre-determined in compliance with applicable regulations; (e) in the case of non-individual insiders; (i) the individuals in possession of unpublished price sensitive information were different from individuals taking trading decisions and such decision making individuals were not in possession of unpublished price sensitive information when they took the decision to trade; and (ii) appropriate and adequate arrangements were in place to ensure that the provisions are not violated and no unpublished price sensitive information was communicated by individuals possessing the information to the individuals taking trading decisions and there is no evidence of such arrangements having been breached; and (f) the trades were pursuant to a trading plan set up in accordance with the Insider Trading Regulations. The Insider Trading Regulations also provides for disclosures to be made by certain person and such disclosures shall include those relating to trading by such person’s immediate relatives and by any other person for whom such person takes trading decisions.

The Insider Trading Regulations make it compulsory for listed companies and the board of directors or head(s) of the organisation of every intermediary to ensure that the chief executive officer or managing director establishes an internal code of conduct to prevent insider-trading deals and also to regulate disclosure of unpublished price-sensitive information within such entities so as to minimize misuse of such information. To this end, the Insider Trading Regulations provide a model code of conduct. Further, the Insider Trading Regulations specify a code of fair disclosure practices to prevent insider trading, which must be implemented by all listed companies and intermediaries. The Insider Trading Regulations requires

appointment of a compliance officer to administer the code of conduct and other requirements under the Insider Trading Regulations.

The terms “promoter” and “promoter group” shall have the same meaning as assigned to them under the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 or any modification thereof.

Any company whose securities are listed on a stock exchange may, at its discretion require any other connected person or class of connected persons to make disclosures of holdings and trading in securities of the company in such form and at such frequency as may be determined by the company in order to monitor compliance with the Insider Trading Regulations. The chief executive officer, managing director or such other analogous person of a listed company, intermediary or fiduciary shall put in place adequate and effective system of internal controls to ensure compliance with the requirements given in the Insider Trading Regulations to prevent insider trading.

The disclosures required to be made by any person under the Insider Trading Regulations shall include those relating to trading by such a person’s immediate relatives. The term “immediate relative” means a spouse of a person, and includes parent, sibling, and child of such person or of the spouse, any of whom is either dependent financially on such person or consults such person in taking decisions relating to trading in securities.

An insider is entitled to formulate a trading plan and present it to the compliance officer for approval and public disclosure pursuant to which trades may be carried out on his behalf in accordance with such plan. The Insider Trading Regulations prescribe certain requirements to be complied with in relation to such trading plans.

E. Anti-Money Laundering Legislation

Prevention of Money Laundering Act, 2002 (“**PML Act**”) came into effect from July 1, 2005. Further, SEBI *vide* its master circular no. SEBI/ HO/ MIRSD/ MIRSD-SEC-5/P/CIR/2023/022 dated February 03, 2023 read with SEBI Circular bearing no. SEBI/HO/MIRSD/MIRSDSECFATF/P/CIR/2023/091 dated June 16, 2023, has mandated that all intermediaries should formulate and implement a proper policy framework as per the guidelines on anti-money laundering measures, policy for acceptance of clients and also to adopt a Know Your Customer (“**KYC**”) policy. The intermediaries may, according to their requirements, specify additional disclosures to be made by clients for the purpose of identifying, monitoring and reporting incidents of money laundering and suspicious transactions undertaken by clients. SEBI has further issued circular no. ISD/CIR/RR/AML/2/06 dated March 20, 2006 advising all intermediaries to take necessary steps to ensure compliance with the requirement of section 12 of the PML Act requiring inter alia maintenance and preservation of records and reporting of information relating to cash and suspicious transactions to Financial Intelligence Unit-India (FIU-IND). The PML Act, Prevention of Money-laundering (Maintenance of Records of the Nature and Value of Transactions, the Procedure and Manner of Maintaining and Time for Furnishing Information and Verification and Maintenance of Records of the Identity of the Clients of the Banking Companies, Financial Institutions and Intermediaries) Rules, 2005 as amended and modified from time to time, the guidelines/circulars

issued by SEBI thereto, as amended from time to time, are hereinafter collectively referred to as ‘PML Laws’. The Trust as an AIF would have to ensure that the overall client due diligence process is followed and that the amount invested by the Contributors is through legitimate sources only and does not involve and is not designated for the purpose of any contravention or evasion of the provisions of the ITA, PML Laws, Prevention of Corruption Act, 1988 and/or any other applicable law in force and also any laws enacted by the Government of India from time to time or any rules, regulations, notifications or directions issued there under.

Further, SEBI had extended the ‘Uniform Know Your Client (KYC) Requirements for the Securities Markets’ vide SEBI Circular MIRSD/SE/Cir-21/2011 dated October 5, 2011 to Venture Capital Funds (VCFs) and thereby to AIFs and advised them to meet certain basic uniform requirements that have been prescribed by SEBI for Customer Due Diligence (CDD) or KYC. The Finance (No. 2) Act, 2019 has further amended the Prevention of Money-Laundering Act, 2002 to introduce the process to carry out digital KYC by the reporting entity. Moreover, SEBI vide its circular no. SEBI/HO/MIRSD/DOP/CIR/P/2020/73 dated April 24, 2020, has enabled online KYC processes with a view to achieve ease of doing business in the securities market, which may be completed through online / application-based KYC, in-person verification through video, online submission of officially valid document / other documents.

The Trust shall produce reliable, independent source documents or produce such information as may be required from time to time for verification of the details. The Trust shall also, after application of appropriate due diligence measures, have absolute discretion to report any transactions to FIU-IND that it believes are suspicious in nature within the purview of the PML Laws.

F. Stewardship Code

SEBI vide its circular dated December 24, 2019 and paragraph 13.3 of the SEBI Master Circular, has notified the ‘Stewardship Code’, applicable to ‘institutional investors’, i.e., all mutual funds, asset management companies, trustee companies, boards of trustees of mutual funds and all AIFs in relation to their investment in listed equities.

The Stewardship Code has identified certain principles that the institutional investors need to follow with effect from July 01, 2020. The principles and summary of guidance on the same are given below:

- a. **Principle 1: Institutional Investors should formulate a comprehensive policy on the discharge of their stewardship responsibilities, publicly disclose it, review and update it periodically:**
Stewardship responsibilities include monitoring and actively engaging with investee companies on various matters including performance (operational, financial, etc.), strategy, corporate governance (including board structure, remuneration, etc.), material environmental, social, and governance (ESG) opportunities or risks, capital structure, etc. Every institutional investor should formulate a comprehensive policy on how it intends to fulfill the aforesaid stewardship responsibilities and disclose it publicly. The policy should be reviewed and updated periodically and the updated policy should be publicly disclosed on the entity's website.

- b. **Principle 2: Institutional investors should have a clear policy on how they manage conflicts of interest in fulfilling their stewardship responsibilities and publicly disclose it:** Institutional investors should formulate a detailed policy for identifying and managing conflicts of interest. The policy shall be intended to ensure that the interest of the client/beneficiary is placed before the interest of the entity. The policy should also address how matters are handled when the interests of clients or beneficiaries diverge from each other. The conflict of interest policy formulated shall, among other aspects, address the manner in which such conflicts might arise, procedures put in place in case such conflict of interest situations arise (such as blanket bans on investments, constituting an investment committee etc.), periodic review, update and public disclosure of such policy.
- c. **Principle 3: Institutional investors should monitor their investee companies:** Institutional investors should have a policy on continuous monitoring of their investee companies in respect of all aspects they consider important which shall include performance of the companies, corporate governance, strategy, risks etc. Accordingly, the institutional investors shall formulate a policy specifying, inter alia, different levels of monitoring in different investee companies, areas of monitoring (such as company strategy, industry level monitoring, quality of company management etc.), situations that might trigger communication of insider information and procedures adopted to ensure insider trading regulations are complied with in such cases.
- d. **Principle 4: Institutional investors should have a clear policy on intervention in their investee companies. Institutional investors should also have a clear policy for collaboration with other institutional investors where required, to preserve the interests of the ultimate investors, which should be disclosed:** Institutional investors should have a clear policy identifying the circumstances for active intervention in the investee companies and the manner of such intervention. The policy should also involve regular assessment of the outcomes of such intervention. Intervention should be considered even when a passive investment policy is followed or if the volume of investment is low, if the circumstances so demand. Circumstances for intervention may, inter alia, include poor financial performance of the company, corporate governance related practices, remuneration, strategy, ESG risks, leadership issues, litigation etc. The mechanisms for intervention may include meetings/discussions with the management for constructive resolution of the issue and in case of escalation thereof, meetings with the boards, collaboration with other investors, voting against decisions, etc.
- e. **Principle 5: Institutional investors should have a clear policy on voting and disclosure of voting activity:** Institutional investors must take voting decisions in the investee company after an in-depth analysis. A comprehensive voting policy is required to be framed by the institutional investors including details of mechanisms of voting, circumstances in which voting should be for/against/abstained, disclosure of voting, etc. The voting policy should be publicly disclosed.
- f. **Principle 6: Institutional investors should report periodically on their stewardship activities:** Institutional investors shall report to their clients/ beneficiaries periodically on how they have fulfilled their stewardship responsibilities as per their policy in an easy-to-understand format. Institutional investors shall report periodically on their stewardship activities by placing a report on their website on implementation of every principle.

G. *Weapons of Mass Destruction and their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005*

The Ministry of Finance has issued an order dated January 30, 2023, detailing the procedure for implementation of Weapons of Mass Destruction and their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005 (“WMD Act”). The WMD Act seeks to prohibit unlawful manufacture, transport, or transfer of WMD (chemical, biological and nuclear weapons) and their means of delivery. Under the amendments of 2022, the scope of the WMD Act has been enhanced to include the financing of such banned activity.

Pursuant to the order dated January 30, 2023, SEBI has issued a circular dated April 26, 2023, providing directions to SEBI registered intermediaries including an AIF, restricting onboarding and freezing assets of any investor which is:

- a) owned or controlled, wholly or jointly, directly or indirectly, by such person; or
- b) held by or on behalf of, or at the direction of, such person; or
- c) derived or generated from the funds or other assets owned or controlled, directly or indirectly, by such person.

H. *Companies Act, 2013*

The Companies Act, 2013 (“**Companies Act**”) came into effect on September 12, 2013 and replaced the Companies Act, 1956. The Companies Act shall govern the Portfolio Companies in which the AIF shall invest. Under the Companies Act, a member (as defined under section 2(55) of the Companies Act) may be issued shares or debentures as per the agreement executed between them. The company shall issue shares to its members as per the provisions of section 42 and 62 of the Companies Act and rules prescribed thereunder. Equity shares issued by the company shall have voting rights or differential rights which may include dividend, voting or such other rights as may be provided under The Companies (Share Capital and Debentures) Rules, 2014. A company may issue debentures (under section 71 of the Companies Act and rules provided thereunder) with an option to convert such debentures into shares, either wholly or partly at the time of redemption. The debentures may be secured or non-secured. In the event of issue of secured debentures, the company shall comply with the provisions of rule 18 of The Companies (Share Capital and Debentures) Rules, 2014.

I. *Foreign investment laws*

A. *Foreign Investment in AIFs*

The Foreign Exchange Management (Non-Debt Instruments) Rules, 2019 (“**FEMA Rules**”) provides as follows:

Rule 2 (ae) of the FEMA Rules defines a ‘investment vehicle’ to mean an entity registered and regulated under relevant regulations framed by SEBI or any other authority designated for that purpose and shall include Real Estate Investment Trusts governed by the Securities and Exchange Board of India (Real Estate Investment Trusts) Regulations, 2014, Infrastructure Investment Trusts governed by the Securities

and Exchange Board of India (Infrastructure Investment Trusts) Regulations, 2014, AIFs governed by the Regulations.

Rule 2 (aq) of the FEMA Rules defines a ‘unit’ to mean beneficial interest of an investor in an investment vehicle.

The terms and conditions laid down in Schedule VIII of the FEMA Rules governing investment in Investment Vehicle are as follows:

- a) A person resident outside India who has acquired or purchased units in accordance with Schedule VIII of the FEMA Rules may sell or transfer in any manner or redeem the units as per regulations framed by SEBI or directions issued by RBI.
- b) An Investment vehicle may issue its units to a person resident outside India against swap of capital instruments of a special purpose vehicle proposed to be acquired by such Investment Vehicle.
- c) Investment made by an investment vehicle into an Indian entity shall be reckoned as indirect foreign investment for the investee Indian entity if the sponsor or the manager or the investment manager (i) is not owned and not controlled by resident Indian citizens or (ii) is owned or controlled by persons resident outside India.

Provided that for Sponsor or managers or investment managers organized in a form other than companies or LLPs, SEBI shall determine whether the sponsor or manager or investment manager is foreign owned and controlled.

Explanation: ‘Control’ of the AIF should be in the hands of ‘Sponsor’ and ‘managers/ investment managers’, with the general exclusion to others. In case the ‘Sponsor’ and ‘managers/ investment managers’ of the AIF are individuals, for the treatment of downstream investment by such AIF as domestic, ‘Sponsor’ and ‘managers/ investment managers’ should be resident Indian citizens.

- d) The amount of consideration shall be paid as inward remittance from abroad through banking channels or by way of swap of shares of a special purpose vehicle or out of funds held in NRE or FCNR (B) account maintained in accordance with the Foreign Exchange Management (Deposit) Regulations, 2016. The sale/maturity proceeds (net of taxes) of the units may be remitted outside India or may be credited to the NRE or FCNR (B) account of the person concerned.

In terms of Schedule IV to the FEMA Rules, a Non-resident Indian (NRI) including a company, a trust and a partnership firm incorporated outside India and owned and controlled by NRIs may purchase/ contribute on non-repatriation basis, the units issued by an investment vehicle without any limit, either on the stock exchange or outside it. Any such investment shall be deemed to be domestic investment at par with the investment made by residents.

SEBI vide Chapter 4 of the SEBI Master Circular, prescribing guidelines for foreign investment in alternative investment funds. As per the circular, at the time of onboarding investors, the Investment Manager must ensure the following:

- a) Foreign investor of the Scheme is a resident of the country whose securities market regulator is a signatory to the International Organization of Securities Commission's Multilateral Memorandum of Understanding or a signatory to the bilateral Memorandum of Understanding with SEBI.
- b) The investor, or its underlying investors contributing 25% or more in the corpus of the investor or identified on the basis of control, is not the person(s) mentioned in the Sanctions List notified from time to time by the United Nations Security Council and is not a resident in the country identified in the public statement of Financial Action Task Force as –
 - (i). a jurisdiction having a strategic Anti-Money Laundering or Combating the Financing of Terrorism deficiencies to which counter measures apply; or
 - (ii). a jurisdiction that has not made sufficient progress in addressing the deficiencies or has not committed to an action plan developed with the Financial Action Task Force to address the deficiencies.

B. Foreign investment laws in general

Currently, the Scheme is not foreign owned or controlled. However, if the Scheme becomes foreign owned or controlled then the following provisions shall be applicable:

An Indian entity that has received indirect foreign investment shall comply with the entry route, sectoral caps, pricing guidelines and other attendant conditions as applicable for foreign investment.

Downstream investment that is treated as indirect foreign investment for the investee entity shall be subject to the following conditions, namely:-

- a. downstream investment shall have the approval of the board of directors as also a shareholders' agreement, if any;
- b. for the purpose of downstream investment, the Indian entity making the downstream investment shall bring in requisite funds from abroad and not use funds borrowed in the domestic markets and the downstream investments may be made through internal accruals and for this purpose, internal accruals shall mean profits transferred to reserve account after payment of taxes. Further raising of debt and its utilization shall be in compliance with FEMA and rules or regulations made thereunder.

Equity instrument of an Indian company held by another Indian company which has received foreign investment and is not owned and not controlled by resident Indian citizens or is owned or controlled by persons resident outside India may be transferred to,

- a. a person resident outside India, subject to the reporting requirements as specified by the RBI.
- b. a person resident in India subject to adherence to pricing guidelines;
- c. an Indian company which has received foreign investment and is not owned and not controlled by resident Indian citizens or owned or controlled by persons resident outside India.

The first level Indian company making downstream investment shall be responsible for ensuring compliance with the provisions of these rules for the downstream investment made by it at second level and so on and so forth and such first level company shall obtain a certificate to this effect from its statutory auditor on an annual basis and such compliance of these rules shall be mentioned in the director's report in the annual report of the Indian company. In case statutory auditor has given a qualified report, the same shall be immediately brought to the notice of the regional office of the RBI in whose jurisdiction the registered office of the company is located and shall also obtain acknowledgement from the registered office.

J. Other regulatory considerations

1) The Insolvency and Bankruptcy Code, 2016

The Insolvency and Bankruptcy Code, 2016 (“**Insolvency Code**”) seeks to provide for insolvency resolution of corporate persons, partnership firms and individuals in a time bound manner for maximization of value of assets of such persons, to promote entrepreneurship, availability of credit and balance the interests of all the stakeholders.

Part II of the Insolvency Code applies to matters relating to insolvency and liquidation of corporate debtors where the minimum default INR 1,00,00,000 (Indian Rupees One Crore). The Insolvency Code defines a corporate debtor as a corporate person who owes a debt to any person.

The Insolvency Code proposes 2 (two) processes for insolvency resolution (a) the insolvency resolution process, and (b) liquidation process. A financial creditor, an operational creditor or the corporate debtor itself, may apply for initiating corporate insolvency resolution process before the adjudicating authority in respect of the corporate debtor. The adjudicating authority shall within a period of 14 (fourteen) days of receipt of the application, either admit or reject the application for corporate insolvency process. Upon admission of the corporate insolvency process, the adjudicating authority shall appoint an interim resolution professional for the management of the affairs of the corporate debtor as specified in the Insolvency Code. The interim resolution professional shall constitute a committee of creditors, amongst other things. The interim resolution professional shall convene a meeting of the committee of creditors after collating all claims received against the corporate debtor. The committee of creditors shall appoint the resolution professional in the first meeting.

The resolution professional shall conduct the corporate insolvency resolution process in accordance with the procedure specified in the Insolvency Code. In the event, the adjudicating authority does not receive a resolution plan before the expiry of the insolvency resolution process period or rejects the resolution plan for non-compliance with the requirements set out in the Insolvency Code, the adjudicating authority shall pass an order for the liquidation of the corporate debtor. The adjudicating authority for corporate insolvency resolution process would be the NCLT.

The Insolvency Code also provides for a fast track corporate insolvency resolution process for corporate debtors with assets and income below a level as may be notified by the Central Government or with such class of creditors or such amount of debt as may be notified by the Central Government or such other

category of corporate persons as may be notified by the Central Government. Such fast track corporate insolvency resolution process shall be completed within a period of 90 (ninety) days from the date of admission of an application for initiating corporate insolvency resolution process by the NCLT.

2) The Competition Act, 2002

The Competition Act, 2002 (“**Competition Act**”) provides for the establishment of a ‘Commission’ to prevent practices having adverse effect on competition, to promote and sustain competition in markets, to protect the interests of consumers and to ensure freedom of trade carried on by other participants in markets, in India. As per the provisions of the Competition Act, no enterprise or association of enterprises or person or association of persons shall enter into any agreement in respect of production, supply, distribution, storage, acquisition or control of goods or provision of services, which causes or is likely to cause an appreciable adverse effect on competition within India. Further, presence of appreciable adverse effect on competition shall be presumed where any agreement entered into between enterprises or associations of enterprises or persons or associations of persons or between any person and enterprise or practice carried on, or decision taken by, any association of enterprises or association of persons, including cartels, engaged in identical or similar trade of goods or provision of services, which:

- a. directly or indirectly determines purchase or sale prices;
- b. limits or controls production, supply, markets, technical development, investment or provision of services;
- c. shares the market or source of production or provision of services by way of allocation of geographical area of market, or type of goods or services, or number of customers in the market or any other similar way;
- d. directly or indirectly results in bid rigging or collusive bidding, shall be presumed to have an appreciable adverse effect on competition.

Provided that nothing contained under section 3(3) of the Competition Act shall apply to any agreement entered into by way of joint ventures if such agreement increases efficiency in production, supply, distribution, storage, acquisition or control of goods or provision of services.

THE INFORMATION PRESENTED ABOVE IS A BROAD DISCUSSION ON THE IMPORTANT LEGAL AND REGULATORY CONSIDERATIONS APPLICABLE TO THE SCHEME, THE INVESTMENT MANAGER AND/OR SPONSOR/S AND THE INVESTOR. FOR A COMPREHENSIVE UNDERSTANDING OF THE POSITION OF LAW, THE READER IS DIRECTED TO THE ORIGINAL TEXT OF THE STATUTES, REGULATIONS, RULES OR GUIDELINES MENTIONED ABOVE AND TO SEEK APPROPRIATE LEGAL COUNSEL IN CONNECTION THEREWITH.

3. Taxation of the Scheme

The following discussion summarizes certain Indian tax considerations generally relevant to prospective Investors considering making an investment in the Fund. The discussion does not purport to be a complete

analysis of all relevant tax considerations; nor does it purport to be a complete description of all potential tax costs, incidence and risks inherent in making an investment in the Fund. The discussion also does not deal with all tax considerations that may be relevant to specific Investors or classes/ Subclasses of Investors especially in light of their unique circumstances and their particular tax status. Neither the Fund, the Investment Manager, the Sponsor nor any other Person involved in the preparation of this Memorandum accepts any responsibility for any tax effects or liabilities resulting from the purchase, ownership or disposition of shares/ any other securities by the Fund.

Accordingly, each prospective Investor should consult its own professional adviser as to the tax consequences of an investment in the Fund. It is the responsibility of all prospective Investors interested in subscribing to Units in the Fund to inform themselves as to any income or other tax consequences arising, as well as any foreign exchange or other fiscal or legal restrictions that are relevant in connection with the acquisition, holding or disposition of Units in the Fund. Prospective Investors should strictly consult their own tax advisors concerning their individual tax consequences of their particular situations.

In addition, the comments herein are not binding on the Indian tax authorities and there can be no assurance that the authorities will not take a position contrary to any of the comments herein.

The following summary is based on the law and practice of the ITA read with Income-tax Rules, 1962 (ITR). The ITA is amended every year by the Finance Act of the relevant year. The tax rates provided in this Memorandum are as per the current provisions of the ITA. The tax rates mentioned herein are the rates in force for financial year 2023-24 i.e. assessment year 2024-25. The following summary has been updated for any amendments proposed by the Finance Act, 2023.

Please note that for the purpose of Tax Considerations in this Section, the term “Beneficiaries”, “Investors”, “Unit Holders” and “Contributors” have been used interchangeably.

Basic framework

The basis of charge of Indian income-tax depends upon the residential status of the taxpayer during a tax year, as well as the nature of the income earned. The Indian tax year runs from April 1 of every year to March 31 of the subsequent year. A person who is an Indian tax resident is liable to taxation in India on worldwide income, subject to certain tax exemptions/ deductions, which are available under the ITA. A person who is treated as non-resident for tax purposes is generally subject to tax in India only on such person’s Indian-sourced income.

Taxation of the Fund

(i) Tax pass through status of the Fund

The Fund has been set up in the form of a determinate contributory trust under the Indian Trusts Act, 1882 and is registered with SEBI as a Category II AIF under AIF Regulations.

The taxability of Category II AIF is governed by provisions of section 10(23FBA), section 10(23FBB), section 194LBB and section 115UB (Chapter XII – FB - Special Provisions Relating to Tax on Income of Investment Funds and Income Received from such Funds) of the ITA.

- As per section 10(23FBA) of the ITA, income of an investment fund, other than income chargeable under the head profit and gains from business and profession, shall be exempt from tax in its hands.
- Further, as per section 115UB (1) of the ITA, any income accruing or arising to, or received by an investor of an investment fund (other than business income), out of investments made in the investment fund, shall be chargeable to income-tax in the same manner as if it were income accruing or arising to, or received by such person, had the investments made by the investment fund been made directly by the investor.
- As per section 10(23FBB) read with section 115UB of the ITA, any business income, accruing or arising to or received by Investors of Fund, shall be exempt in the hands of the Investors and taxed at Maximum Marginal Rate (“MMR”) of 30% (exclusive of applicable surcharge and health and education cess) in the hands of Fund.
- Further, as per section 115UB of the ITA:
 - Income paid or credited by Fund shall be deemed to be of the same nature and in the same proportion in the hands of the Investors as if it had been received by or had accrued or arisen to Fund.
 - Income accruing or arising to, or received by, Fund, during a particular financial year, if not paid or credited to the Investors shall be deemed to be credited to the account of the Investors on the last day of the financial year in the same proportion in which such Investors would have been entitled to receive the income, had it been paid in the same financial year.
- Income received by Fund would not be subject to withholding tax requirements (provided the income is not in the nature of business income).
- The Fund would mandatorily be required to file its return of income and also furnish the details of various components of income, etc. in the prescribed forms (i.e. Form 64C and Form 64D) to Investors and the tax authorities.
- The taxability of individual income streams (other than business income) in the hands of the Investors on a pass-through basis is discussed in section “Taxation of individual income components” below.

(ii) Withholding provisions applicable in the hands of Fund

- As per section 194LBB of the ITA, Fund shall deduct tax @ 10% on all income (other than business income) payable to resident Investors and at rates in force (i.e. at a rate under the annual Finance Act or at a rate applicable under the relevant DTAA, whichever is more beneficial) for income payable to non-resident Investors. Investors can obtain NIL/ lower withholding certificates from the tax authorities to receive income from Fund without/ at reduced tax withholding rate.
- Further, with respect to business income, since the AIF is taxable at MMR and corresponding income is exempt in the hands of investors under section 10(23FBB) of the ITA, no tax is required to be withheld on distribution of business income of the Fund.

(iii) Withholding at higher rate

- The income tax provisions provide that where a recipient of income (which is subject to withholding tax) does not have a permanent account number ('PAN'), then tax is required to be deducted by the payer at the higher of the following, i.e. rates specified in the relevant provisions of the ITA, or rates in force or at 20%.
- Accordingly, in case Unitholders do not have a PAN, then tax is required to be withheld by Trust at a rate which is higher of following i.e. rates specified in the relevant provisions of ITA or rates in force or at 20%.
- However, based on the CBDT notification no. 53/2016 dated June 24, 2016, the above-mentioned provisions of the ITA are not applicable to non-residents where they provide certain specified details.

(iv) Carry forward of losses

- In case the Fund incurs any losses, only the business losses would be eligible to be carried forward and set-off by the Fund at the Fund level. The prescribed conditions laid down under the ITA for carry forward and set off of losses should be applicable to the Fund in this regard.
- Losses other than business loss shall be allowed to be carried forward and set-off by the unitholders while computing the total tax liability, provided that the units of the Fund are held for a period of more than 12 months. Further, such loss cannot be carried forward at Fund level even if the loss is not passed onto the Investors on account of non-fulfilment of condition of holding the units for at least 12 months. The eligible period for carry forward of losses would depend on the nature of loss

(v) Advance tax

- The Unitholders are required to discharge the taxes (net of the taxes withheld by the Fund) on their respective share of income from the Fund at the applicable rates. The Unitholders are therefore required to compute the advance tax liability in the manner as prescribed under

the ITA and discharge the advance tax liability, if any, on their respective share of income from the Fund.

- Any shortfall or delay in discharging the advance tax liability by the Unitholders may attract interest implications under Sections 234B and 234C of the ITA.

Taxation on individual income components

Where the income earned by the Fund is not in the nature of business income, the same shall be taxable in the hands of the Investors in the same manner as if it were income of the Investors from investments made directly in the Portfolio Entities. In such a case, the income will be taxable at the tax rates provided under the ITA (or DTAAs, to the extent it is more beneficial, in case of non-resident investors, subject to Indian General Anti Avoidance Rules and provisions of Multilateral Instrument)).

The Fund is expected to earn the following streams of income from its investments in the Portfolio Entities (a) interest, (b) dividend; (c) capital gains on sale of securities. The tax implications of the same under the ITA are discussed below.

Interest

Classification of interest income is a fact driven exercise. Whether interest income would be assessable as business income or income from other sources would depend upon the nexus it has with the assessee's activities. Given the investment objective of the Fund, interest income ought to be characterised as income from other sources.

Interest income shall be taxable in the hands of the Investors as follows:

Particulars	Tax rate*
Non-resident shareholders other than foreign companies	Up to 30%
Resident shareholders (other than companies and firm/ LLP)	As per applicable slab rates
Firms/ LLPs	30%
Indian companies	22% ⁴ / 25% ⁵ / 30%
Foreign Companies	40%

⁴ The tax rates for domestic companies exercising the option under Section 115BAA of the ITA shall be 22% (plus surcharge at the rate of 10% and health and education cess at the rate of 4%), subject to fulfilment of conditions prescribed in the said sections. Further, the provisions related to Minimum Alternate Tax (MAT) shall not apply where the Company has opted for taxation under section 115BAA.

⁵ If the total turnover of the domestic company does not exceed INR 4000 million during financial year 2021-22, a concessional rate of 25% (plus applicable surcharge and health and education cess) shall apply.

* to be increased by applicable surcharge and health and education cess

Dividend

The Finance Act, 2020 has removed the provisions relating to levy of Dividend Distribution Tax and section 115BBDA (additional income-tax at 10% payable by certain assesses on dividend income in excess of INR 10,00,000) and the classical system of taxing dividends in the hands of the shareholders has been reintroduced.

Dividend income shall now be taxable in the hands of the shareholders as under:

Particulars	Tax rate*
Non-resident shareholders (on a gross basis i.e. without allowing any deduction for expenses)	20% (subject to DTAA)
Resident shareholders (other than companies and firm/ LLPs)	Applicable slab rates
Firms/ LLPs	30%
Indian companies	22% ⁹ / 25% ¹⁰ / 30%

* to be increased by surcharge and health and education cess

Where the dividend income has been offered to tax on net basis, a deduction for interest expense incurred to earn dividend income is allowed and has been restricted to 20% of the dividend income.

Capital Gains on sale of securities

Gains arising from the transfer of securities held in the Portfolio Entities may be treated either as “capital gains” or as “business income” for tax purposes, depending upon whether such securities were held as a capital asset or trading asset (i.e. stock-in-trade). Historically, the issue of characterisation of gains (whether taxable as business income or capital gains) has been a subject matter of litigation with the tax authorities. There have been judicial pronouncements on whether gains from transactions in securities should be taxed as “business profits” or as “capital gains” depending on the specific facts of the case and having regard to the guidance issued by the tax authorities.

The Central Board of Direct Taxes (CBDT) has provided guidance (vide its Instruction: No. 1827, dated 31-8-1989 and Circular No. 4/2007, dated 15-6-2007) in respect of characterisation of gains as either capital gains or business income. Following are the key illustrative factors indicative of capital gains characterisation (not business income):

- i. Intention at the time of acquisition – capital appreciation
- ii. Low transaction frequency
- iii. Long period of holding
- iv. Shown as investments in the books of accounts (not stock in trade)
- v. Use of owned funds (as opposed to loan) for acquisition
- vi. Main object in constitution document is to make investments
- vii. Higher level of control over the investee company

Further, CBDT has issued Circular 6 of 2016 dated 29 February 2016 and instruction (F.No. 225/12/2016/ITA.II) dated 2 May 2016 in respect of listed shares/ securities and unlisted shares respectively, dealing with treatment of surplus arising on the transfer with a view to reduce litigation and maintain consistency in approach.

Listed shares/ securities

In respect of listed shares/ securities, the CBDT has provided that:

- where the assessee itself treats listed shares/securities as 'stock in trade', irrespective of the period of holding, income from transfer to be treated as business income;
- in case of listed shares/securities held for more than 12 months period immediately preceding date of transfer, the tax authorities shall not dispute the stand taken by assessee of treating such income as capital gains. However, this stand once taken shall remain applicable in subsequent years also; and
- in all other cases, guidance under the existing CBDT circulars shall apply.

The aforesaid principles shall not apply in cases where genuineness of transaction itself is in dispute.

Unlisted shares

The CBDT in its circular for unlisted shares has provided that the income arising from transfer of unlisted shares would be considered under the head 'capital gains', irrespective of period of holding except in the following situations where the Assessing Officer would take an appropriate view:

- the genuineness of transactions in unlisted shares itself is questionable;
- the transfer of unlisted shares is related to issue pertaining to lifting of corporate veil;
- the transfer of unlisted shares is made along with the control and management of underlying business.

Further, the CBDT has issued a clarification dated 24 January 2017 stating that the exception regarding transfer of unlisted shares along with 'control and management of the underlying business' shall not be applicable to Category I and Category II AIFs.

The Fund intends to organize itself in a manner that it complies with the conditions and parameters mentioned in the CBDT circular and instructions, such that the income from sale of shares and securities in the Portfolio Entities should be categorized as capital gains.

If the gains are characterized as capital gains, taxability will be as follows:

Depending on the period for which the securities are held, the gains could be taxable as short-term capital gains or long-term capital gains.

Type of instrument	Period of holding immediately preceding the date of transfer	
Listed securities (other than units), units of UTI, units of equity oriented mutual fund or a zero coupon bond	More than 12 months	Long-term Capital Asset
	12 months or less	Short-term Capital Asset
Unlisted shares	More than 24 months	Long-term Capital Asset
	24 months or less	Short-term Capital Asset
Other securities	More than 36 months	Long-term Capital Asset
	36 months or less	Short-term Capital Asset

Tax Rates in case of Residents ⁶for FY 2023-24 under domestic laws

Nature of Income	Tax rate for beneficiaries who are resident companies, firms (%)	Tax rate for any other resident beneficiaries (%)
Short-term capital gains on transfer of (i) listed equity shares on a recognised stock exchange or (ii) to be listed equity shares sold through offer for sale, or (iii) units of equity oriented mutual fund (iv) units of a business trust and on which Securities Transaction Tax (STT) has been paid	15 (without indexation)	15 (without indexation)
Other short-term capital gains	22 ⁷ /25 ⁸ /30 (without indexation)	As per slab rates- highest rate being 30% (without indexation)
Long-term capital gains on transfer of (i) listed equity shares on a recognised stock exchange, (ii) units of equity oriented mutual fund (iii) units of a business trust on which STT has been paid for gains exceeding INR 0.1 million ⁹	10 (without indexation)	10 (without indexation)
Long-term capital gains on transfer of listed bonds or listed debentures	10 (without indexation) (Refer note below)	10 (without indexation) (Refer note below)

⁶ The rates in the table will be increased by applicable surcharge and health and education cess.

⁷ 22% (plus applicable surcharge and health and education cess) subject to satisfying conditions enlisted in Section 115BAA of the ITA in case of domestic companies.

⁸ 25% (plus applicable surcharge and health and education cess) in case the turnover of the resident corporate investor does not exceed INR 4000 million during financial year 2021-22.

⁹ Section 112A of the ITA provides for taxation of long-term capital gains exceeding Rs. 1,00,000 (computed without considering indexation benefit and foreign exchange fluctuation benefit) arising on listed equity shares, units of equity oriented mutual fund, units of a business trust at 10% (plus applicable surcharge and health and education cess). Further, STT should be paid at the time of acquisition (except in some notified acquisitions with respect to equity shares, final notification has been issued in this regard on 1st October 2018) and at the time of sale of the equity share and in case of unit of an equity oriented fund or a unit of a business trust at the time of transfer of such unit .

Nature of Income	Tax rate for beneficiaries who are resident companies, firms (%)	Tax rate for any other resident beneficiaries (%)
Long-term capital gains on transfer of listed securities (including SRs) [other than units of mutual funds, listed bonds and listed debentures] and on which STT has not been paid	10 (without indexation) or 20 (with indexation), whichever is lower	10 (without indexation) or 20 (with indexation), whichever is lower
Long-term capital gains on transfer of units of mutual fund (listed or unlisted) other than equity-oriented mutual fund	20 (with indexation)	20 (with indexation)
Long-term capital gains on transfer of unlisted bonds or unlisted debentures	20 (without indexation)	20 (without indexation)
Long-term capital gains on transfer of unlisted securities [other than unlisted bonds and unlisted debentures]	20 (with indexation)	20 (with indexation)

Note: The Indian tax authorities may seek to apply a higher rate of 20% (plus applicable surcharge and health and education cess) without indexation on long-term capital gains arising on sale of listed bonds and debentures.

II. Tax Rate in case of Non-residents for FY 2023-24 under domestic laws¹⁰

Nature of Income	Tax rate for beneficiaries who are foreign companies (%)	Tax rate for any other foreign beneficiaries other than companies (%)

¹⁰ The rates in the table will be increased by applicable surcharge and health and education cess.

Short-term capital gains on transfer of (i) listed equity shares through the recognised stock exchange or (ii) to be listed equity shares sold through offer for sale or (iii) units of equity oriented mutual fund (iv) units of a business trust, and on which STT has been paid	15 (without indexation)	15 (without indexation)
Other short-term capital gains	40 (without indexation)	As per applicable slab rates- highest rate being 30% (without indexation)
Long-term capital gains on transfer of (i) listed equity shares through the recognised stock exchange or (ii) to be listed equity shares sold through offer for sale or (iii) units of equity oriented mutual fund (iv) units of a business trust and on which STT has been paid for gains exceeding INR 0.1 million ¹¹	10 (without indexation and foreign exchange fluctuation effect)	10 (without indexation and foreign exchange fluctuation effect)
Long-term capital gains on transfer of listed bonds / listed debentures or other listed securities (other than units of mutual fund) on which STT has not been paid	10 (without indexation) (Refer note below)	10 (without indexation) (Refer note below)
Long-term capital gains on transfer of unlisted securities	10 (without indexation and foreign currency fluctuation effect)	10 (without indexation and foreign currency fluctuation effect)
Long-term capital gains on transfer of units of mutual fund (listed) other than equity-oriented mutual fund	20 (with indexation)	20 (with indexation)

Note –Indian tax authorities may seek to apply a higher rate of 20% (plus applicable surcharge and health

¹¹ Section 112A of the ITA provides for taxation of long-term capital gains exceeding Rs. 1,00,000 (computed without considering indexation benefit and foreign exchange fluctuation benefit) arising on listed equity shares, units of equity oriented mutual fund, units of a business trust at 10% (plus applicable surcharge and health and education cess). Further, STT should be paid at the time of acquisition (except in some notified acquisitions with respect to equity shares, final notification has been issued in this regard on 1st October 2018) and at the time of sale of the equity share and in case of unit of an equity oriented fund or a unit of a business trust at the time of transfer of such unit.

and education cess) on long-term capital gains arising on sale of listed securities (on which STT is not paid).

If gains are characterized as business income:

If gains arising from the transfer of securities held in the portfolio companies are categorized as business income of the fund, such income of fund (net of eligible expenses) shall be taxable at MMR. MMR is defined as the rate of income-tax (including surcharge on income-tax, if any) applicable in relation to the highest slab of income in case of an individual, association of persons or, as the case may be, body of individuals as specified in the Finance Act of the relevant year. The rate of tax specified currently is 30% (thirty per cent) (exclusive of surcharge and health and education cess).

Redemption of Debentures:

Characterization of premium earned at the time of redemption of debentures is a matter of dispute. Depending on the terms of the instrument/ security, the Fund may propose to characterize the redemption premium on debentures as interest or capital gains on the specific advice obtained from its tax consultant. Depending on the classification adopted by the Fund, the taxability of the premium could be either as 'Income from Other Sources 'or 'Capital Gains '(as discussed above). Further, the characterization of premium on redemption of debentures under the applicable DTAA for the Investors would depend on the manner in which "interest" is defined in the applicable DTAA and as such the domestic law classification may not be the basis of taxation under the DTAA.

Tax implications on conversion of convertible debentures

Conversion of debentures of a company into shares of that company is not regarded as a transfer under the ITA. Hence, no capital gains would arise in the hands of the Fund/ investors on conversion of convertible debentures of a company into equity shares. At the time of transfer of the equity shares received on conversion, the cost of acquisition of the convertible debenture would be deemed to be the cost of acquisition of such equity shares. The CBDT, vide Notification No. 18/2016 dated 17 March 2016 effective from 1 April 2016, provides that in computing the period of holding of a share or debenture of a company, received on conversion of a bond or debenture, debenture-stock or deposit certificate of that company which is exempt as per the provisions of section 47(x) of the ITA, the period for which such convertible instrument was held by the taxpayer prior to the conversion shall also be included.

Tax implications on conversion of preference shares

Conversion of preference shares of a company into shares of that company is not regarded as a transfer under the ITA. Hence, no capital gains would arise in the hands of Fund/ investors on conversion of preference shares of a company into equity shares. The Finance Act, 2017 has also made corresponding amendments to Section 2(42A) and Section 49 of the ITA to provide for determination of holding period

and cost of acquisition of the equity shares receivable on conversion of the preference shares. The holding period for the resulting equity shares include the holding period of the preference shares and the cost of acquisition of the resulting equity shares is the cost of acquisition of the preference share in relation to which the equity share was acquired.

Buy-Back of Shares

On the distribution of income by way of buy-back of shares of a Portfolio Entity if the buy-back is in accordance with any law, for the time being in force, the Portfolio Entity will be liable to pay tax at the rate of 20% (plus applicable surcharge and health and education cess). The tax will be payable on the difference between consideration paid by the company for purchase of its own shares and the amount that was received by the company at the time of issue of such shares.

Further, buy-back rules have been notified for providing the manner of determination of the “amount received by the company” in various circumstances including shares issued under tax neutral re-organisation.

Income arising on account of such buy-back of shares would be exempted of tax in the hands of Fund and the investors. The Finance (No. 2) Act, 2019 has extended the levy of buy-back tax to include the listed companies and the same shall be applicable from 5 July 2019.

Taxation of Market linked Debentures

The Finance Act 2023 has introduced a new section 50AA to treat the full value of the consideration received or accruing as a result of the transfer or redemption or maturity of the “Market Linked Debentures” as reduced by the cost of acquisition of the debenture and the expenditure incurred wholly or exclusively in connection with transfer or redemption of such debenture, as capital gains arising from the transfer of a short term capital asset.

The Section define MLDs as 'a security by whatever name called, which has an underlying Principal component in the form of a debt security and where the returns are linked to the market returns on other underlying securities or indices, and includes any security classified or regulated as a market linked debenture by the Securities and Exchange Board of India.'

Basis the above, any amount accruing to a fund as a result of transfer, redemption or maturity of MLDs (as defined above) as reduced by cost of acquisition and transfer cost (excluding STT) shall be deemed to be in the nature of short term capital gains.

In the current case, considering that the AIF is a pass-through trust structure, the short-term capital gains arising on transfer/ redemption/ maturity of MLDs shall be taxable in the hands of the investors at normal tax rates applicable to them.

Gains from sale of Units of the fund

Gains on sale of Units of the Fund may be taxable directly in the hands of investors. The Indian income-tax implications shall depend on the characterization of the gains as “capital gains” or “business income”.

Issue with respect to TDS remittance in case of transfer of units where units are transferred during the quarter and distribution/payout is made at the end of the quarter:

Here, the interest income of upto the date of transfer will accrue in the hands of transferor and therefore TDS shall be deducted and would be deposited in transferor's PAN by the AIF. This TDS is to be recovered from transferee as no income would actually be paid to transferor.

On transfer, transferee purchases the units from transferor at NAV on date of transfer after adjusting for the TDS recoverable from transferor. In this case, the fund shall quote NAV net of TDS recoverable to the investors for transfer cases.

Upon distribution, the fund shall distribute entire income accrued during the quarter to transferee after deducting the TDS on income for the entire quarters. In this case, since transferee has already recovered TDS portion of income accrued to transferor by deducting it from purchase price, he is left with a net TDS deduction on income accruing to him.

Income on receipt of securities at lower than fair value

As per section 56(2)(x) of the ITA, if any property is received without consideration, whose FMV exceeds INR 50,000 (Indian Rupees Fifty Thousand) or for a consideration which is lower than the FMV by more than INR 50,000 (Indian Rupees Fifty Thousand), the aggregate Fair Market Value (FMV) of such property as exceeds such consideration will be taxable in the hands of the recipient as “Income from other sources”. The CBDT has issued rules which provide the manner in which ‘fair market value’ would be ascertained.

Further, the Finance Act, 2021, has amended the definition of securities under the Securities Contracts (Regulation) Act, 1956 to include units of an AIF. Therefore, tax implications on issue of units and transfer of units of the AIF may require evaluation under section 56(2)(x) of the Act in the hands of the investors.

Investment in overseas securities

CBDT has issued a Circular no 14/ 2019 dated 3 July 2019 clarifying that any income in the hands of the non-resident investor from offshore investments routed through the Category I or Category II AIF, being a deemed direct investment outside India by the non-resident investor should not be taxable in India under

section 5(2) of the ITA. The circular also clarifies that any loss arising from the offshore investment relating to the non-resident investor in Cat I or II AIF, shall not be allowed for set-off or be carried forward for set-off against the income of such AIFs. However, the Circular does not cover a situation where the offshore investments derive substantial value from assets located in India i.e. the Indirect transfer provisions are applicable on such transfer of shares of offshore entity (refer discussion on 'Provisions related to Indirect Transfer' below). The capital gains tax implications in case of applicability of indirect transfer of shares shall be as discussed above and subject to availability of benefits, if any, under the applicable DTAA.

Transfer to be at fair value

As per section 50CA of the ITA, where an unlisted share is sold for a value lesser than its fair market value, then the fair market value shall be deemed to be the sale consideration and the capital gains will be determined accordingly. The CBDT has issued rules which provide the manner in which 'fair market value' would be ascertained. Where the actual sales consideration is disregarded and the fair market value, as computed under section 50CA read with the rules, is considered for determination of capital gains, the investors may be taxable on an amount that may be greater than gains actually realised. Further, the CBDT has recently issued a notification stating certain transactions on which the above provisions should not apply.

Other tax provisions

a. Tax Residency Certificate (TRC)

In order to be eligible to claim the benefits of the DTAA, the offshore investors, if any, should have a TRC issued by the tax authorities of his country of residence and must be renewed on an annual basis.

The ITA provides that a non-resident shall not be entitled to claim any relief under a DTAA, unless a TRC, of it being a resident in any country outside India or specified territory outside India, as the case may be, is obtained by it from the government of that country or specified territory. Further, additional documents and information (as may be prescribed) should also be provided, if called upon.

Pursuant to the same, the CBDT issued a notification dated 1 August 2013 amending Rule 21AB of the ITR prescribing the additional information required to be furnished in form 10F by non-residents along with the TRC.

The details required to be furnished are as follows:

- Status (individual, company, firm, etc.) of the assessee;
- Nationality (in case of an individual) or country or specified territory of incorporation or registration (in case of others);
- Assessee's tax identification number in the country or specified territory of residence and in case there is no such number, then, a unique number on the basis of which the person is identified by the Government of the country or the specified territory of which the assessee claims to be a resident;
- Period for which the residential status, as mentioned in the TRC, is applicable; and

- Address of the assessee in the country or specified territory outside India, during the period for which the certificate is applicable.

The CBDT has clarified that the additional information prescribed may not be required to be provided if it already forms a part of the TRC.

The assessee (i.e. non-resident) shall be required to keep and maintain the documents that are necessary to substantiate the above information. Further, an income-tax authority may ask for the said documents from the assessee in relation to a claim of benefit under the DTAA.

b. Specific points on tax withholding

Withholding at higher rate in case of non-availability of PAN

Section 206AA of the ITA provides that where a recipient of income (which is subject to withholding tax) does not have a Permanent Account Number (PAN), then tax is required to be deducted by the payer at higher of the following i.e. rates specified in relevant provisions of the ITA, or rates in force or at 20%/5%¹² (plus applicable surcharge and health and education cess). The ITA provides that provisions of section 206AA shall not apply to non-residents in respect of payment of interest on long-term bonds under section 194LC and any other payment subject to such conditions as may be prescribed.

Further, as per Rule 37BC of the Rules, the provisions of section 206AA of the ITA shall not apply in respect of payments in the nature of interest, royalty, fees for technical services, dividends and payments on transfer of any capital asset, if the deductee, being a non-resident, not being a company or a foreign company furnishes the following information to the payer of such income:

- Name, email-id, contact number;
- Address in the country or specified territory outside India of which the deductee is a resident;
- A certificate of his being resident in any country or specified territory outside India from the government of the other country or specified territory if the law of that country or specified territory provides for issuance of such certificate;
- Tax Identification Number in the country or specified territory of his residence and in a case, no such number is available, then a unique number on the basis of which the deductee is identified by the Government of that country or the specified territory of which he claims to be a resident.

Withholding at higher rates due to non-filing of income-tax return

The Finance Act, 2021 has introduced section 206AB, which imposes a higher withholding rate for non-filers of income tax return. The section shall apply in case of any person (other than a non-resident who

¹² The Finance Act, 2021 substituted the rate of 20% with 5% in cases where tax is required to be deducted under section 194Q of the ITA,

does not have a permanent establishment in India) who has not filed the return of income for the previous two assessment years relevant to the previous year immediately preceding the financial year in which tax is required to be deducted, for which the time limit for furnishing the return of income under sub-section (1) of section 139 has expired and the aggregate of tax deducted at source in his case is rupees fifty thousand or more in the said previous year. The withholding tax rates in case of such person shall be higher of the following:

- (i) at twice the rate specified in the relevant provision of the ITA; or
- (ii) at twice the rate or rates in force; or
- (iii) at the rate of 5%.

Further, where the provisions of section 206AA of the ITA are applicable to such person, tax shall be deducted at higher of the two rates provided in section 206AB and in section 206AA of the ITA.

Withholding implications on purchase of goods

The Finance Act, 2021 has introduced a new withholding provision (section 194Q of the ITA) wherein a buyer while making payment to a resident seller for the purchase of goods having value exceeding INR 5 million in the previous year is required to withhold taxes at the rate of 0.1%.

“Buyer” for the purpose of section 194Q of the ITA has been defined to mean means any person whose total sales, gross receipts or turnover from the business carried on by him exceed INR 100 million during the financial year immediately preceding the financial year in which the purchase of goods is carried out, not being a person, as the Central Government may, by notification in the Official Gazette, specify for this purpose, subject to such conditions as may be specified therein.

Please note that the above provisions should not be applicable where:

- Transaction is subject to tax deduction at source under any other provision of the ITA; and
- Transaction is subject to Tax Collected at Source (“TCS”) under the provisions of the ITA, other than TCS on sale of goods

Section 194Q of the ITA is effective from 1 July 2021. Where the AIF qualifies as a buyer and purchases shares from counter-party, it shall be required to withhold TDS at 0.1% on the consideration paid to the resident counter-party.

Tax Collected at Source (TCS) on sale of goods

With effect from 1 October 2020, where the seller of goods receives any amount as consideration for sale of goods of the value exceeding INR 5 million, such seller is required to collect from buyer a sum equal to 0.1% of the sale consideration, exceeding INR 5 million. This shall not be applicable in case the buyer is liable to deduct taxes at source from the payments made to the seller and has deducted such amount.

‘Seller’ for the purpose of TCS provisions under section 206C(1H) of the ITA has been defined to mean a person whose total sales, turnover or gross receipts from the business carried on by him exceeds INR

100 million during the financial year immediately preceding the financial year in which sale of goods is carried out, not being a person as the Central Government may, by notification in the Official Gazette, specify for this purpose, subject to such conditions as may be specified therein.

‘Goods’ for the purpose of TCS provisions could include shares and securities. Circular No 17 of 2020 issued by the CBDT on 29 September 2020 clarifies that the aforesaid TCS provisions shall not apply to transactions in securities and commodities which are traded through the recognised stock exchanges. However, the aforementioned circular did not address the applicability of the provisions to unlisted securities, shares and/or off-market transactions in listed securities and issue and redemption of units of AIF.

Where the AIF purchases shares and counter party sellers collect TCS from the AIF, the said TCS can be reclaimed by the Alternative Investment Fund only by way of filing the return of income.

Collection of tax at higher rates due to non-filing of income-tax return

The Finance Act, 2021 has introduced section 206CCA, which imposes a higher collection of tax rate in case of any person (other than a non-resident who does not have a permanent establishment in India) who has not filed the return of income for the assessment year relevant to the previous year immediately preceding the financial year in which tax is required to be collected, for which the time limit for furnishing the return of income under sub-section (1) of section 139 has expired and the aggregate of tax deducted at source and tax collected at source in his case is rupees fifty thousand or more in the said previous year. The withholding tax rates in case of such person shall be higher of the following:

- (i) at twice the rate specified in the relevant provision of the ITA; or
- (ii) at the rate of 5%.

Further, where the provisions of section 206CC of the ITA are applicable to such person, tax shall be deducted at higher of the two rates provided in section 206CCA and in section 206CC of the ITA.

c. Provisions related to Indirect Transfer

The following provisions would be relevant to non-resident investors depending on the investment structure adopted by them for investing in the Fund.

The ITA levies capital gains tax on income arising from the transfer or redemption of shares /interest in a company/entity organised outside India which derives, directly or indirectly, its value substantially from the assets located in India

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The Finance Act, 2015 has amended the ITA by providing the following:

- a. Definition of ‘substantial value’ - the share/interest in a company/entity organised outside India shall be deemed to derive its value substantially from the assets located in India, if on the ‘specified date’, the value of Indian assets –
 - (i) Exceeds INR 100 million; and
 - (ii) Represents at least 50% of the value of all the assets owned by the company/entity organised outside India.

- b. Gains to be taxed on a proportionate basis - If the Fund substantially derives value from Indian assets has assets in places outside India as well, then the gains arising on transfer of shares or interest in such Fund shall be taxed in India only to the extent that they are 'reasonably attributable' to the Indian assets.
- c. Exemption to small shareholders - There would be no levy of Indian tax in the following cases of indirect transfer of Indian assets –
 - (i) If the transferor, along with its related parties, at any time in the twelve months preceding the date of transfer: (a) does not hold the right of management or control; and (b) holds less than or equal to 5% of the voting power and share capital in the company/entity organised outside India which holds the Indian assets directly and whose shares are being transferred (i.e., direct holding company);
 - (ii) In cases of transfer of shares/interest in a company/entity organised outside India which holds the Indian assets indirectly (i.e., indirect holding company) if the transferor, along with its related parties, at any time in the twelve months preceding the date of transfer: (a) does not hold the right of management or control in relation to the indirect holding company; and (b) does not hold any rights in the indirect holding company which would entitle it to either exercise control or management of the direct holding company or entitle it to voting power exceeding 5% in the direct holding company;

The CBDT has issued Circular 4 of 2015 (dated 26 March 2015), clarifying that declaration of dividend outside India by a foreign company would not be taxable in India under the indirect transfer provisions of the ITA since such declaration and payment of dividend does not have an effect of transfer of any underlying asset located in India.

Further, the CBDT, vide its notification no. 55/2016 dated 28 June 2016, has issued rules and forms to provide for valuation mechanism, determination of proportionate income, forms for reporting compliances and details of documents to be maintained by the Indian entity in respect of indirect transfer transactions.

The CBDT has issued Circular No. 28/2017, dated 7 November 2017, clarifying that indirect transfer provisions shall not apply in respect of income accruing or arising to a non-resident on account of redemption or buyback of share or interest held indirectly in a Venture Capital Fund or a Category I and II Alternative Investment Fund ('Specified Funds'). The said clarification is available only in respect of income which accrues or arises from or in consequence of transfer of shares or securities held in India by the Specified Funds and the same being chargeable to tax in India.

Further, as per the Finance Act, 2020 exemption from the application of indirect transfer tax provisions to investors (direct or indirect) in a FPI is restricted to investors (direct or indirect) in erstwhile Category I and II FPI under the SEBI (FPI) Regulations, 2014 and Category I FPI under the SEBI (FPI) Regulations, 2019.

d. Surcharge and health and education cess

The above rates of income-tax shall be increased by the following surcharge on income-tax and health and education cess on income-tax and surcharge:

For the Financial Year 2023-24	Surcharge on income-tax
Resident companies with income:	
- exceeding INR 10 million but upto INR 100 million	7% 12%
- exceeding INR 100 million	
Resident companies opting for taxation under section 115BAA and section 115BAB	10%
Non-resident companies with income:	
- exceeding INR 10 million but upto INR 100 million	2% 5%
- exceeding INR 100 million	
Firm/ LLP with total income exceeding INR 10 million	12%
Resident and non-resident individuals with total income (including dividend income and income under section 111A and 112A of the Act) exceeding INR 5 million but upto INR 10 million	10%
Resident and non-resident individuals with total income (including dividend income and income under section 111A and 112A of the Act) exceeding INR 10 million but upto INR 20 million	15%
Resident and non-resident Individuals with total income (excluding dividend income and income under section 111A and 112A of the Act) exceeding INR 20 million but upto INR 50 million	25%
Resident and non-resident Individuals with total income (excluding dividend income and income under section 111A and 112A of the Act) exceeding INR 50 million	37%
On buy-back tax	12%

In addition to the surcharge, health and education cess is chargeable at 4% on income-tax and surcharge.

e. General Anti-Avoidance Rules (GAAR)

General Anti Avoidance Rules (“GAAR”) were introduced by Finance Act, 2012, with the objective of dealing with aggressive tax planning through the use of sophisticated structures and codifying the doctrine of ‘substance over form’ where the real intention of the parties and effect of transactions and purpose of an arrangement is taken into account for determining the tax consequences, irrespective of the legal structure that has been superimposed to camouflage the real intent and purpose. The GAAR provisions were initially introduced to be effective from 1 April 2013. However, the applicability of the provisions was deferred by the Finance Act, 2013, to 1 April 2015, and subsequently, to 1 April 2017, by the Finance Act, 2015. Further, the CBDT, vide its notification dated 22 June 2016, has amended the Rules, to provide that GAAR provisions shall not apply to income from transfer of investments which were made before 1 April 2017. Additionally, GAAR will apply only on tax benefits obtained from arrangements on or after 1 April 2017.

As per the provisions of ITA, Indian tax authorities have been granted wide powers to tax ‘impermissible avoidance arrangements’ including the power to disregard entities in a structure, reallocate income and expenditure between parties to the arrangement, alter the tax residence of such entities and the legal situs of assets involved, treat debt as equity and vice versa. The GAAR provisions are potentially applicable to any transaction or any part thereof.

The term ‘impermissible avoidance arrangement’ has been defined to mean an arrangement where the main purpose is to obtain a tax benefit, and it:

1. creates rights, or obligations, which are not ordinarily created between persons dealing at arm’s length;
2. results, directly or indirectly, in the misuse, or abuse, of the provisions of ITA;
3. lacks commercial substance or is deemed to lack commercial substance, in whole or in part; or
4. is entered into, or carried out, by means, or in a manner, which are not ordinarily employed for bona fide purposes.

Further, an arrangement shall be presumed, unless it is proved to the contrary by the taxpayer, to have been entered into, or carried out, for the main purpose of obtaining a tax benefit, if the main purpose of a step in, or a part of, the arrangement is to obtain a tax benefit, notwithstanding the fact that the main purpose of the whole arrangement is not to obtain a tax benefit. The arrangement shall be deemed to lack commercial substance (amongst other factors) if:

1. the substance or effect of the arrangement as a whole, is inconsistent with, or differs significantly from, the form of its individual steps or a part; or
2. it involves or includes:
 - (a) round trip financing;

- (b) an accommodating party;
 - (c) elements that have effect of offsetting or cancelling each other; or
 - (d) a transaction which is conducted through one or more persons and disguises the value, location, source, ownership or control of funds which is the subject matter of such transaction; or
3. it involves the location of an asset or of a transaction or of the place of residence of any party which is without any substantial commercial purpose other than obtaining a tax benefit for a party; or
 4. it does not have a significant effect upon the business risks or net cash flows of any party to the arrangement apart from any effect attributable to the tax benefit that would be obtained.

In case the GAAR is applied to any transaction pertaining to the Fund, it could have an adverse impact on the taxability of the Fund and/ or its investors and hence, impact the returns to the investors.

f. Prevention of Base Erosion and Profit Shifting (BEPS)

India is an active participant of the BEPS project and is committed to implement all minimum and common standards as part of its law. Recently, the Indian Government has deposited the ratified Multilateral Instrument (MLI) to implement tax treaty related measures to prevent Base Erosion and Profit Shifting (BEPS) on 25 June 2019 with Organisation for Economic Co-operation and Development (OECD). This is the final leg in India's sprint towards effectuating the landmark MLI. India has notified 93 tax treaties, excluding China. Countries such as the Singapore, UK, France, Japan, Netherlands, and Australia are part of the final list and accordingly, India's tax treaties with such countries have included MLI provisions with effect from 1 April 2020.

Largely, the final list of India's MLI positions deposited with OECD are on similar lines as the provisional list which was submitted to OECD on 7 June 2017, wherein India continues to adopt principal purpose test (PPT), though an option to modify the same in future with limitation of benefits (LOB) clause to combat treaty shopping has now been specifically provided. In the final list, the provisions which have not undergone change as compared to the provisional list, amongst others, include i) adoption of simplified LOB (SLOB), ii) changes to permanent establishment (PE) article to include wider agency PE, anti-fragmentation rule for preparatory or auxiliary (PoA) activities and aggregation rule for determining the construction PE threshold, iii) non-inclusion of provisions for resolving treaty benefit to fiscally transparent entities and iv) non-application of mandatory binding arbitration. Additionally, India has now opted to revise the foreign tax credit provisions for replacing exemption method for elimination of double taxation with credit method in respect of few of its treaties.

g. Minimum Alternate Tax ("MAT")

As per the ITA, if the tax payable by any company is less than 15% of its book profits, it will be required to pay MAT which will be deemed to be 15% (excluding applicable surcharge and education cess) of such book profits. Long-term capital gains on the sale of listed securities are included in the definition of "book profits" for the purposes of calculating MAT. Further, the Finance Act, 2016 has amended section 115JB of the Act, with retrospective effect from April 1, 2001, to exempt foreign companies from the provisions

of MAT in cases where:

- The foreign company is a resident of the country with which India has entered into a treaty and it does not have a permanent establishment in India; or
- The foreign company is a resident of a country with which India does not have a treaty and is not required to seek registration under any law for the time being in force relating to companies.

Further, the Finance Act, 2018 has provided that MAT provisions shall not be applicable to a foreign company where its total income comprises of profits and gains from businesses referred to in section 44B or section 44BB or section 44BBA or section 44BBB of the ITA and the same has been offered to tax at rates mentioned in the specified section applicable to them.

Additionally, the provisions of MAT shall not be applicable to a taxpayer which has opted for the concessional rates under Section 115BAA and Section 115BAB of the ITA notified in the Taxation Laws (Amendment) Act 2019.

h. Alternate Minimum Tax (AMT)

As per the ITA, if the tax payable by a non-corporate entity is less than 18.5% of the adjusted total income, it will be required to pay AMT which will be deemed to be 18.5% (excluding applicable surcharge and health and education cess) of such adjusted total income. The provisions of AMT are applicable to non-corporate assesses, that have claimed a deduction under any section (other than section 80P) included in Chapter VI-A under the heading "C.—Deductions in respect of certain incomes", or section 10AA; or section 35AD of the ITA.

i. Goods and Service Tax (GST)

With effect from July 1, 2017, the service tax regime has been replaced with GST.

GST at the rate of 18% would be levied on Management Fee and Trusteeship Fees payable by Fund to the Investment Manager / Trustee, respectively. Further, GST at applicable rates would also be levied on the other services received by Fund. As is customary, the tax is passed on to the service recipient, which would be Fund in this case.

legislation is fairly recent and still evolving. Further several aspects in terms of applicability of GST are yet to be tested via judicial precedents. Accordingly, GST implications on expenses and distributions of the Fund may be required to be re-evaluated in light of relevant development in the service tax/GST legislation, whether by way of statutory provisions or judicial precedents.

j. Securities Transaction Tax

The concessional rate on long-term capital gains and short-term capital gains would be applicable only if the sale / transfer of the equity shares is on a recognized stock exchange in India. All transactions in specified securities entered on a recognized stock exchange in India and other specified transactions will

be subject to STT levied on the transaction value at the applicable rates.

k. Compliance with section 285BA of ITA

Foreign Account Tax Compliance Act (“FATCA”) was enacted in 2010 by the Government of the U.S. with a view to combat tax evasion by U.S. citizens and residents through the use of offshore accounts.

FATCA requires financial institutions globally to share information about the financial accounts held by U.S. citizens/ residents for tax purposes to the Internal Revenue Services (“IRS”) of the Government of the U.S.

On similar lines as FATCA, Organization for Economic Co-operation and Development issued a standard for Automatic Exchange of Information in tax matters called as ‘Common Reporting Standard ’(“CRS”). CRS also requires financial institutions globally to share information about the financial accounts held by the non-residents (other than U.S. citizens and residents for tax purpose).

To enable financial institutions in India to comply with FATCA and CRS, the Government of India signed the Inter-Governmental Agreement (“India IGA”) with the Government of the U.S. on July 9, 2015 and joined the Multilateral Competent Authority Agreement (“MCAA”) on June 3, 2015.

For implementing India IGA and MCAA, necessary amendments were made to section 285BA of the ITA. In exercise of the power conferred by section 285BA of the ITA, the CBDT notified the Income-tax (11th Amendment) Rules, 2015 i.e. Rule 114F, Rule 114G and Rule 114H of the ITR. Further, the CBDT has also issued a ‘Guidance note on implementation of reporting requirements under Rules 114F to Rule 114H of the ITR ’dated 31 August 2015 which was subsequently updated on 31 December 2015, 31 May 2016 and 30 November 2016.

In order to enable Fund to comply with the provisions of section 285BA of the ITA read with the ITR, the prospective investors would therefore be required to comply with the request of Fund to furnish such information/ documentation/ declarations as and when deemed necessary by the Investment Manager in accordance with the provisions of the ITA read with the ITR.

Further, the investors are also requested to immediately intimate Fund or the Investment Manager of any change in the information furnished in the documentation/ declarations provided to the Fund or the Investment Manager earlier, including but not limited to any declarations provided in respect of residency of the investors for tax purposes.

If Fund and/ or the Investment Manager is required by Applicable Laws, to provide information regarding Fund and/or the investors to any regulatory/ tax authority of the Investments of Fund and/or income therefrom, and Fund and/or the Investment Manager complies with such request in good faith, whether or not it was in fact enforceable, they shall not be liable to the investors or to any other party as a result of such compliance or in connection with such compliance.

Prospective investors are requested to consult their own tax advisors for understanding FATCA/ CRS

status.

There can be no guarantee that the above position regarding taxation of Fund and taxation of Contributors of the Fund would be necessarily accepted by the income-tax authorities under the ITA. No representation is made either by the Trustee of the Fund, Fund or the Investment Manager or any employee, director, shareholder or agent of the Investment Manager in regard to the acceptability or otherwise of the above position regarding taxation of Fund and taxation of the Contributors of Fund by the income-tax authorities under the ITA. Prospective investors are urged to consult their own tax advisers in this regard.

Supplementary Section

Stamp duty payable under the Indian Stamp Act, 1899

The Finance Act, 2019, had introduced amendments in the Indian Stamp Act, 1899 (“the **Act**”) to *inter alia* bring uniformity in the levy of stamp duty on ‘securities’, whether in physical or dematerialised form. The Part I of Chapter IV of the Finance Act 2019 related to amendments to the Act.

The Ministry of Finance (“**MoF**”) pursuant to notification no. S.O. 4419(E) dated December 10, 2019 had initially appointed January 9, 2020 as the date on which the amendments to the Act shall come into force. Vide notification no. S.O. 115(E) dated January 8, 2020, the MoF appointed April 1, 2020 as the day amendments to the Act shall come into force. Further, vide notification no. S.O. 1226(E) dated March 30, 2020, the MoF appointed July 1, 2020 as the day amendments to the Act shall come into force.

Vide notification G.S.R. 901(E) dated December 10, 2019, the MoF had notified the Indian Stamp (Collection of Stamp Duty through Stock Exchanges, Clearing Corporations and Depositories) Rules, 2019 (“the **Rules**”) to *inter alia* regulate the centralised mechanism for the collection of stamp duty across India. The Rules were initially to come into force from January 9, 2020. Pursuant to notification no. G.S.R. 19(E) dated the January 8, 2020, the MoF appointed April 1, 2020 as the day the Rules shall come into force. Further, vide notification no. G.S.R. 226(E) dated March 30, 2020, the MoF appointed July 1, 2020 as the day the Rules shall come into force.

SEBI has, vide circular SEBI/HO/IMD/DF6/CIR/P/2020/113 dated June 30, 2020, directed all AIFs to comply with the provisions of the Act and the Rules and *inter alia* has directed all AIFs to appoint registrars to an issue and/or share transfer agents (“**RTA**”) registered with SEBI. The RTA shall be deemed as a ‘depository’ for the limited purposes of acting as a ‘collecting agent’ under the Act and the rules made thereunder, in cases of instruments of transaction otherwise than through a recognised stock exchange or depository.

Further, on July 1, 2020, SEBI has issued “Frequently Asked Questions (FAQs) on Indian Stamp Act, 1899 Amendments and Rules made thereunder”. As per answer to Question 18 in the FAQs, the RTA shall be responsible to transfer the collected stamp duty to the respective States/Union Territories in India based on the buyer-based principle i.e. on the basis of place of residence/registered office of the Contributor, in accordance with Section 9A(4) of the Act. As per answer to Question 19 in the FAQs, in case of sale, transfer and issue of Units in demat mode through a recognised ‘stock exchange’ as defined

under Securities Contracts (Regulation) Act, 1956 or 'depository' as defined under Depositories Act, 1996, the stock exchange/clearing corporation or depository would be required to collect the applicable stamp duty.

Thus, with effect from July 1, 2020, a stamp duty at the rate of 0.005% of the market value of Units would be levied on issue of Units and a stamp duty at the rate of 0.015% of the consideration amount would be levied on any transfer of Units. No stamp duty is payable in respect of redemption of Units. In case of issue of Units, the onus to pay stamp duty is upon the Fund (being the issuer of Units).

In the case of transfer of Units, the onus to pay stamp duty is upon the transferor of Units. As per answer to Question 20 in the FAQs, when the transferee approaches RTA for effecting the transfer in its books, the RTA will collect the stamp duty from the transferor of Units before effecting the transfer which will then be remitted by the RTA to the State/Union Territory of domicile of the transferee.

SECTION XII: ILLUSTRATION OF FEES, EXPENSES AND OTHER CHARGES

A. Assumptions

1. It is assumed that the First Closing and Final Closing are common. For ease of computation, it is assumed that the entire Capital Commitment has been drawn down in one tranche at the beginning of the Term.
2. Term of the Fund is assumed to be a period of 7 (seven) years (on account of the restriction in number of rows on the page) from First Closing (plus 2 years extension as per the regulations, if exercised).
3. For ease of computation, it has been assumed that the realization of Investment Proceeds and distributions to the Contributors happens at the end of the Term.
4. The Fund proposes to issue the following Classes of Units:
 - (a) Class A Units, Class D Units - To Contributors;
 - (b) Class B Units - To the Sponsor; and
 - (c) Class C Units – To the partners or employees of the Investment Manager.
5. It is assumed that all fees and expenses are charged by the Fund at the beginning of the Term. Fees and Expenses applicable to Unitholders shall be as under:
 - (a) Set-up Expenses - Calculated at 2% (Two Percent) of the aggregate Capital Commitments, in respect of holders of Class A Units, Class D Units. Set-up Expenses shall be charged in the manner prescribed under Paragraph titled “*Expenses (including Operating Expenses and Set-Up Expenses) charged to the Fund*” under “**SECTION VI: PRINCIPAL TERMS OF THE FUND**” of this Memorandum.
 - (b) Management Fee - The Management Fee shall be charged to holders of Class A Units, Class D Units at the rates and in the manner as prescribed under Paragraph titled “*Management Fees*” under “**SECTION VI: PRINCIPAL TERMS OF THE FUND**” of this Memorandum. The Management Fees is calculated at the rate of 2% (Two Percent) of the aggregate Capital Commitments in respect of Class A Units, Class D Units under this illustration.
 - (c) Operating Expenses - Calculated at 0.5% (Zero Point Five Percent) p.a. of the aggregate Capital Commitments in respect of holders of all Classes of Units. Operating Expenses shall be charged in the manner prescribed under Paragraph titled “*Expenses (including Operating Expenses and Set-Up Expenses) charged to the Fund*” under “**SECTION VI: PRINCIPAL TERMS OF THE FUND**” of this Memorandum.

- (d) Trusteeship Fees: Trusteeship Fees shall be charged at the rates and in the manner prescribed under Paragraph titled "*Trusteeship Fees*" under "**SECTION VI: PRINCIPAL TERMS OF THE FUND**" as part of Operating Expenses.
- (e) Placement cost: For the purposes of this illustration, it has been assumed as 0.5% (Zero Point Five Percent) p.a. of the aggregate Capital Commitments in respect of Class A Units. The actual amount of placement cost will be as per applicable norms.
- (f) Other Expenses: For the purposes of this illustration, it has been assumed that no Other Expenses have been charged.
6. Capital Commitment for each of the class of investors are tabulated as under:

<i>Classes of Units</i>	<i>Amount in crores (Rs.)</i>
Class A Units	90
Class D Units	90
Class B Units	5
Class C Units	5
Total	190

7. The figures/numbers and calculations provided in this Annexure are all pre-tax. The taxation will be in accordance with the detailed provisions laid down in this Memorandum and accordingly the actual final numbers will vary depending on applicable tax treatment.
8. The illustrations provided in this Schedule XII are indicative and provided for reference only and Investors should review and examine the detailed terms mentioned in the Contribution Agreement and relevant sections in this Memorandum with respect to such fee/charges and actual distribution.
9. The figures provided in this Schedule XII are representational only and should not be considered as a guarantee or any definite indication of the Fund's likely performance. The final outcome would be a result of several factors as stated in this Memorandum and would be dependent upon the Fund's actual performance.

B. Illustration of Fees and Expenses - Amount in crores (Rs.)

<i>Sr. No.</i>	<i>Particulars of Fees</i>	<i>Basis of Calculation</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>	<i>Year 4</i>	<i>Year 5</i>	<i>Year 6</i>	<i>Year 7</i>	<i>Total</i>
1	Total Capital Commitment from the Contributors (A)		190.00							190.00

2	Total Capital Contribution received from the Contributors		190.00							190.00
3	Fees and other expenses									
a	Set-up Expenses (B)	2% of the aggregate Capital Commitments in respect of Class A, D Units	3.60	-	-	-	-	-	-	3.60
b	Placement Costs	0.5% p.a. of the aggregate Capital Commitments in respect of Class D Units	0.45	0.45	0.45	0.45	0.45	0.45	0.45	3.15
c	Management Fee (C)	2% of the aggregate Capital Commitments in respect of Class A, D Units till the end of the Term	3.60	3.60	3.60	3.60	3.60	3.60	3.60	25.20
d	Fees to Investment Committee (if any)	—	-	-	-	-	-	-	-	-

e	Operating Expenses (D)	0.5% of (A)	0.95	0.95	0.95	0.95	0.95	0.95	0.95	6.65
f	Other Expenses		-	-	-	-	-	-	-	-
g	Total Expenses		8.60	5.00	5.00	5.00	5.00	5.00	5.00	38.60
4	Net amount invested by the Fund in Portfolio Companies (Capital Deployed)	(A) - (B) - (C) - (D)								151.40

SECTION XIII: DISTRIBUTION WATERFALL

A. Assumptions

1. It is assumed that the First Closing and Final Closing are common. For ease of computation, it is assumed that the entire Capital Commitment has been drawn down in one tranche at the beginning of the Term.
2. Term of the Fund is assumed to be a period of 7 (Seven) years from First Closing (plus 2 years extension as per the regulations, if exercised).
3. For ease of computation, it has been assumed that the realization of Investment Proceeds and distributions to the Contributors happens at the end of the Term.
4. The Fund proposes to issue the following Classes of Units:
 - (d) Class A Units, Class D Units - To Contributors;
 - (e) Class B Units - To the Sponsor; and
 - (f) Class C Units – To the employees and/or partners of the Investment Manager
5. It is assumed that all fees and expenses are charged by the Fund at the beginning of the Term. Fees and Expenses applicable to Unitholders for the purpose of this illustration shall be as under:
 - (a) Set-up Expenses - Calculated at 2% (Two Percent) of the aggregate Capital Commitments, in respect of holders of Class A Units, Class D Units. Set-up Expenses shall be charged in the manner prescribed under Paragraph titled “*Expenses (including Operating Expenses and Set-Up Expenses) charged to the Fund*” under “**SECTION VII: PRINCIPAL TERMS OF THE FUND**” of this Memorandum.
 - (b) Management Fee - The Management Fee shall be charged to holders of Class A Units, Class D Units at the rates and in the manner as prescribed under Paragraph titled “*Management Fees*” under “**SECTION VII: PRINCIPAL TERMS OF THE FUND**” of this Memorandum. The Management Fees is calculated at the rate of 2.0% (Two Percent) of the aggregate Capital Commitments in respect of Class A Units, Class D Units under this illustration.
 - (c) Operating Expenses - Calculated at 0.5% (Zero Point Five Percent) p.a. of the aggregate Capital Commitments in respect of holders of all Classes of Units. Operating Expenses shall be charged in the manner prescribed under Paragraph titled “*Expenses (including Operating Expenses and Set-Up Expenses) charged to the Fund*” under “**SECTION VII: PRINCIPAL TERMS OF THE FUND**” of this Memorandum.

- (d) Trusteeship Fees: Trusteeship Fees shall be charged at the rates and in the manner prescribed under Paragraph titled "*Trusteeship Fees*" under "**SECTION VII: PRINCIPAL TERMS OF THE FUND**" as part of Operating Expenses.
- (e) Placement cost: 0.5% (Zero Point Five Percent) p.a. of the aggregate Capital Commitments in respect of Class A Units
- (f) Other Expenses: For the purposes of this illustration, it has been assumed that no Other Expenses have been charged.
6. Capital Commitment for each of the class of investors are tabulated as under:

<i>Classes of Units</i>	<i>Amount in crores (Rs.)</i>
Class A Units	90
Class D Units	90
Class B Units	5
Class C Units	5
Total	190

7. The figures/numbers and calculations provided in this Annexure are all pre-tax. The taxation will be in accordance with the detailed provisions laid down in this Memorandum and accordingly the actual final numbers will vary depending on applicable tax treatment.
8. The illustrations provided in this Schedule XIII are indicative and provided for reference only and Investors should review and examine the detailed terms mentioned in the Contribution Agreement and relevant sections in this Memorandum with respect to such fee/charges and actual distribution.
9. The figures provided in this Schedule XIII are representational only and should not be considered as a guarantee or any definite indication of the Fund's likely performance. The final outcome would be a result of several factors as stated in this Memorandum and would be dependent upon the Fund's actual performance.

B. Capital Commitment received and drawn down

<i>Sr. No.</i>	<i>Particulars</i>	<i>Class A Units</i>	<i>Class B Units</i>	<i>Class C Units</i>	<i>Class D Units</i>	<i>Total</i>
1	Total Capital Commitment from the Contributors	90.00	5.00	5.00	90.00	190.00

2	Total Capital Contribution received from the Contributors	90.00	5.00	5.00	90.00	190.00
3	Fees and other expenses					
a	Set-up Cost	1.80	-	-	1.80	3.60
b	Placement Costs	3.15	-	-	-	3.15
c	Management Fee	12.60	-	-	12.60	25.20
d	Fees to Investment Committee (if any)	-	-	-	-	-
e	Operating Expenses	3.15	0.18	0.18	3.15	6.65
f	Other Expenses	-	-	-	-	-
4	Net amount invested by the Fund in Portfolio Companies (Capital Deployed)	69.30	4.83	4.83	72.45	151.40

C. Distribution Waterfall (i.e. allocation of returns to the Contributors)

Scenario I: The Fund has incurred losses at the end of the Term

Sr. No.	Particulars	Class A Units	Class B Units	Class C Units	Class D Units	Total
1	Total amount available for distribution post all Fund Expenses					180.00
2	Allocation of consideration for Contributors of each Class in proportion to their respective Invested Funds	82.39	5.74	5.74	86.14	180.00
3	Towards 100% repayment of Capital Contribution: Amount so allocated for distribution.	82.39	5.00	5.00	86.14	178.53
4	Balance amount available post repayment of Capital Contribution	-	0.74	0.74	-	1.47
5	Total distribution being made to Contributors of each Class	82.39	5.74	5.74	86.14	180.00

Scenario II: The Fund has incurred no profit and no loss at the end of the Term

Sr. No.	Particulars	Class A Units	Class B Units	Class C Units	Class D Units	Total
1	Total amount available for distribution post all Fund Expenses					190.00
2	Allocation of consideration for Contributors of each Class in proportion to their respective Invested Funds	86.97	6.06	6.06	90.92	190.00
3	Towards 100% repayment of Capital Contribution: Amount so allocated for distribution.	86.97	5.00	5.00	90.00	186.97
4	Balance amount available post repayment of Capital Contribution, if any	-	1.06	1.06	0.92	3.03
5	Towards Hurdle Rate of Return, if any	-	-	-	-	-
6	Total distribution being made to Contributors of each Class	86.97	6.06	6.06	90.92	190.00

Scenario III: The Fund has made profits at a rate less than the Hurdle Rate of Return at the end of the Term

Sr. No.	Particulars	Class A Units	Class B Units	Class C Units	Class D Units	Total
1	Total amount available for distribution post all Fund Expenses					210.00

2	Allocation of consideration for Contributors of each Class in proportion to their respective Invested Funds	96.12	6.69	6.69	100.49	210.00
3	Towards 100% repayment of Capital Contribution: Amount so allocated for distribution.	90.00	5.00	5.00	90.00	190.00
4	Balance amount available post repayment of Capital Contribution, if any	6.12	1.69	1.69	10.49	20.00
5	Towards Hurdle Rate of Return, if any	-	-	-	-	-
6	Total distribution being made to Contributors of each Class	96.12	6.69	6.69	100.49	210.00

Scenario IV: The Fund has made profits at a rate equal to Hurdle Rate of Return at the end of the Term

Sr. No.	Particulars	Class A Units	Class B Units	Class C Units	Class D Units	Total
1	Total amount available for distribution post all Fund Expenses					420.03
2	Allocation of consideration for Contributors of each Class in proportion to their respective Invested Funds	192.26	13.39	13.39	201.00	420.03
3	Towards 100% repayment of Capital Contribution: Amount so allocated for distribution.	90.00	5.00	5.00	90.00	190.00
4	Balance amount available post repayment of Capital Contribution, if any	102.26	8.39	8.39	111.00	230.03
5	Towards Hurdle Rate of Return, if any	64.24	0.00	0.00	64.24	128.49
6	Total distribution being made to Contributors of each Class	192.26	13.39	13.39	201.00	420.03

Scenario V: The Fund has made profits at a rate higher than the Hurdle Rate of Return at the end of the Term

Sr. No.	Particulars	Class A Units	Class B Units	Class C Units	Class D Units	Total
1	Total amount available for distribution post all Fund Expenses					500.00
2	Allocation of consideration for Contributors of each Class in proportion to their respective Invested Funds	228.86	15.93	15.93	239.27	500.00
3	Towards 100% repayment of Capital Contribution: Amount so allocated for distribution.	90.00	5.00	5.00	90.00	190.00
4	Balance amount available post repayment of Capital Contribution, if any	138.86	10.93	10.93	149.27	310.00

5	Towards Hurdle Rate of Return, if any	64.24	0.00	0.00	64.24	128.49
6	Balance Distribution Proceeds in excess of Capital Contribution, Hurdle Rate of Return	74.62	10.93	10.93	85.02	181.51
7	Towards Additional Return, in respect of Class A, D Units	14.92	0.00	0.00	17.00	31.93
8	Total distribution being made to Contributors of each Class	213.94	31.90	31.90	222.26	500.00

SECTION XIV: DISCIPLINARY HISTORY

Disciplinary history details in terms of paragraph 2.1.5 of the SEBI Master Circular of the Trust, Trustee, Sponsor, Investment Manager and their respective promoters, directors, partners and Associates (as may be applicable) are provided hereunder:

The Trust, Sponsor/ Investment Manager and their respective partners and Associates (as may be applicable) have no disciplinary history. Please see the details below:

(1) Details of outstanding/pending and past cases (where the person has been found guilty) of litigations, criminal or civil prosecution, disputes, non-payment of statutory dues, overdues to/defaults against banks or financial institutions, contingent liabilities not provided for, proceedings initiated for economic offences or civil offences, adverse findings with respect to compliance with securities laws, penalties levied, disputed tax liabilities, etc.

None

(2) any disciplinary action taken by SEBI or any other regulatory authority (including the overseas regulator).

None

(3) Operational actions such as administrative warnings/deficiency letters.

None

The details with respect to the disciplinary history of the Trustee and its directors are provided hereunder:

(1) Details of outstanding/pending and past cases (where the person has been found guilty) of litigations, criminal or civil prosecution, disputes, non-payment of statutory dues, overdues to/defaults against banks or financial institutions, contingent liabilities not provided for, proceedings initiated for economic offences or civil offences, adverse findings with respect to compliance with securities laws, penalties levied, disputed tax liabilities, etc.

None

(2) any disciplinary action taken by SEBI or any other regulatory authority (including the overseas regulator).

None

(3) Operational actions such as administrative warnings/deficiency letters.

As regards operational actions, SEBI in a regular inspection of the Trustee's activities as a debenture trustee, has issued an administrative warning letter March 31, 2023.

SECTION XV: GLOSSARY

Accredited Investors	has the meaning assigned to the term under the Regulations
Additional Commitment	has the meaning assigned to such term in caption ‘ <i>Sponsor/Investment Manager Capital Commitment</i> ’ in “ SECTION VII: PRINCIPAL TERMS OF THE SCHEME ” of this Memorandum.
Additional Return	has the meaning assigned to such term in caption ‘ <i>Distribution</i> ’ in “ SECTION VII: PRINCIPAL TERMS OF THE SCHEME ” of this Memorandum.
AIF	means an alternative investment fund registered under the Regulations under an appropriate category.
Applicable Law/s	means any applicable statute, law, ordinance, regulation, rule, order, bye-law, administrative interpretation, writ, injunction, directive, judgment or decree or other instrument including the Regulations which has a force of law, as is in force from time to time.
Associate	has the meaning as given to the term in the Regulations.
Beneficial Interest	shall mean the beneficial interest of a Contributor determined in accordance with Annexure A of the Indenture.
Business Day	means any day, which is not a Saturday, Sunday, or a day on which the banks or stock exchanges in India are authorized or required by Applicable Laws to remain closed or such other events as the Investment Manager may specify from time to time.
Capital Commitment	means the amount agreed by a Contributor in writing, to be contributed to the Scheme in accordance with the provisions of the Contribution Agreement.
Capital Contribution	means that portion of Capital Commitment contributed by a Contributor to the Scheme, pursuant to issuance of the Drawdown Notice/s in accordance with the provisions of the Contribution Agreements and this Memorandum.
Catch-up Contribution	has the meaning assigned to such term in paragraph 13 titled ‘ <i>Unitholders Participating in Subsequent Closing</i> ’ in “ SECTION VII: PRINCIPAL TERMS OF THE SCHEME ” of this Memorandum.
Category II AIF	means a Category II Alternative Investment Fund registered with SEBI under the Regulations.

Class	with respect to the Units of the Scheme means a class/Subclass/series or category of Units of the Scheme, as distinct from another class/Subclass/series or category of Units of the Scheme and is distinct from the rights and interest of Units of the other class/Subclass/series or category of Units vis-à-vis the respective schemes of the Trust.
Closing	shall mean obtaining of Capital Commitments from the Contributors identified by the Investment Manager in accordance with the Trust Documents. Reference to Closing shall mean reference to First Closing, any Subsequent Closing(s) and the Final Closing (as the context may require).
Commitment Period	means the period within which the Contributors are required to make Capital Contributions, in accordance with the respective Contribution Agreement and will include extensions thereto, if any.
Compensatory Contribution	has the meaning assigned to such term in paragraph 13 titled ' <i>Unitholders Participating in Subsequent Closing</i> ' in " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Contributor / Investor	means the Eligible Persons each of whom have made or agreed to make Capital Commitment to the Scheme in accordance with the Contribution Agreements and this Memorandum and shall include without limitation any Eligible Persons becoming transferees of Units in accordance with the provisions of the Trust Documents.
Contribution Agreement	means the document providing terms and conditions to regulate acceptance, management, administration and disbursement of Capital Contributions and the distribution of income, gains and proceeds thereon and other terms described therein, in the format and manner as maybe agreed between the Investment Manager and the Contributor, and as amended, modified, supplemented or reinstated from time to time, together with all annexures, schedules and exhibits, if any.
Contribution Fund	means the aggregate of Capital Contributions including any additions/reductions thereto and undistributed income accumulated in respect thereof but does not include the Initial Settlement and accretions thereto.
Corpus	means the aggregate amount of Capital Commitments made by the Contributors to the Scheme by way of Contribution Agreements as on a particular date.

Deceased Investor	has the meaning as assigned to such term in paragraph 18 titled ' <i>Transfer, Withdrawal and Transmission of Units</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Defaulting Contributor	has the meaning as assigned to such term in paragraph 17 titled ' <i>Defaulting Contributors</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Default Amount	has the meaning as assigned to such term in paragraph 17 titled ' <i>Defaulting Contributors</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Distribution Proceeds	has the meaning as assigned to such term in paragraph 27 titled ' <i>Distribution</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Drawdown	means the Capital Contribution made by a Contributor to the Scheme (and realized by the Scheme) against its respective Capital Commitment pursuant to the issuance of a Drawdown Notice.
Drawdown Notice	means notice under the Contribution Agreement issued by the Investment Manager to the Contributors of the Scheme calling for the making of Capital Contribution from the amount of Capital Commitment not drawn down.
Eligible Person	means a Person who: (i) complies with the know-your-customer (KYC) norms stipulated by the Investment Manager and SEBI, and (ii) is willing to execute necessary documentation as stipulated by the Investment Manager.
First Closing	has the meaning as assigned to such term in paragraph 12 titled ' <i>Closings</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Final Closing	has the meaning as assigned to such term in paragraph 12 titled ' <i>Closings</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Government	means any Indian central, state or local government authority, agency, branch or body or any instrumentality thereof.
GST	means goods and services tax.

Hurdle Rate of Return	has the meaning as assigned to such term in paragraph 26 titled ' <i>Hurdle Rate of Return</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Indemnified Persons	has the meaning as assigned to such term in paragraph 16 titled ' <i>Indemnification</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Interested Parties	means the Investment Manager/Sponsor and their Affiliate/group entities, and any of their directors, officers, employees or agents and the members of the Investment Committee.
Investable Funds	has the meaning assigned to the term under the Regulations.
Invested Funds	with respect to a Contributor or Class (including a Subclass), shall mean aggregate amounts utilised from Capital Contributions of such Contributor or Class towards Scheme Investments in INR terms.
Investment Committee	means the committee which constituted by the Investment Manager in the manner prescribed under " SECTION V: GOVERNANCE STRUCTURE " of this Memorandum.
Investment Proceeds	has the meaning as assigned to such term in paragraph 27 titled ' <i>Distributions</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Indenture	means the indenture of trust, executed by and between the Settlor and the Trustee for the creation of the Trust and registered under the provisions of the Registration Act, 1908, as may be further amended, modified or superseded from time to time.
Indian Rupees or Rs. or INR	means the currency of the Republic of India.
Initial Settlement	means the sum of Rs. 10,000 (Indian Rupees Ten Thousand) being the initial amount irrevocably transferred or delivered by the Settlor to the Trustee towards the creation of the corpus of the Trust.
Institutional Investor	means any company, bank, pension or other fund, financial institution or other institutional body or entity, but not including an individual.
IPO	means an initial public offering.

Investment Management Agreement	means the investment management agreement entered into by and between the Trustee and the Investment Manager for advising, managing and administering the Trust and the Schemes of the Trust, and as may be amended, modified or superseded from time to time.
Liquidation Period	has the meaning as assigned to such term in paragraph 9 titled ' <i>Term of the Scheme and Termination</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Liquidation Scheme	shall have the meaning ascribed to such term under the Regulations.
Losses	has the meaning as assigned to such term in paragraph 16 titled ' <i>Indemnification</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Management Fee	means the management fee payable to the Investment Manager in connection with the Scheme.
Malfeasance	means, with respect to any Person, any act or omission which results in a criminal conviction of such Person or which constitutes fraud or wilful misconduct or gross negligence as decided by a final non-appealable order of the highest court of competent jurisdiction or by an arbitral tribunal constituted pursuant to the terms of a Contribution Agreement, as the case may be.
SEBI Master Circular	means master circular no. SEBI/HO/AFD/PoD1/P/CIR/2023/130 issued for alternative investment fund (AIF) by SEBI on July 31, 2023.
Memorandum	means this document and any supplements thereto inviting offers for Capital Commitments from prospective Contributors for the subscription and purchase of Units of the Scheme strictly on a private placement basis in accordance with the Regulations and containing the requisite details as required under the Regulations.
Operating Expenses	has the meaning assigned to such term in paragraph 23 titled ' <i>Expenses (Including Operating Expenses and Set-up Expenses) Charged to the Scheme</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Other Expenses	has the meaning assigned to such term in paragraph 23 titled ' <i>Expenses (Including Operating Expenses and Set-up Expenses) Charged to the Scheme</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.

p.a.	means per annum.
Placement Agent	has the meaning assigned to such term in paragraph 21 titled ‘ <i>Other Fees</i> ’ under “ SECTION VII: PRINCIPAL TERMS OF THE SCHEME ” of this Memorandum.
Person	means and includes an individual, banks, insurance companies, bodies corporate, estates, family offices, non-banking finance companies, societies, hindu undivided family, corporation, partnership (whether limited or unlimited), limited liability company, body of individuals, association, trust, sole proprietorship, Alternative Investment Fund, foreign portfolio investor, Institutional Investor or any other institution, entity or organization, whether Indian or foreign, whether incorporated or not, including a Government or an agency or instrumentality thereof and, where the context so requires, includes a reference to such Person’s executors, administrators, successors, substitutes (including persons taking by novation) and permitted assigns.
Portfolio Company / Portfolio Entity	means such company, special purpose vehicle, limited liability partnership, venture capital undertakings, body corporate or real estate investment trust or infrastructure investment trust or other permissible entity/enterprise in which the monies of the Contribution Fund are invested in accordance with the Applicable Laws.
RBI	means the Reserve Bank of India.
Reinvestment Amount	has the meaning assigned to such term in caption ‘ <i>Reinvestment</i> ’ in “ SECTION VII: PRINCIPAL TERMS OF THE SCHEME ” of this Memorandum.
Regulations	means the Securities and Exchange Board of India (Alternative Investment Funds) Regulations, 2012 as amended/modified and reinstated from time to time and including the circulars/notifications issued pursuant thereto.
Scheme Expenses	means and includes all costs and expenses related to the Scheme’s operations whether incurred directly by the Scheme or by the Trustee or the Investment Manager for and on behalf of the Scheme, including, without limitation Management Fee (including Taxes applicable thereon), Operating Expenses, Set-up Expenses and Other Expenses.
Scheme Investments/ Portfolio Investments	means investments made by the Investment Manager from the Investable Funds on behalf of the Scheme in the name of the Scheme in any of the permissible securities/entities including investments in Portfolio Entities.

SEBI	means the Securities and Exchange Board of India.
Set-up Expenses	has the meaning assigned to such term in paragraph 23 titled ' <i>Expenses (Including Operating Expenses and Set-up Expenses) Charged to the Scheme</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Statement of Account/Unit Certificate	means statements/certificates that may be issued by the Investment Manager to the Contributors, specifying the number of Units held by the Contributors and evidencing a Beneficial Interest in the Scheme.
Subclass	with respect to a Class of the Scheme means a subclass/series thereof, as distinct from another subclass/series (if any) of that Class or any other Class of the Scheme.
Subsequent Closing	in respect of the Scheme means any Closing subsequent to the First Closing but not later than the Final Closing.
Super-Majority of Contributors	has the meaning assigned to such term in paragraph 1 titled ' <i>Super-Majority of Contributors</i> ' under supplementary section of " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Takeover Code	means the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 as amended and/or restated from time to time.
Tax or Taxes	means and includes: a) all forms of tax, levy, duty, surcharge, cess, impost, withholding tax, including income tax, goods & services tax, tax payable in a representative assessee capacity, minimum alternate tax or other amount whenever or wherever created or imposed by, or payable to any tax authority whether due to past, present or potential obligations; and b) all charges and fees, interest, penalties and fines incidental or relating to any Tax falling within (a) above or which arise as a result of the failure to pay any Tax on the due date or to comply with any obligation relating to Tax.
Term	has the meaning as assigned to such term in paragraph 9 titled ' <i>Term of the Scheme and Termination</i> ' under " SECTION VII: PRINCIPAL TERMS OF THE SCHEME " of this Memorandum.
Temporary Investments	means investments by the Scheme in liquid mutual funds, bank deposits, treasury bills, triparty repo dealing and settlement, commercial papers,

	certificate of deposits and such other liquid assets of higher quality as prescribed under the Regulations and/or by SEBI.
Trust Documents	has the meaning assigned to such term in paragraph 42 titled ' <i>Trust/Scheme Documents</i> ' under “ SECTION VII: PRINCIPAL TERMS OF THE SCHEME ” of this Memorandum.
Trust Fund	means the Initial Settlement, the Contribution Fund and any accretions thereto.
Trustee	means ' MITCON Credentia Trusteeship Services Limited ', or such other Person that may be appointed under the terms of the Indenture.
Trusteeship Fees	has the meaning assigned to such term in paragraph 20 under the heading ' <i>Trusteeship Fees</i> ' under “ SECTION VII: PRINCIPAL TERMS OF THE SCHEME ” of this Memorandum.
Two-Third Majority of Contributors	has the meaning assigned to such term in paragraph 2 titled ' <i>Two-Third Majority of Contributors</i> ' under supplementary section of “ SECTION VII: PRINCIPAL TERMS OF THE SCHEME ” of this Memorandum.
Units	means a unit of any Class, as evidenced by the Statement of Account specifying the unit(s) allotted to or held by the Contributor, and evidencing Beneficial Interest in the Scheme, issued to a Contributor on the making of a Capital Contribution.
Warehoused Investments	has the meaning assigned to such term in paragraph 11 titled ' <i>Warehoused Investments</i> ' under “ SECTION VII: PRINCIPAL TERMS OF THE SCHEME ” of this Memorandum.
Warehousing Entity/Individual	has the meaning assigned to such term in paragraph 11 titled ' <i>Warehoused Investments</i> ' under “ SECTION VII: PRINCIPAL TERMS OF THE SCHEME ” of this Memorandum.

PART – B

SECTION XVI: SUPPLEMENTARY INFORMATION

There is no additional information in relation to the Scheme, Investment Manager, Sponsor, key investment team that does not form part of the above sections.

SECTION XVII: INVESTOR CHARTER AND COMPLAINTS DATA

Annexure X

Investor charter for the AIF

A. Vision and Mission Statement:

Vision

To develop the Alternative Investment Fund (“AIF”) industry on professional and ethical lines and maintain high standards of governance and transparency.

Mission

- Maintain high professional and ethical standards within the AIF industry.
- Comply with all applicable regulations and co-operate with the regulators in all aspects of the AIF activity.
- Act in a fiduciary capacity towards the Investors.

B. Details of business transacted by the organization with respect to the investors:

- To raise capital from domestic and global investors.
- To invest in portfolio companies in accordance with investment strategy stated in fund documents, with an objective to generate positive returns for the stakeholders including investors.
- To distribute returns to the investors as per the fund documents.

C. Details of services provided to investors:

1. On-boarding of investors.

- 1.1. Sharing of the Private Placement Memorandum (“PPM”).
- 1.2. Account opening with the AIF:
 - Completing KYC of Investors and registration of KYC with KRAs.
 - Sharing of copies of fund documents with investors.
 - Entering into contribution agreement with investor.

2. Obtaining investor consent for material changes to fund structure

- 2.1. Change in the sponsor or the investment manager of the AIF.
- 2.2. Change in control of the sponsor or the investment manager of the AIF.
- 2.3. Material changes to terms of PPM
 - Term of fund.
 - Investment strategy.
 - Increase in fees and charges.
- 2.4. Winding up of fund prior to expiry of tenure.

3. Dissemination of financial information of fund.

- 3.1. net asset value of fund.

- 3.2. Financial information of investee companies.
- 3.3. Information on performance of fund.
4. **Disclosures with respect to material risks associated with the fund and its portfolio investments.**
 - 4.1. Any inquiries/ legal actions by legal or regulatory bodies in any jurisdiction.
 - 4.2. Any material liability arising during the tenure of the fund.
 - 4.3. Any breach of a provision of the PPM or any other agreement made with the investor or any other fund documents.
 - 4.4. Intimation regarding any conflict of interest.
 - 4.5. Risks associated with the portfolio, such as concentration risk, foreign exchange risk, leverage risk, realization risk, strategy risk, reputation risk, extra-financial risks such as social and corporate governance risks etc. at fund and investee company level.
5. **Intimation of any non-material changes in the operations of the fund.**
 - 5.1. Non-material changes such as
 - Bank account details
 - Address of the AIF or its investment manager or sponsor
 - Contact details such as email-id, contact number, etc. of the AIF or its investment manager or sponsor
6. **Grievance redressal**
 - 6.1. Redressal of Investor complaints received directly from investors and/or from SEBI / SCORES.

D. Timelines of the activity/services provided to investors:

Sr. No.	Description of activity/services provided by AIFs to its Investors	Timeline for completion of activity
1.	Valuation related disclosures:	
a.	Valuation of investment by the Fund	At least once every 6 (six) months. Can be extended to once a year with approval of Super-Majority of the Contributors of the Fund.
2.	Transparency related disclosures:	
a.	An annual report comprising financial information of the Portfolio Entities, material risks and how they are managed and other material information on the Fund that is deemed to be relevant by the Investment Manager.	Category II AIF - within 90 days from the year end or earlier as per the fund documents.
b.	Disclosure of material risks: concentration risk, foreign exchange risk at Fund level and leverage risk, realization risk, strategy risk, reputation risk	

	at investee company level, extra- financial risks such as social and corporate governance risks etc. at fund and investee company level	
c.	Periodic updates including Statement of Account, providing details of investments made, details of Related Party Transactions, and other information required to be disclosed under the Regulations.	Within 30 (Thirty) days of the end of each quarter
d.	Financial, risk management, operational, portfolio, and transactional information regarding fund investments	To be disclosed periodically to the investors
e.	Any fees ascribed to the investment manager or sponsor; and any fees charged to the AIF or any investee company	Every 6 (six) months on a consolidated basis
f.	Any inquiries/ legal actions by legal or regulatory bodies in any jurisdiction, any change in disciplinary history	As and when occurred
g.	Any material liability arising during the Trust or Scheme's tenure	
h.	Any significant change in the key investment team	
i.	Any breach of a provision of the Memorandum or agreement made with the investor or any other Trust Documents	
j.	Intimation regarding conflict of interest in any transaction	As and when they arise or seem likely to arise
k.	Any change in terms of the Trust Documents	On consolidated basis within one month of end of each financial year
l.	Statement of accounts in accordance with the Trust Documents	On an annual basis.
m.	Any change in control of the Investment Manager / Sponsor, any change in the Investment Manager / Sponsor.	Prior approval shall be taken from the Contributors in accordance with the Regulations.
3.	Complaint handling related services:	
a.	Response to complaint received from investors	Within 30 days from the date of receipt of complaint
b.	Redressal of Investor complaint received from SEBI/ SCORES	Within 30 days from the date of receipt of complaint

E. Details of grievance redressal mechanism and how to access it.

1. AIFs are required to redress all investor complaints in timely manner.
2. An AIF, by itself or through the investment manager or sponsor, are required to lay down procedure for resolution of disputes between the investors and AIF or investment manager or sponsor through arbitration or any such mechanism as mutually decided between the investors and the AIF.
3. Investors can also approach SEBI for redressal of their complaints through SEBI SCORES platform. On receipt of complaints, SEBI takes up the matter with the concerned AIF.
4. Investors may send their complaints to: Office of Investor Assistance and Education, Securities

and Exchange Board of India, SEBI Bhavan. Plot No. C4-A, 'G' Block, Bandra-Kurla Complex, Bandra (E), Mumbai - 400 051.

F. Responsibilities of investors

1. Responsibility to inform and educate yourself

- 1.1. Read thoroughly all fund documents including PPM, Contribution Agreement, sales literature, newsletters and understand the product.
- 1.2. Carefully consider all investment risks, fees, and/or other factors detailed in these documents.
- 1.3. Ensure and make certain that the proposed investment in the fund meets your investment objective and is in alignment with your risk appetite.
- 1.4. Review your portfolio holdings, account statements and transaction confirmation on regular basis to ensure that you are aware of all transactions and securities where you are invested.

2. Responsibility to timely update your KYC and information with the intermediary

- 2.1. Provide complete and accurate information in your KYC documents, including financial/ income status.
- 2.2. Timely updation of KYC information.

3. Responsibility to abide by the contribution agreement.

- 3.1. The investor needs to read carefully and understand the agreement that he/she is entering into with the AIF and abide by the terms thereof.
- 3.2. The investor should be aware that investment terms are not guarantee of future performance or returns of the fund/ scheme.

4. Responsibility to use right financial intermediaries, consultants and advisors.

- 4.1. Carefully consider validity and reliability of investment information obtained from all sources, especially unsolicited information obtained over the Internet.

5. Responsibility to maintain confidentiality of information.

- 5.1. Investors shall not disclose any material non-public information that is received by virtue of being investors of the fund, except as may be guided by the terms of the fund documents.

Annexure- Y

Complaints data to be displayed by AIFs for each scheme

1. Investor complaints data for the quarter ending June 2022, September 2022, December 2022, March 2023

S. No.	Investor Complaints received from	Pending as at the end of the last quarter	Received	Resolved	Total Pending at the end of the quarter	Pending complaints > 3months	Average Resolution time ^ (in days)
1.	Directly from Investors	Nil	Nil	Nil	Nil	Nil	Nil
2.	SEBI (SCORES)	Nil	Nil	Nil	Nil	Nil	Nil
3.	Other Sources (if any)	Nil	Nil	Nil	Nil	Nil	Nil
	Total	Nil	Nil	Nil	Nil	Nil	Nil

^Average resolution time is the sum total of time taken to resolve each complaint in days in the current quarter divided by total number of complaints resolved in the current quarter.

2. Investor complaints data for last three Financial Years (FY)

S. No.	FY	Carried forward from previous FY	Received	Resolved	Pending at the end of FY
1.	2020-21	Nil	Nil	Nil	Nil
2.	2021-22	Nil	Nil	Nil	Nil
3.	2022-23	Nil	Nil	Nil	Nil
	Total	Nil	Nil	Nil	Nil

ANNEXURE A

The following information/reports shall be furnished to the Contributors as mentioned in the below table:

Sr. No.	Reporting/providing information to the Contributors	Timeline
1.	Atleast an annual report comprising financial information of the Portfolio Entities, material risks and how they are managed and other material information on the Scheme that is deemed to be relevant by the Investment Manager.	Within 180 (one hundred and eighty) days from the close of the financial year.
2.	Any fees charged by the Investment Manager/ Sponsor or any fees charged to the Trust/Portfolio Entity by an Associate of the Investment Manager/ Sponsor.	Within 1 (one) month from the end of each financial year on a consolidated basis.
3.	Any breach of a provision of this Memorandum, Contribution Agreements or any Trust Documents.	As and when occurred.
4.	Any change in control of the Investment Manager/ Sponsor or any change in the Investment Manager/ Sponsor.	Prior approval shall be taken from the Contributors in accordance with the Regulations.
	Any significant change in the key investment team, any change/s in the disciplinary history.	As and when occurred.
	Information with respect to any material liability	As and when occurred.
	Information with respect to any inquiries/legal actions by legal or regulatory bodies in any jurisdiction.	As and when occurred.
5.	Any change to this Memorandum with details indicating the changes made and such other information as required to be reported/disclosed to the Contributors in accordance with the Regulations.	Within 1 (one) month from the end of each financial year on a consolidated basis or as provided in the Regulations.

6.	Statement detailing calculation for every payout (i.e. distribution statement) including tax paid on behalf of the Contributor	Within 30 (thirty) days of end of each quarter
7.	Information with respect (i) total Investable Funds; (ii) outstanding balance for each Portfolio Entity; and (iii) outstanding balance for each sub-sector in which the Scheme is investing, each as applicable at the end of the preceding quarter.	Within 30 (thirty) days of end of each quarter
8.	Unaudited financial statement (including balance sheet and profit and loss statement) of the Scheme and each Investor's pro-rata share of the Scheme	Within 45 (forty-five) days of end of each quarter
9.	Audited financial statements (including balance sheet and profit and loss statement) of the Scheme and of the Investment Manager	Within 180 (one hundred and eighty) days from the close of the financial year